

European VAT Handbook

2025 - 2026

Detailed insight to VAT in 30 European countries

Marja van den Oetelaar

Editor

The information about the various countries has been provided by:

Austria	Dr. Hannes Gurtner
Belgium	Frank Borger
Bulgaria	Tania Pavlova
Croatia	Ante Pavić
Cyprus	Alexis Tsielepis
Czech Republic	RNDr Jan Kaucký
Denmark	Claus Boldt
Estonia	Triin Liim
Finland	Henna Jovio and Anna-Riikka Nummi
France	Emmanuel Cotessat, Quynh Nguyen, Maïté Tsikis
Germany	Dr. Ronny Langer
Greece	Alex Karopoulos
Hungary	Daniel Sztanko
Ireland	Dara Higgins
Italy	Anna Maria Maccallini
Latvia	Sabīne Vuškāne
Lithuania	Karolina Jogminaitė-Matačienė
Luxembourg	Thierry Derochette
Malta	Matthew Zampa and Dr. Sarah Cassar Torregiani
The Netherlands	Marja van den Oetelaar, Aimée van der Paardt and Dr. Jeroen Bijl
Norway	Morten Chr. Stegard
Poland	Dorota Baczewska-Golińska
Portugal	Conceição Gamito and Sérgio Vasques
Romania	Angela Rosca and Cristian Radulescu
Slovakia	Milan Vargan and Alica Orda Oravcova
Slovenia	Anja Novak Pungracič
Spain	Manuel Pérez de Algaba
Sweden	Pär Sundberg and Lina Engman
Switzerland	Felix Geiger
The United Kingdom	Melanie Lord

DISCLAIMER: The material in this publication is in the nature of general comment only. It is not offered as advice on any particular matter and should not be taken as such. You should not act upon the information contained in the publication without obtaining professional advice. The editors expressly disclaim all liability to any person with regard to anything done or omitted to be done, and with respect to the consequences of anything done or omitted to be done wholly or partly in reliance on the basis of any matter contained in this publication without first obtaining professional advice regarding the particular facts and circumstances at issue.

No part of this book may be reproduced in any form, by print, photo print, microfilm or any other means, without written permission from the editors from Het BTW Advies Kantoor.



Preface

The European VAT Handbook aims to provide detailed and essential information about VAT in Europe for practitioners who need to know about VAT issues in their every day work. In addition to practitioners involved with VAT issues, the book could be used by students, firms or and academic institutions teaching the subject. In this book a detailed VAT structure, in an easy-to-understand style, is given per European country to enable comparison. The book also includes Annexes which provide a good overview of the VAT structure, rates, thresholds, reverse charges and simplification measures applicable in the various European countries. The European VAT Handbook consists of country chapters of 27 EU countries, namely Austria, Belgium, Bulgaria, Croatia, Republic of Cyprus, the Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hungary, Ireland, Italy, Latvia, Lithuania, Luxembourg, Malta, the Netherlands, Poland, Portugal, Romania, Slovakia, Slovenia, Spain and Sweden are included in the book. Included are also the chapters of three non-EU countries: Switzerland, Norway and the United Kingdom.

The chapters of the countries follow the standard outline and cover a.o. the following topics:

- How and where to register
- Registration thresholds
- VAT grouping
- Fiscal representation
- When is the VAT due (new)
- Cash accounting (new)
- Consignment and call-off stock
- Simplified triangulation
- Transfer of business
- Installation supplies
- Distance sales
- Acquisition thresholds
- Use & Enjoyment rules
- Bad debt relief
- Cash discounts
- Importation and postponed accounting
- VAT warehousing
- Customs warehousing
- Reverse charges
- VAT rates
- Exemptions
- Which VAT is recoverable
- Adjustment periods
- Invoice requirements
- Simplified invoices
- Self-billing
- VAT Compliance
- EC Sales Listing
- Intrastat
- Penalties

This edition contains a few new subjects such as the VAT treatment of returnable packaging, liabilities and supplies that are made free of charge (i.e. the threshold for 'gifts of small value'). The information per country was provided by experienced VAT advisors from other than the Big4 companies. The names and of the authors and their contact details are provided at the end of each of the chapters covering the relevant countries. Most of them are also partners in VAT Forum. For information about VAT Forum, please refer to the following link: <https://vatforum.com/>. Vat Forum is an international network of independent, seasoned VAT advisors who provide a highly appreciated alternative to the big accounting firms. Special thanks for my colleague, Dr. Jeroen Bijl who helped me edit this edition.

This book is based on information available up to 1 March 2025.

Marija van den Oetelaar

The VAT Consultancy Firm

www.thevatconsultancyfirm.com

Naarden

Marija van den Oetelaar has a university degree in tax law. After working for 13 years as an indirect tax consultant for 2 of the BIG4 firms, she started her own firm, Het BTW Advies Kantoor (www.thevatconsultancyfirm.com) established in Naarden in the Netherlands. Since 2002 Het BTW Advies Kantoor B.V. has been advising internationally operating companies on VAT issues. The firm is also big in compliance and fiscal representation. On behalf of several tax institutions, she lectures on VAT. She has also published several books and articles on VAT. Marija is the Managing Director of VAT Forum.

Inhoud

European VAT Handbook 2025 - 2026

Preface	3
Austria	43
1. Taxable persons.....	43
1.1 Registration threshold & SME Scheme for domestic taxable persons.....	43
1.2 Registration threshold & SME Scheme for foreign taxable persons.....	43
1.3 VAT grouping.....	44
1.4 Fiscal representative.....	45
2. Taxable transactions.....	45
2.1 Transfer of business.....	45
2.2 Supplies free of charge.....	45
2.3 Importation.....	45
3. Place of Supply.....	46
3.1 Consignment and call-off stock.....	46
3.2 Installation supply.....	46
3.3 Distance sales.....	46
3.4 Simplified triangulation rules.....	46
3.5 Acquisition threshold.....	47
3.6 Effective use and enjoyment.....	47
4. Chargeable event & chargeability of VAT.....	47
4.1 Principles.....	47
4.2 Advance payments.....	47
4.3 Continuous supplies.....	47
4.4 Cash accounting.....	47
5. Taxable amount.....	48
5.1 Bad debt relief.....	48
5.2 Cash discounts.....	48
5.3 Open Market Value.....	48
5.4 Returnable Packaging.....	48
6. VAT rates.....	49
6.1 Standard rate.....	49
6.2 Reduced rate.....	49
6.3 Super-reduced and zero rate.....	49
7. Exemptions.....	49
7.1 Exemptions with the right of deduction.....	49
7.2 Exemptions without the right to deduction.....	50
7.3 Option for taxation.....	51

8.	Liability.....	51
8.1	Reverse charges	51
8.2	Joint and several liability	52
9.	Recovery of input VAT	52
9.1	Non-recoverable input VAT	52
9.2	Excess input VAT	52
9.3	Capital goods - adjustment periods	53
9.4	VAT refunds to EU taxable persons	53
9.5	VAT refunds to non-EU taxable persons	53
10.	Administrative obligations.....	54
10.1	Invoices	54
10.2	VAT compliance.....	56
10.3	Penalties.....	56
10.4	Intrastat	57
11.	Additional compliance requirements	57
11.1	Special withholding scheme according to Sec 27/4 Umsatzsteuergesetz 1994.....	57
11.2	Special VAT identification number for forwarding agents	58
Belgium		
1.	Taxable persons.....	59
1.1	Registration threshold & SME Scheme for domestic taxable persons	59
1.2	Registration threshold & SME Scheme for foreign taxable persons	59
1.3	VAT grouping.....	60
1.4	Fiscal representative	61
2.	Taxable transactions.....	61
2.1	Transfer of business	61
2.2	Supplies free of charge	61
2.3	Importation	62
3.	Place of Supply	62
3.1	Consignment and call-off stock	62
3.2	Installation supply	62
3.3	Distance sales	63
3.4	Simplified triangulation rules	63
3.5	Acquisition threshold	63
3.6	Effective use and enjoyment.....	63
4.	Taxable event & Chargeability	64
4.1	Principles	64
4.2	Advance payments.....	64
4.3	Continuous supplies.....	64
4.4	Cash accounting.....	64
5.	Taxable amount.....	65
5.1	Bad debt relief	65

5.2	Cash discounts	65
5.3	Open Market Value	65
5.4	Returnable Packaging	65
6.	VAT rates	66
6.1	Standard rate	66
6.2	Reduced rate	66
6.3	Super-reduced and zero rate	66
7.	Exemptions	66
7.1	Exemptions with the right of deduction	66
7.2	Exemptions without the right to deduction	68
7.3	Option for taxation	70
8.	Liability	70
8.1	Reverse charges	70
8.2	Joint and several liability	71
9.	Recovery of input VAT	71
9.1	Non-recoverable input VAT	71
9.2	Excess input VAT	72
9.3	Adjustment periods	72
9.4	VAT refund to EU taxable persons	72
9.5	VAT refund to non-EU taxable persons	73
10.	Administrative obligations	73
10.1	Invoicing	73
10.2	VAT compliance	75
10.3	Penalties	76
10.4	Intrastat	77
10.5	Additional compliance requirements	77
Bulgaria		
1.	Taxable persons	79
1.1	Registration threshold & SME Scheme for domestic taxable persons	79
1.2	Registration threshold & SME Scheme for taxable persons	79
1.3	VAT grouping	80
1.4	Fiscal representative	80
2.	Taxable transactions	80
2.1	Transfer of business	80
2.2	Supplies free of charge	80
2.3	Importation	80
3.	Place of Supply	81
3.1	Consignment and call-off stock	81
3.2	Installation supply	81
3.3	Distance sales	81
3.4	Simplified triangulation rules	81

Croatia	
1.	Taxable Persons 91
1.1	Registration & SME scheme for domestic taxable persons 91
1.2	Registration & SME scheme for foreign taxable persons 91
1.3	VAT grouping 92
1.4	Fiscal representative 92
9.	Recovery of input VAT 86
9.1	Non-recoverable input VAT 86
9.2	Excess input VAT 86
9.3	Capital goods - Adjustment periods 86
9.4	VAT refunds to EU taxable persons 86
9.5	VAT refunds to non-EU taxable persons 86
10.	Administrative obligations 87
10.1	Invoices 87
10.2	Compliance 88
10.3	Penalties 89
10.4	Intrastat 89
10.5	Additional compliance requirements 90
7.	Exemptions 84
7.1	Exemptions with the right of deduction 84
7.2	Exemptions without the right to deduction 85
7.3	Option for taxation 85
8.	Liability 85
8.1	Reverse charges 85
8.2	Joint and several liability 85
9.	Recovery of input VAT 86
9.1	Non-recoverable input VAT 86
9.2	Excess input VAT 86
9.3	Capital goods - Adjustment periods 86
9.4	VAT refunds to EU taxable persons 86
9.5	VAT refunds to non-EU taxable persons 86
10.	Administrative obligations 87
10.1	Invoices 87
10.2	Compliance 88
10.3	Penalties 89
10.4	Intrastat 89
10.5	Additional compliance requirements 90
1.	Taxable Persons 91
1.1	Registration & SME scheme for domestic taxable persons 91
1.2	Registration & SME scheme for foreign taxable persons 91
1.3	VAT grouping 92
1.4	Fiscal representative 92

2.	Taxable transactions	93
2.1	Transfer of business	93
2.2	Supplies free of charge	93
2.3	Importation	93
3.	Place of supply	93
3.1	Consignment and call-off stock	93
3.2	Installation supplies	94
3.3	Distance sales threshold	94
3.4	Simplified triangulation rules	94
3.5	Acquisition threshold	94
3.6	Effective use and enjoyment	95
4.	Taxable event & chargeability	95
4.1	Principles	95
4.2	Advance payments	95
4.3	Continuous supplies	95
4.4	Cash accounting	95
5.	Taxable amount	95
5.1	Bad debt relief	95
5.2	Cash discounts	96
5.3	Open Market Value	96
5.4	Returnable packaging	97
6.	VAT rates and exemptions	97
6.1	Standard rate	97
6.2	Reduced rate	97
6.3	Zero rates	98
7.	Exemptions	98
7.1	Exemptions with right to deduction	98
7.2	Exemptions without right to deduction	100
8.	Liability	100
8.1	Reverse charges	100
8.2	Joint and several liability	101
9.	Recovery of input VAT	102
9.1	Non-recoverable input VAT	102
9.2	Excess input VAT	102
9.3	Capital goods - adjustment periods	102
9.4	VAT refund to EU taxable persons	102
9.5	VAT refund to non-EU taxable persons	103
10.	Administrative obligations	104
10.1	Invoices	104
10.2	VAT compliance	106
10.3	Penalties	107
10.4	Intrastat	108

109	1. Taxable persons.....	109
109	1.1 Registration threshold & SME Scheme for domestic taxable persons.....	109
111	1.2 Registration threshold & SME Scheme for foreign taxable persons.....	111
111	1.3 VAT grouping.....	111
112	1.4 Fiscal representative.....	112
112	2. Taxable transactions.....	112
112	2.1 Transfer of business.....	112
113	2.2 Supplies free of charge.....	113
113	2.3 Importation.....	113
114	3. Place of supply.....	114
114	3.1 Consignment and call-off stock.....	114
115	3.2 Installation supplies.....	115
115	3.3 Distance sales threshold.....	115
115	3.4 Simplified triangulation rules.....	115
115	3.5 Acquisition threshold.....	115
116	3.6 Effective use and enjoyment.....	116
116	4. Chargeable event & chargeability of VAT.....	116
116	4.1 Principles.....	116
117	4.2 Advance payments.....	117
117	4.3 Continuous supplies.....	117
117	4.4 Cash accounting.....	117
117	5. Taxable amount.....	117
117	5.1 Bad debt relief.....	117
118	5.2 Cash discounts.....	118
118	5.3 Open Market Value.....	118
118	5.4 Returnable packaging.....	118
119	6. VAT rates.....	119
119	6.1 Standard rate.....	119
119	6.2 Reduced rate.....	119
120	6.3 Super-reduced and zero rates.....	120
120	7. Exemptions.....	120
120	7.1 Exemptions with the right of deduction.....	120
122	7.2 Exemptions without the right to deduction.....	122
123	7.3 Option for taxation.....	123
123	8. Liability.....	123
123	8.1 Reverse charges.....	123
125	8.2 Joint and several liability.....	125
125	9. Recovery of input VAT.....	125
125	9.1 Non-recoverable input VAT.....	125
125	9.2 Excess input VAT.....	125
126	9.3 Adjustment periods.....	126

9.4	VAT refund to EU taxable persons	126
9.5	VAT refunds to non-EU taxable persons	127
10.	Administrative Obligations	128
10.1	Invoices	128
10.2	Compliance	130
10.3	Penalties	131
10.4	Intrastat	132
10.5	Additional compliance requirements	133

The Czech Republic

1.	Taxable persons	135
1.1	Registration & SME Scheme for domestic taxable persons	135
1.2	Registration & SME Scheme for foreign taxable persons	135
1.3	VAT grouping	136
1.4	Fiscal representative	136
2.	Taxable transactions	136
2.1	Transfer of business	136
2.2	Supplies free of charge	136
2.3	Importation	137
3.	Place of Supply	137
3.1	Consignment and call-off stock	137
3.2	Installation supplies	138
3.3	Distance sales	138
3.4	Simplified triangulation rules	138
3.5	Acquisition threshold	138
3.6	Effective use and enjoyment	138
4.	Chargeable event & chargeability of VAT	139
4.1	Principles	139
4.2	Advance payments	139
4.3	Continuous supplies	139
4.4	Cash accounting	139
5.	Taxable amount	139
5.1	Bad debt relief	139
5.2	Cash discounts:	140
5.3	Open Market Value	140
5.4	Returnable Packaging	140
6.	VAT rates	140
6.1	Standard rate	140
6.2	Reduced rate	140
6.3	Super-reduced and zero rate	141
7.	Exemptions	141
7.1	Exemptions with right to deduction	141

Denmark	151
1. Taxable person	151
1.1 Registration threshold & SME Scheme for domestic taxable persons	151
1.2 Registration threshold & SME Scheme for foreign taxable persons	151
1.3 VAT Grouping	152
1.4 Fiscal representative	152
2. Taxable transactions	153
2.1 Transfer of business	153
2.2 Supplies free of charge	153
2.3 Importation	153
3. Place of supply	154
3.1 Consignment and call-off stock	154
3.2 Installation supplies	154
3.3 Distance sales threshold	154
3.4 Simplified triangulation rules	155
3.5 Acquisition threshold	155
3.6 Effective use and enjoyment	155
4. Chargeable event & chargeability of VAT	156
4.1 Principles	156
4.2 Advance payments	156
4.3 Continuous supplies	156
4.4 Cash accounting	156
5. Taxable amount	156
5.1 Bad debt relief	156
8. Liability	143
8.1 Reverse charges	143
8.2 Joint and several liability	144
9. Recovery of input VAT	144
9.1 Non-recoverable input VAT	144
9.2 Excess input VAT	144
9.3 Adjustment periods - Capital goods	144
9.4 VAT refunds to EU taxable persons	145
9.5 VAT refunds to non-EU taxable persons	146
10. Administrative obligations	147
10.1 Invoices	147
10.2 Compliance	148
10.3 Penalties	149
10.4 Intrastat	150
10.5 Additional compliance requirements	150

5.2	Cash discounts	157
5.3	Open Market Value	157
5.4	Returnable packaging	157
6.	VAT rates	157
6.1	Standard rate	157
6.2	Reduced rate	157
6.3	Super-reduced and zero rates	157
7.	Exemptions	158
7.1	Exemptions with right to deduction (zero rate)	158
7.2	Exemptions without right to deduction	159
7.3	Option for taxation	160
8.	Liability	160
8.1	Reverse charge	160
8.2	Joint and several liability	161
9.	Recovery of input VAT	161
9.1	Non-recoverable input VAT	161
9.2	Excess input VAT	162
9.3	Adjustment periods	162
9.4	VAT refund to EU taxable persons	162
9.5	VAT refund to non-EU taxable persons	162
10.	Administrative Obligations	163
10.1	Invoicing	163
10.2	Compliance	165
10.3	Penalties	166
10.4	Intrastat	167
10.5	Additional compliance requirements	167
Estonia		
1.	Taxable persons	169
1.1	Registration threshold & SME Scheme for domestic taxable persons	169
1.2	Registration threshold & SME Scheme for foreign taxable persons	169
1.3	VAT grouping	170
1.4	Fiscal representative	171
2.	Taxable transactions	171
2.1	Transfer of a business	171
2.2	Supplies free of charge	171
2.3	Importation	171
3.	Place of supply	172
3.1	Consignment and call-off stock	172
3.2	Installation supplies	172
3.3	Distance sales threshold	172
3.4	Simplified triangulation rules	172

1. Taxable persons.....	185
1.1 Registration threshold & SME Scheme for domestic taxable persons.....	185
1.2 Registration threshold & SME Scheme for foreign taxable persons.....	185
1.3 VAT Grouping.....	186
1.4 Fiscal representative.....	187
Finland	185
10. Administrative obligations.....	180
10.1 Invoices.....	180
10.2 VAT compliance.....	182
10.3 Penalties.....	182
10.4 Intrastat.....	183
10.5 Additional compliance requirements.....	183
9. Recovery of input VAT.....	178
9.1 Non recoverable input VAT.....	178
9.2 Excess input VAT.....	178
9.3 Adjustment periods.....	179
9.4 VAT refunds to EU taxable persons.....	179
9.5 VAT refunds to non-EU taxable persons.....	179
8. Liability.....	177
8.1 Reverse Charges.....	177
8.2 Joint and several liability.....	178
7. Exemptions.....	175
7.1 Exemptions with right to deduction (zero rate).....	175
7.2 Exemptions without right to deduction.....	177
7.3 Option for taxation.....	177
6. VAT rates and exemptions.....	175
6.1 Standard rate.....	175
6.2 Reduced rate.....	175
6.3 Super-reduced rate and zero rates.....	175
5. Taxable amount.....	174
5.1 Bad debt relief.....	174
5.2 Cash discounts.....	174
5.3 Open market value.....	174
5.4 Returnable packaging.....	175
4. Chargeable event & chargeability of VAT.....	173
4.1 Principles.....	173
4.2 Advance payments.....	173
4.3 Continuous supplies.....	173
4.4 Cash accounting.....	173
3.6 Effective use and enjoyment.....	173
3.5 Acquisition threshold.....	173

2.	Taxable transactions	187
2.1	Transfer of business	187
2.2	Supplies free of charge	187
2.3	Importation	187
3.	Place of supply	188
3.1	Consignment and call-off stock	188
3.2	Installation supplies	188
3.3	Distance sales	188
3.4	Simplified triangulation	189
3.5	Acquisition threshold	189
3.6	Effective use and enjoyment	189
4.	Chargeable event & Chargeability of VAT	189
4.1	Principles	189
4.2	Advance payments	189
4.3	Continuous supplies	189
4.4	Cash accounting	190
5.	Taxable amount	190
5.1	Bad Debt Relief	190
5.2	Cash Discounts	190
5.3	Open Market Value	191
5.4	Returnable Packaging	191
6.	VAT rates	191
6.1	Standard rate	191
6.2	Reduced rate	191
6.3	Super-reduced and zero rates	192
7.	Exemptions	192
7.1	Exemptions with the right of deduction	192
7.2	Exemptions without right to deduction	193
7.3	Option for taxation	194
8.	Liability	194
8.1	Reverse charge	194
8.2	Joint and Several Liability	195
9.	Recovery of input VAT	196
9.1	Non-recoverable input VAT	196
9.2	Excess input VAT	196
9.3	Adjustment periods	196
9.4	VAT refund to EU taxable persons	196
9.5	VAT refund to non-EU taxable persons	197
10.	Administrative obligations	198
10.1	Invoices	198
10.2	Compliance	200
10.3	Penalties	201

10.4	Intrastat	201
10.5	Additional compliance requirements	202
France		
1.	Taxable persons	203
1.1	Registration threshold & SME Scheme for domestic taxable persons	203
1.2	Registration threshold & SME Scheme for foreign taxable persons	203
1.3	VAT grouping	204
1.4	Fiscal representative	206
1.5	Limited fiscal representative/ Agent	207
1.6	New Mandataire regime for imports	207
2.	Taxable transactions	208
2.1	Transfer of business	208
2.2	Supplies free of charge	209
2.3	Importation	209
3.	Place of supply	210
3.1	Consignment and call-off stock	210
3.2	Installation supplies	210
3.3	Distance sales threshold	210
3.4	Simplified triangulation rules	211
3.5	Acquisition threshold	211
3.6	Effective use and enjoyment	211
4.	Chargeable event & chargeability of VAT	213
4.1	Principles	213
4.2	Advance payments	213
4.3	Continuous supplies	214
4.4	Cash accounting	214
5.	Taxable amount	214
5.1	Bad Debt Relief	214
5.2	Cash Discounts	214
5.3	Open Market Value	215
5.4	Returnable Packaging	215
6.	VAT rates	215
6.1	Standard rate	215
6.2	Reduced rate	216
6.3	Intermediate rate	216
6.4	Super-reduced and zero rates	216
7.	Exemptions	217
7.1	Exemptions with the right of deduction	217
7.2	Exemptions without the right to deduction	220
7.3	Option for taxation	221
7.4	VAT free purchase regime	222

8.	Liability.....	222
8.1	Reverse charges	222
8.2	Joint and several liability	223
9.	Recovery of input VAT	223
9.1	Non-recoverable input VAT	223
9.2	Excess input VAT	224
9.3	Adjustment periods	224
9.4	VAT refunds to EU taxable persons	224
9.5	VAT refunds to non-EU taxable persons	224
10.	Administrative obligations	225
10.1	Invoices	225
10.2	Compliance	231
10.3	Penalties	232
10.4	Intrastat	233
10.5	Additional compliance requirements	234
Germany		
1.	Taxable persons.....	235
1.1	Registration threshold & SME Scheme for domestic taxable persons	235
1.2	Registration threshold & SME Scheme for foreign taxable persons	236
1.3	VAT grouping.....	237
1.4	Fiscal representative	238
2.	Taxable transactions	238
2.1	Transfer of business	238
2.2	Supplies free of charge	238
2.3	Importation	238
3.	Place of supply	239
3.1	Consignment and call-off stock	239
3.2	Installation supplies	239
3.3	Distance sales	239
3.4	Simplified triangulation rules	240
3.5	Acquisition threshold	240
3.6	Effective use and enjoyment	240
4.	Chargeable event & chargeability of VAT	241
4.1	Principles	241
4.2	Advance payments	241
4.3	Continuous supplies	241
4.4	Cash accounting	241
5.	Taxable amount	242
5.1	Bad debt relief	242
5.2	Cash discounts	242

5.3	Open Market Value	242
5.4	Returnable packaging	242
6	VAT rates	243
6.1	Standard rate	243
6.2	Reduced rate	243
6.3	Super-reduced and zero rates	243
7	Exemptions	243
7.1	Exemptions with the right to deduction	243
7.2	Exemptions without the right to deduction	244
7.3	Option for taxation	245
8	Liability	245
8.1	Reverse Charges	245
8.2	Joint and several liability	246
9	Recovery of input VAT	246
9.1	Non-recoverable input VAT	246
9.2	Excess input VAT	246
9.3	Adjustment periods	246
9.4	VAT refund to EU taxable persons	246
9.5	VAT refund to non-EU taxable persons	247
10	Administrative obligations	248
10.1	Invoices	248
10.2	Compliance	250
10.3	Penalties	250
10.4	Intrastat	251
10.5	Additional compliance requirements	251
Greece		
1	Taxable persons	253
1.1	Registration threshold & SME Scheme for domestic taxable persons	253
1.2	Registration threshold & SME Scheme for foreign taxable persons	253
1.3	VAT grouping	254
1.4	Fiscal representative	254
2	Taxable transactions	254
2.1	Transfer of business	254
2.2	Supplies free of charge	254
2.3	Importation	255
3	Place of supply	256
3.1	Consignment and call-off stock	256
3.2	Installation supplies	256
3.3	Distance sales	256
3.4	Simplified triangulation rules	257

3.5	Acquisition threshold.....	257
3.6	Effective use and enjoyment.....	257
4.	Chargeable event and chargeability of VAT.....	257
4.1	Principles.....	257
4.2	Advance payments.....	258
4.3	Continuous supplies.....	258
4.4	Cash accounting.....	258
5.	Taxable amount.....	258
5.1	Bad debt relief.....	258
5.2	Cash discountsAssume that the supplier sends the following invoice:.....	258
5.3	Open market value.....	259
5.4	Returnable Packaging.....	259
6.	VAT rates.....	259
6.1	Standard rate.....	259
6.2	Reduced rate.....	259
7.	Exemptions.....	260
7.1	Exemptions with right to deduction (zero rate).....	260
7.2	Exemptions without right to deduction.....	261
7.3	Option for taxation.....	263
8.	Liability.....	263
8.1	Reverse charge.....	263
8.2	Joint and several liability.....	264
9.	Recovery of input VAT.....	264
9.1	Non-recoverable input VAT.....	264
9.2	Excess input VAT.....	264
9.3	Adjustment periods.....	264
9.4	VAT refund to EU taxable persons.....	265
9.5	VAT refund to non-EU taxable persons.....	265
10.	Administrative obligations.....	266
10.1	Invoicing.....	266
10.2	VAT compliance.....	268
10.3	Penalties.....	268
10.4	Intrastat.....	269
10.5	Additional compliance requirements.....	270
Hungary		271
1.	Taxable Persons.....	271
1.1	Registration threshold & SME scheme for domestic taxable persons.....	271
1.2	Registration threshold & SME scheme for foreign taxable persons.....	271
1.3	VAT grouping.....	272
1.4	Fiscal representative.....	273

2.	Taxable transaction	273
	2.1 Transfer of business	273
	2.2 Supplies free of charge	273
	2.3 Importation	274
3.	Place of supply	275
	3.1 Consignment and call-off stock	275
	3.2 Installation supplies	276
	3.3 Distance sales threshold	276
	3.4 Simplified triangulation rules	276
	3.5 Acquisition threshold	277
	3.6 Effective use and enjoyment	277
4.	Chargeable event and chargeability	277
	4.1 Principles	277
	4.2 Partial fulfillment and advance payments	277
	4.3 Continuous supplies	277
	4.4 Cash accounting	277
5.	Taxable amount	278
	5.1 Bad debt relief	278
	5.2 Cash discounts	279
	5.3 Open Market Value	279
	5.4 Returnable packaging	279
6.	VAT rates	279
	6.1 Standard rate	279
	6.2 Reduced rate	279
7.	Exemptions	280
	7.1 Exemptions with the right to deduct VAT	280
	7.2 Exemptions without right to deduction	281
	7.3 Option for taxation	281
8.	Liability	282
	8.1 Reverse charge	282
	8.2 Joint and several liability	283
9.	Recovery of input VAT	283
	9.1 Non-recoverable input VAT	283
	9.2 Excess input VAT	284
	9.3 Capital goods - adjustment periods	284
	9.4 VAT refund for foreigners	284
10.	Administrative obligations	286
	10.1 Invoicing	286
	10.2 VAT compliance	288
	10.3 Penalties	290
	10.4 Intrastat	290
	10.5 Additional compliance requirements	291

1.	Taxable persons.....	293
1.1	Registration threshold & SME Scheme for domestic taxable persons	293
1.2	Registration threshold & SME Scheme for foreign taxable persons	294
1.3	VAT grouping.....	295
1.4	Fiscal representative	295
2.	Taxable transactions	296
2.1	Transfer of business	296
2.2	Supplies free of charge	296
2.3	Importation	296
3.	Place of Supply	297
3.1	Consignment and call-off stock	297
3.2	Installation supplies	298
3.3	Distance sales threshold	298
3.4	Simplified triangulation rules	298
3.5	Acquisition threshold	298
3.6	Effective use and enjoyment.....	298
4.	Chargeable event & Chargeability to VAT	299
4.1	Principles	299
4.2	Advance payments	299
4.3	Continuous supplies	299
4.4	Cash accounting.....	299
5.	Taxable amount	299
5.1	Bad Debt Relief	299
5.2	Cash discounts	300
5.3	Open Market Value	300
5.4	Returnable packaging	301
6.	VAT rates and exemptions.....	301
6.1	Standard rate	301
6.2	Reduced rate	301
7.	Exemptions	302
7.1	Exemptions with right to deduction (zero rate)	302
7.2	Exemptions without right to deduction	303
7.3	Options for taxation	303
8.	Liability.....	303
8.1	Reverse charge.....	303
8.2	Joint and several liability.....	304
9.	Recovery of input VAT	304
9.1	Non-recoverable input VAT	304
9.2	Excess input VAT	305
9.3	Capital goods - adjustment periods	305

Italy	313
1. Taxable persons.....	313
1.1 Registration threshold & SME Scheme for domestic taxable persons.....	313
1.2 Registration threshold & SME Scheme for foreign taxable persons.....	313
1.3 VAT grouping.....	315
1.4 Fiscal representative.....	316
2. Taxable transactions.....	317
2.1 Transfer of business.....	317
2.2 Supplies free of charge.....	317
2.3 Importation.....	317
3. Place of supply.....	318
3.1 Consignment and call-off stock.....	318
3.2 Installation supplies.....	318
3.3 Distance sales.....	318
3.4 Simplified triangulation rules.....	318
3.5 Acquisition threshold.....	319
3.6 Effective use and enjoyment.....	319
4. Chargeable event & chargeability of VAT.....	319
4.1 Principles.....	319
4.2 Advance payments.....	320
4.3 Continuous supplies.....	320
4.4 Cash accounting.....	320
5. Taxable amount.....	320
5.1 Bad debt relief.....	320
5.2 Cash discountsAssume that the supplier sends the following invoice:.....	321
5.3 Open Market Value.....	321
5.4 Returnable packaging.....	321
6. VAT rates and exemptions.....	322
6.1 Standard rate.....	322
6.2 Reduced rate.....	322
6.3 Super-reduced rates.....	322
7. Exemptions.....	322
7.1 Exemption with the right to deduction.....	322
9.4 VAT refund to EU taxable persons.....	305
9.5 VAT refund to non-EU taxable persons.....	306
10. Administrative obligations.....	307
10.1 Invoices.....	307
10.2 VAT compliance.....	309
10.3 Penalties.....	310
10.4 Intrastat.....	311
10.5 Additional Compliance Requirements.....	311

7.2	Exemptions without the right to deduction.....	326
7.3	Option for taxation.....	326
8.	Liability.....	327
8.1	Reverse charges.....	327
8.2	Joint and several liability.....	328
9.	Recovery of input VAT.....	328
9.1	Non-recoverable input VAT.....	328
9.2	Excess input VAT.....	329
9.3	Capital goods – adjustment periods.....	331
9.4	VAT refunds for foreigners.....	331
10.	Administrative obligations.....	333
10.1	Invoicing.....	333
10.2	VAT compliance.....	336
10.3	Penalties.....	337
10.4	Intrastat.....	340
10.5	Additional compliance requirements.....	342
Latvia		
1.	Taxable Persons.....	343
1.1	Registration threshold & SME Scheme for domestic taxable persons.....	343
1.2	Registration threshold & SME Scheme for foreign taxable persons.....	343
1.3	VAT Grouping.....	344
1.4	Fiscal Representative.....	344
2.	Taxable transactions.....	345
2.1	Transfer of business.....	345
2.2	Supplies free of charge.....	345
2.3	Importation.....	345
3.	Place of supply.....	346
3.1	Consignment and call-off stock.....	346
3.2	Installation supplies.....	346
3.3	Distance sales.....	346
3.4	Simplified triangulation.....	347
3.5	Acquisition threshold.....	347
3.6	Effective Use & Enjoyment.....	347
4.	Chargeable event & Chargeability of VAT.....	348
4.1	Principles.....	348
4.2	Advance payments.....	348
4.3	Continuous supplies.....	348
4.4	Cash accounting.....	348
5.	Taxable amount.....	349
5.1	Bad Debt Relief.....	349
5.2	Cash Discounts.....	349

349	5.3	Open Market Value
350	5.4	Returnable Packaging
350		VAT rates
350	6.1	Standard rate
350	6.2	Reduced rate
350	6.3	Super-reduced and zero rates
350		Exemptions
350	7.1	Exemptions with the right of deduction
351	7.2	Exemptions without the right to deduction
352	7.3	Option for taxation
352		Liability
352	8.1	Reverse charges
353	8.2	Joint and several liability
353		Recovery of input VAT
353	9.1	Non-recoverable input VAT
353	9.2	Excess input VAT
354	9.3	Adjustment periods
354	9.4	VAT refunds to EU taxable persons
354	9.5	VAT refunds to non-EU taxable persons
355		Administrative obligations
355	10.1	Invoices
358	10.2	Compliance
359	10.3	Penalties
359	10.4	Intrastat
360	10.5	Additional compliance requirements
361		Lithuania
361	1.	Taxable Persons
361	1.1	Registration threshold & SME scheme for domestic taxable persons
361	1.2	Registration threshold & SME Scheme for foreign taxable persons
362	1.3	VAT Grouping
362	1.4	Fiscal Representative
363		Taxable transactions
363	2.1	Transfer of business
363	2.2	Supplies free of charge
364	2.3	Importation
364		Place of supply
364	3.1	Consignment and call-off stock
364	3.2	Installation supplies
365	3.3	Distance sales
365	3.4	Simplified triangulation

365	3.5	Acquisition threshold
365	3.6	Effective use & enjoyment
365	4.	Chargeable event & chargeability of VAT
365	4.1	Principles
365	4.2	Advance payments
366	4.3	Continuous supplies
366	4.4	Cash accounting
366	5.	Taxable amount
366	5.1	Bad Debt Relief
366	5.2	Cash Discounts Assume that the supplier sends the following invoice:
367	5.3	Open Market Value
367	5.4	Returnable Packaging
367	6.	VAT rates
367	6.1	Standard rate
367	6.2	Reduced rate
368	6.3	Super-reduced and zero rates
368	7.	Exemptions
368	7.1	Exemptions with the right of deduction
370	7.2	Exemptions without the right to deduction
370	7.3	Option for taxation
370	8.	Liability
370	8.1	Reverse charges
372	8.2	Joint and several liability
372	9.	Recovery of input VAT
372	9.1	Non-recoverable input VAT
372	9.2	Excess input VAT
372	9.3	Adjustment periods
372	9.4	VAT refunds to EU taxable persons
373	9.5	VAT refunds to non-EU taxable persons
374	10.	Administrative obligations
374	10.1	Invoices
376	10.2	Compliance
376	10.3	Penalties
377	10.4	Intrastat
378	10.5	Additional compliance requirements
379	Luxembourg	
379	1.	Taxable persons
379	1.1	Registration threshold & SME Scheme for domestic taxable persons
379	1.2	Registration threshold & SME Scheme for foreign taxable persons
380	1.3	VAT grouping
380	1.4	Fiscal representative

2.	Taxable event.....	381
	2.1 Transfer of business.....	381
	2.2 Supplies free of charge.....	381
	2.3 Importation.....	381
3.	Place of supply.....	381
	3.1 Consignment and call-off stock.....	381
	3.2 Installation supplies.....	381
	3.3 Distance sales.....	381
	3.4 Simplified triangulation.....	382
	3.5 Acquisition threshold.....	382
	3.6 Effective use and enjoyment.....	382
4.	Chargeable event and chargeability of VAT.....	382
	4.1 Principles.....	382
	4.2 Advance payments.....	383
	4.3 Continuous supplies.....	383
	4.4 Cash accounting.....	383
5.	Taxable amount.....	383
	5.1 Bad debt relief.....	383
	5.2 Cash discount.....	383
	5.3 Open market value.....	384
	5.4 Returnable packaging.....	384
6.	VAT rates.....	384
	6.1 Standard rates.....	384
	6.2 Reduced rate.....	384
	6.3 Super-reduced rate.....	384
7.	Exemptions.....	385
	7.1 Exemption with the right of deduction.....	385
	7.2 Exemptions without right to deduction.....	385
	7.3 Option for taxation.....	386
8.	Liability.....	386
	8.1 Reverse charges.....	386
	8.2 Joint and several liability.....	386
9.	Recovery of input VAT.....	386
	9.1 Non-recoverable input VAT.....	386
	9.2 Excess input VAT.....	386
	9.3 Adjustment periods.....	386
	9.4 VAT refunds to EU taxable persons.....	387
	9.5 VAT refunds to non-EU taxable persons.....	387
10.	Administrative obligations.....	388
	10.1 Invoices.....	388
	10.2 Compliance.....	389

10.3 Penalties.....	390
10.4 Intrastat.....	391

Malta

1. Taxable persons.....	393
1.1 Registration threshold & SME Scheme for domestic taxable persons.....	393
1.2 Registration threshold & SME Scheme for foreign taxable persons.....	395
1.3 VAT grouping.....	395
1.4 Fiscal representative.....	395
2. Taxable transactions.....	396
2.1 Transfer of business.....	396
2.2 Supplies free of charge.....	396
2.3 Importation.....	396
3. Place of supply.....	397
3.1 Consignment and call-off stock.....	397
3.2 Installation supplies.....	397
3.3 Distance sales.....	397
3.4 Simplified triangulation rules.....	397
3.5 Acquisition threshold.....	397
3.6 Effective use and enjoyment.....	398
4. Chargeable event and chargeability of VAT.....	398
4.1 Principles.....	398
4.2 Advance payments.....	398
4.3 Continuous supplies.....	398
4.4 Cash accounting.....	398
5. Taxable amount.....	398
5.1 Bad debt relief.....	398
5.2 Cash Discounts.....	399
5.3 Open market value.....	399
5.4 Returnable packaging.....	399
6. VAT rates.....	399
6.1 Standard rate.....	399
6.2 Reduced rates.....	399
6.3 Super-reduced and zero rate.....	400
7. Exemptions.....	400
7.1 Exemptions with right to deduction ('zero rated').....	400
7.2 Exemptions without right to deduction.....	401
7.3 Warehousing.....	401
8. Liability.....	401
8.1 Reverse charges.....	401
8.2 Joint and several liability.....	402

9.	Recovery of input VAT	402
9.1	Non-recoverable input VAT	402
9.2	Excess input VAT	402
9.3	Capital goods – adjustment periods	403
9.4	VAT refund for foreigners	403
10.	Administrative obligations	406
10.1	Invoicing	406
10.2	VAT Compliance	407
10.3	Penalties	408
10.4	Intrastat	409
10.5	Additional compliance requirements	410
The Netherlands		
1.	Taxable persons	411
1.1	Registration threshold & SMB Scheme for domestic taxable persons	411
1.2	Registration threshold & SMB Scheme for foreign taxable persons	411
1.3	VAT grouping	412
1.4	Fiscal representative	413
2.	Taxable transactions	414
2.1	Transfer of business	414
2.2	Supplies free of charge	414
2.3	Importation	414
3.	Place of supply	415
3.1	Consignment and call-off stock	415
3.2	Installation supplies	415
3.3	Distance sales	415
3.4	Simplified triangulation rules	416
3.5	Acquisition threshold	416
3.6	Effective use and enjoyment	416
4.	Chargeable event & chargeability of VAT	417
4.1	Principles	417
4.2	Advance payments	417
4.3	Continuous supplies	417
4.4	Cash accounting	417
5.	Taxable amount	417
5.1	Bad debt relief	417
5.2	Cash discounts	418
5.3	Open Market Value	418
5.4	Returnable packaging	418
6.	VAT rates	418
6.1	Standard rate	418

6.2	Reduced rate	418
6.3	Super-reduced and zero rate	419
7.	Exemptions	419
7.1	Exemptions with the right to deduction	419
7.2	Exemptions without right to deduction	421
7.3	Option for taxation	421
8.	Liability	421
8.1	Reverse charges	421
8.2	Joint and several liability	422
9.	Recovery of input VAT	423
9.1	Non-recoverable input VAT	423
9.2	Excess input VAT	423
9.3	Capital goods – adjustment periods	423
9.4	VAT refund for foreigners	423
10.	Administrative obligations	425
10.1	Invoices	425
10.2	VAT compliance	426
10.3	Penalties	427
10.4	Intrastat	429
10.5	Additional compliance requirements	429
Norway		
1.	Taxable persons	431
1.1	Registration threshold & SME scheme for domestic taxable persons	431
1.2	Registration threshold & SME scheme for foreign taxable persons	432
1.3	VAT grouping	432
1.4	Fiscal representative	432
1.5	Simplified registration procedure for providers of electronic communication services	433
1.6	Voluntary VAT registration and pre-registration	433
1.7	Second-hand goods, works of art, collectors' items and antiques	433
2.	Taxable transactions	434
2.1	Transfer of business	434
2.2	Supplies free of charge	434
2.3	Importation	434
2.4	New rules for customs clearance of imported goods from 1 April 2025	434
3.	Place of supply	434
3.1	Consignment and call-off stock	434
3.2	Installation supplies	435
3.3	Distance sales threshold – VOEC (VAT on Electronic Commerce)	435
3.4	Simplified triangulation rules	435

435	3.5	Acquisition threshold.....
436	3.6	Effective use and enjoyment.....
436	4.	Chargeable event and chargeability of VAT.....
436	4.1	Principles
436	4.2	Advanced payments – VAT.....
436	4.3	Continuous supplies
436	4.4	Cash accounting.....
436	5.	Taxable amount.....
436	5.1	Bad debt relief
436	5.2	Cash discounts
437	5.3	Open Market Value.....
437	5.4	Returnable packing
437	6.	VAT rates and exemptions.....
437	6.1	Standard rate
437	6.2	Reduced rate
437	7.	Exemptions
437	7.1	Exemption with right of deduction (zero rate)
439	7.2	Exemption without right of deduction.....
439	7.3	Option for taxation.....
439	8.	Liabilities
439	8.1	Reverse charges
440	8.2	Joint and several liability
440	9.	Recovery of input VAT
440	9.1	Non-recoverable input VAT
440	9.2	Excess input VAT
440	9.3	Capital goods – adjustment periods.....
441	9.4	VAT refund for foreigners.....
442	10.	Administrative obligations.....
442	10.1	Invoices.....
442	10.2	VAT compliance.....
443	10.3	Penalties.....
444	10.4	Intrastat
445	Poland	
445	1.	Taxable Persons
445	1.1	Registration threshold & SME Scheme for domestic taxable persons.....
447	1.2	Registration threshold and SME Scheme for foreign taxable persons
450	1.3	VAT Grouping.....
451	1.4	Fiscal Representative
452	2.	Taxable transactions.....
452	2.1	Transfer of business.....

2.2	Supplies free of charge	452
2.3	Importation	453
3.	Place of supply	454
3.1	Consignment and call of stock	454
3.2	Installation supplies	454
3.3	Distance sales	454
3.4	Simplified triangulation	454
3.5	Acquisition threshold	455
3.6	Effective Use & Enjoyment	455
4.	Chargeable event & Chargeability of VAT	455
4.1	Principles	455
4.2	Advance payments	456
4.3	Continuous supplies	456
4.4	Cash accounting	456
5.	Taxable amount	457
5.1	Bad Debt Relief	457
5.2	Cash Discounts	457
5.3	Open Market Value	457
5.4	Returnable Packaging	458
6.	VAT rates	458
6.1	Standard rate	458
6.2	Reduced rate	458
6.3	Super – reduced and zero rates	459
7.	Exemptions	459
7.1	Exemptions with the right of deduction	459
7.2	Exemptions without the right to deduction	461
7.3	Option for taxation	461
8.	Liability	461
8.1	Reverse charges	461
8.2	Joint and several liability	463
9.	Recovery of input VAT	464
9.1	Non-recoverable input VAT	464
9.2	Excess input VAT	464
9.3	Adjustment periods	465
9.4	VAT refund to EU taxable persons	465
9.5	VAT refund to non-EU taxable persons	466
10.	Administrative obligations	467
10.1	Invoices	467
10.2	Compliance	469
10.3	Penalties	472
10.4	Intrastat	474
10.5	Intrastat threshold	475

Portugal	477
1. Taxable persons.....	477
1.1 Registration threshold & SME Scheme for domestic taxable persons.....	477
1.2 Registration threshold & SME Scheme for foreign taxable persons.....	478
1.3 VAT grouping.....	478
1.4 Fiscal representative.....	478
2. Taxable transactions.....	479
2.1 Transfer of business.....	479
2.2 Supplies free of charge.....	480
2.3 Importation.....	480
3. Place of supply.....	481
3.1 Consignment and call-off stock.....	481
3.2 Installation supplies.....	481
3.3 Distance sales.....	481
3.4 Simplified triangulation rules.....	482
3.5 Acquisition threshold.....	482
3.6 Effective use and enjoyment.....	483
4. Chargeable event & chargeability of VAT.....	483
4.1 Principles.....	483
4.2 Advance payments.....	483
4.3 Continuous supplies.....	483
4.4 Cash accounting.....	483
5. Taxable amount.....	484
5.1 Bad debt relief.....	484
5.2 Cash discounts.....	486
5.3 Open market value.....	486
5.4 Returnable packaging.....	486
6. VAT rates.....	487
6.1 Standard rate.....	487
6.2 Reduced rate.....	487
6.3 Super-reduced and zero rate.....	487
7. Exemptions.....	487
7.1 Exemptions with the right to deduction.....	487
7.2 Exemptions without right to deduction.....	489
7.3 Option for taxation.....	490
8. Liability.....	491
8.1 Reverse Charges.....	491
8.2 Joint and several liability.....	491
9. Recovery of input VAT.....	492
9.1 Non-recoverable input VAT.....	492
9.2 Excess input VAT.....	493
9.3 Adjustment periods.....	493

9.4	VAT refund to EU taxable persons	493
9.5	VAT refund to non-EU taxable persons	494
10. Administrative obligations.....		
10.1	Invoicing	495
10.2	VAT Compliance.....	497
10.3	Penalties	498
10.4	Intrastat	499
10.5	Additional compliance requirements	500

Romania

1. Taxable Persons		
1.1	Registration threshold & SME Scheme for domestic taxable persons	501
1.2	Registration threshold & SME Scheme for foreign taxable persons	501
1.3	VAT Grouping	503
1.4	Fiscal Representative	503
2. Taxable transactions		
2.1	Transfer of business	504
2.2	Supplies free of charge	504
2.3	Importation	505
3. Place of supply		
3.1	Consignment and call-off stock	505
3.2	Installation supplies	506
3.3	Distance sales	506
3.4	Simplified triangulation	507
3.5	Acquisition threshold	508
3.6	Effective Use & Enjoyment	508
4. Chargeable event & Chargeability of VAT		
4.1	Principles	508
4.2	Advance payments	509
4.3	Continuous supplies	509
4.4	Cash accounting	509
5. Taxable amount		
5.1	Bad debt relief	509
5.2	Cash discounts	510
5.3	Open market value	510
5.4	Returnable packaging	510
6. VAT rates		
6.1	Standard rate	511
6.2	Reduced rate	511
6.3	Super-reduced and zero rates	511
7. Chapter 7 Exemptions		
7.1	Exemptions with the right of deduction	512

7.2	Exemptions without the right to deduction.....	515
7.3	Option for taxation.....	516
8.	Liability.....	516
8.1	Reverse charges	516
8.2	Joint and several liability.....	517
9.	Recovery of input VAT	518
9.1	Non-recoverable input VAT.....	518
9.2	Excess input VAT.....	518
9.3	Adjustment periods.....	519
9.4	VAT refunds to EU taxable persons.....	519
9.5	VAT refunds to non-EU taxable persons	520
10.	Administrative obligations.....	520
10.1	Invoices.....	520
10.2	Compliance.....	523
10.3	Penalties.....	524
10.4	Intrastat	524
10.5	Additional compliance requirements	525
Slovakia		
1.	Taxable persons.....	530
1.1	Registration threshold & SME Scheme for domestic taxable persons.....	530
1.2	VAT registration and SME Scheme for foreign taxable persons.....	531
1.3	VAT grouping.....	532
1.4	Fiscal representative.....	533
2.	Taxable transactions.....	533
2.1	Transfer of business.....	533
2.2	Supplies free of charge.....	534
2.3	Importation	534
3.	Place of Supply.....	535
3.1	Consignment and call-off stock.....	535
3.2	Installation supplies	535
3.3	Distance sales threshold.....	535
3.4	Simplified triangulation rules	535
3.5	Acquisition threshold.....	536
3.6	Effective use and enjoyment.....	536
4.	Taxable event & chargeability	536
4.1	Principles	536
4.2	Advance payments.....	537
4.3	Cash accounting.....	537
5.	Taxable amount.....	538
5.1	Bad debt relief	538

538	5.2	Cash discounts
538	5.3	Open Market Value
539	6.	VAT rates.....
539	6.1	Standard rate
539	6.2	Reduced rates.....
540	7.	Exemptions
540	7.1	Exemptions with right of deduction
543	7.2	Exemptions without the right of deduction
544	8.	Liability.....
544	8.1	Reverse charges
545	8.2	Joint and several liability
545	9.	Recovery of input VAT
545	9.1	Non-recoverable input VAT
546	9.2	Excess input VAT
546	9.3	Capital goods and services – adjustment periods
546	9.4	VAT refund for foreigners
548	10.	Administrative obligations.....
548	10.1	Invoices.....
548	10.2	VAT compliance.....
549	10.3	Penalties.....
552	10.4	Intrastat
553		
555		Slovenia
555	1.	Taxable persons.....
555	1.1	Registration threshold & SME Scheme for domestic taxable persons
555	1.2	Registration threshold & SME Scheme for foreign taxable persons
556	1.3	VAT grouping.....
556	1.4	Fiscal representative
557	2.	Taxable transactions.....
557	2.1	Transfer of business.....
557	2.2	Supplies free of charge
557	2.3	Importation
558	3.	Place of supply
558	3.1	Consignment and call-off stock
558	3.2	Installation supply.....
558	3.3	Distance sales
558	3.4	Simplified triangulation rules
559	3.5	Acquisition threshold.....
559	3.6	Effective use and enjoyment.....
559	4.	Chargeable event & chargeability of VAT
559	4.1	Principles
559	4.2	Advance payments.....

Spain	573
1. Taxable persons.....	573
1.1 Registration threshold & SME Scheme for domestic taxable persons	573
1.2 Registration threshold & SME scheme for foreign taxable persons	575
1.3 VAT grouping.....	576
1.4 Fiscal representative	577
1.5 Electronic notifications	577
2. Taxable transactions	577
2.1 Transfer of business	577
2.2 Supplies free of charge	577
2.3 Importation	577
3. Place of supply	578
7. Exemptions	562
7.1 Exemptions with the right to deduction (zero rate)	562
7.2 Exemptions without right to deduction	562
7.3 Warehousing	563
8. Liability.....	563
8.1 Reverse Charges	563
8.2 Joint and several liability	564
9. Recovery of input VAT	565
9.1 Non-recoverable input VAT	565
9.2 Excess input VAT	565
9.3 Adjustment periods	565
9.4 VAT refunds to EU taxable persons	565
9.5 VAT refunds to non-EU taxable persons	566
10. Administrative obligations.....	567
10.1 Invoices.....	567
10.2 VAT compliance.....	569
10.3 Penalties	570
10.4 Intrastat	571
6. VAT rates.....	561
6.1 Standard rate	561
6.2 Reduced rate	561
6.3 Super-reduced rate	561
5. Taxable amount	560
5.1 Bad debt relief	560
5.2 Cash discounts	560
5.3 Open Market Value	560
5.4 Returnable packaging	561
4.3 Continuous supplies.....	559
4.4 Cash accounting.....	559

3.1	Consignment and call-off stock.....	578
3.2	Installation supplies.....	579
3.3	Distance sales.....	579
3.4	Simplified triangulation.....	579
3.5	Acquisition threshold.....	579
3.6	Effective use and enjoyment.....	579
4.	Chargeable event & chargeability of VAT.....	580
4.1	Principles.....	580
4.2	Advance payments.....	580
4.3	Continuous supplies.....	580
4.4	Cash accounting.....	581
5.	Taxable amount.....	581
5.1	Bad debt relief.....	581
5.2	Cash discounts.....	581
5.3	Open market value.....	582
5.4	Returnable packing.....	582
6.	VAT Rates.....	583
6.1	Standard rate.....	583
6.2	Reduced rate.....	583
6.3	Super-reduced and zero rates.....	583
7.	Exemptions.....	584
7.1	Exemptions with the right of deduction.....	584
7.2	Exemptions without the right of deduction.....	585
7.3	Option for taxation.....	586
8.	Liability.....	586
8.1	Reverse charges.....	586
8.2	Joint and several liability.....	587
9.	Recovery of input VAT.....	588
9.1	Non-recoverable input VAT.....	588
9.2	Excess input VAT.....	588
9.3	Adjustment periods.....	589
9.4	VAT Refund to EU taxable persons.....	589
9.5	VAT refund to non-EU taxable persons.....	590
10.	Administrative obligations.....	590
10.1	Invoicing.....	590
10.2	Compliance.....	594
10.3	Penalties.....	594
10.4	Intrastat.....	597
11.	Additional compliance requirements.....	598

Sweden	601
1. Taxable persons	601
1.1 Registration threshold & SME Scheme for domestic taxable persons	601
1.2 Registration threshold & SME Scheme for foreign taxable persons	601
1.3 VAT grouping	602
1.4 Fiscal representative	602
2. Taxable transactions	602
2.1 Transfer of business	602
2.2 Supplies free of charge	603
2.3 Importation	603
3. Place of supply	603
3.1 Consignment and call-off stock	603
3.2 Installation supplies	604
3.3 Distance sales	604
3.4 Simplified triangulation	604
3.5 Acquisition threshold	604
3.6 Effective use and enjoyment	605
4. Chargeable event and Chargeability of VAT	605
4.1 Principles	605
4.2 Advance payments	605
4.3 Continuous supplies	606
4.4 Cash accounting	606
5. Taxable amount	606
5.1 Bad debt relief	606
5.2 Cash discounts	606
5.3 Open Market Value	607
5.4 Returnable Packaging	607
6. VAT rates and exemptions	607
6.1 Standard rate	607
6.2 Reduced rate	607
6.3 Super-reduced and zero rate	608
7. Exemptions	608
7.1 Exemptions with right to deduction	608
7.2 Exemptions without right to deduction	610
7.3 Option for taxation	610
8. Liability	611
8.1 Reverse charges	611
8.2 Joint and several liability	612
9. Recovery of input VAT	612
9.1 Non-recoverable input VAT	612
9.2 Excess input VAT	612

Switzerland

9.3	Adjustment periods.....	612
9.4	VAT refund for foreigners.....	612
10.	Administrative obligations.....	614
10.1	Invoicing.....	614
10.2	VAT compliance.....	616
10.3	Penalties.....	617
10.4	Intrastat.....	617
1.	Taxable persons.....	619
1.1	Registration threshold & SME Scheme for domestic taxable persons.....	619
1.2	Registration threshold & SME Scheme for foreign taxable persons.....	619
1.3	VAT grouping.....	620
1.4	Fiscal representative.....	620
2.	Taxable transactions.....	620
2.1	Transfer of business.....	620
2.2	Supplies free of charge.....	621
2.3	Importation.....	621
3.	Place of supply.....	622
3.1	Consignment and call-off stock.....	622
3.2	Installation supplies.....	622
3.3	Distance sales threshold.....	623
3.4	Simplified triangulation rules.....	623
3.5	Acquisition threshold.....	623
3.6	Effective use and enjoyment.....	623
4.	Chargeable event & chargeability of VAT.....	624
4.1	Principles.....	624
4.2	Advance payments.....	624
4.3	Continuous supplies.....	624
4.4	Cash accounting.....	624
5.	Taxable amount.....	624
5.1	Bad debt relief.....	624
5.2	Cash discounts.....	625
5.3	Open market value.....	625
5.4	Returnable packaging.....	625
6.	VAT rates and exemptions.....	625
6.1	Standard rate.....	625
6.2	Reduced rate.....	625
6.3	Zero rate.....	625
7.	Exemptions.....	625
7.1	Exemptions with the right of deduction.....	625
7.2	Warehousing.....	626

7.3	Exemptions without right to deduction	627
7.4	Option for taxation	627
8.	Liability	628
8.1	Reverse charges	628
8.2	Joint and several liability	629
9.	Recovery of input VAT	629
9.1	Non-recoverable input VAT	629
9.2	Excess input VAT	630
9.3	Capital goods - adjustment periods	630
9.4	VAT refund for foreigners	630
10.	Administrative obligations	631
10.1	Invoicing	631
10.2	VAT compliance	632
10.3	Penalties	633
10.4	Intrastat	634
The United Kingdom		
635		635
1.	Taxable persons	635
1.1	Registration threshold for domestic taxable persons	635
1.2	Registration threshold for foreign taxable persons	636
1.3	VAT grouping	636
1.4	Fiscal representative	637
2.	Taxable transactions	637
2.1	Transfer of business	637
2.2	Supplies free of charge	638
2.3	Importation	638
3.	Place of Supply	639
3.1	Consignment and call-off stock	639
3.2	Installation supplies	639
3.3	Distance sales	640
3.4	Simplified Triangulation	640
3.5	Acquisition threshold	640
3.6	Effective use and enjoyment	640
4.	Chargeable event & Chargeability of VAT	641
4.1	Principles	641
4.2	Advance payments	641
4.3	Continuous supplies	641
4.4	Cash accounting	641
5.	Taxable amount	641
5.1	Bad debt relief	641
5.2	Cash discounts	642

5.3	Open market value	642
5.4	Returnable packaging	642
6	VAT rates and exemptions	643
6.1	Standard rate	643
6.2	Reduced rate	643
6.3	Super-reduced and zero rates	643
7	Exemptions	644
7.1	Exemptions with right to deduction	644
7.2	Exemptions without right to deduction	644
7.3	Option to taxation	646
8	Liability	648
8.1	Reverse charges	649
8.2	Joint and several liability	649
9	Recovery of input VAT	651
9.1	Non-recoverable input VAT	651
9.2	Excess input VAT	651
9.3	Capital goods - adjustment periods	651
9.4	VAT refund for EU taxable persons	651
9.5	VAT refund for non-EU taxable persons	652
10	Administrative obligations	654
10.1	Invoicing	654
10.2	VAT compliance	654
10.3	Penalties	656
10.4	Intrastat	656
10.5	Additional Compliance Requirements	659
	ANNEX I REGISTRATION THRESHOLDS	661
	ANNEX II VAT RATES	662
	ANNEX III SIMPLIFIED TRIANGULATION	663
	ANNEX IV OTHER SIMPLIFICATION MEASURES	664
	ANNEX V REVERSE CHARGE MECHANISMS - ART. 194	665
	ANNEX VI REVERSE CHARGE MECHANISMS - ART. 199 etc	668
	ANNEX VII INTRASTAT THRESHOLDS	669

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

The Austrian *Umsatzsteuergesetz* 1994 does not contain any specific rules regarding registration obligations. Thus, there is no registration threshold for domestic businesses (with a seat or fixed establishment) in Austria. The requirement to register derives from the rules regarding administrative obligations (filing of VAT returns etc.). Therefore, taxable persons have to, in general, register for VAT purposes in Austria as soon as taxable transactions occur. Consequently, a small business would also need to register for VAT purposes if its annual turnover exceeds EUR 35,000 (EUR 35,000 until 31 December 2024). The threshold of EUR 35,000 (EUR 35,000 until 31 December 2024) includes certain VAT exempt transactions.

From the time the annual turnover is exceeded, the small business exemption no longer applies. However, if the turnover is not exceeded by more than 10%, the tax exemption is still applicable for the current year.

The tax office responsible for the registration of the taxable person is determined according to the place where the taxable person has established its business. The taxable person must provide the following information for the registration:

- a questionnaire (form *Verf 15* for companies, *Verf 24* for natural persons);
- a specimen signature in original (form *Verf 26*);
- a copy of the extract from the Chamber of Commerce; and
- the articles of association.

The forms can be downloaded at the following link:
<https://tinyurl.com/27r4ky9k>

1.2 Registration threshold & SME Scheme for foreign taxable persons

There is no registration threshold for foreign businesses (without a seat or fixed establishment in Austria). Consequently, foreign taxable persons that supply goods or services in Austria are required, in general, to register even if the supply is exempt (zero rated) or if it is subject to the special withholding scheme.

However, there is no need for the foreign taxable person to register in Austria:

- if the recipient of the supply is liable to pay the VAT to the tax authorities due to the applicable reverse charge mechanism; or
- if the foreign taxable person is obliged to pay the VAT for received services because of the applicable reverse charge mechanism but is simultaneously entitled to fully deduct that VAT.

From 1 January 2025, the tax exemption for small businesses (annual turnover below EUR 55,000) has been extended to foreign companies established in other Member States. In addition to the national threshold of EUR 55,000, the EU threshold of EUR 100,000 must also not be exceeded.

The tax office in charge of the registration and for the monthly/quarterly and annual VAT returns of a foreign taxable person with no seat or fixed establishment in Austria is the tax office *Österreich Dienststelle Graz-Stadt*. Otherwise if the foreign taxable person has a fixed establishment in Austria, he has to register at the tax office where his fixed establishment is located. Usually the VAT registration process is completed within one month.

Please be aware that in Austria the “*Organschaft*” comes into effect automatically at the initiative of the Austrian tax authorities when all the mentioned preconditions are fulfilled. It is not possible to opt for it. Furthermore, the effects of the “*Organschaft*” are limited to transactions between domestically located “*Organgesellschafte*” and the Austrian fixed establishments of a non-resident entity.

All the formal obligations (filing of VAT returns etc.) must be met by the “*Organtträger*”. Consequently, the “*Organgesellschafte*” are not entitled to file VAT returns separately. All the members of the “*Organschaft*” are jointly and severally liable for payment of the VAT debts of the “*Organschaft*”. The “*Organschaft*” gets a

The financial link is assumed if more than 75% of the shares of the members are directly or indirectly held by the same person(s). An organizational link exists if the members are under common management or where the management of one member is actually subordinate to that of another. An economic link exists when the activities of the members are mainly aimed to achieve the same economic goal or are carried out for the benefit of the other members.

Foreign companies which are not resident in Austria cannot be included in the VAT group. However, a non-resident company can be included in the VAT group with its fixed establishment in Austria as well as the “*Organgesellschafte*” established in Austria of a non-resident “*Organtträger*”. The effects of the “*Organschaft*” are nevertheless limited to transactions between the established “*Organgesellschafte*” and the Austrian fixed establishment.

As already mentioned, the Austrian term for VAT grouping is “*Organschaft*”. The group of legal entities controlled by another entity is called “*Organgesellschaft*”. The controlling entity is called “*Organtträger*”. The “*Organgesellschaft*” must be a legal entity, however the tax authorities also accept partnerships under certain conditions (e.g. GmbH & Co KG). The “*Organtträger*” may be a natural or legal taxable person or a taxable association. Due to the fact that “pure” holding companies are non-taxable persons, they are not able to act as “*Organtträger*” or be part of the “*Organschaft*”.

The Austrian VAT legislation provides a possibility for VAT grouping. When two or more legal entities are established or they have a fixed establishment in Austria which are closely bound to one another by financial, economic and organizational links, then those legal entities are treated as a single taxable person “*Organschaft*” for VAT purposes. Consequently, the supplies of the goods or services within the “*Organschaft*” are not subject to the Austrian VAT and, therefore, invoices within the “*Organschaft*” are regarded as internal documents. An invoice issued by a third party supplier to an “*Organgesellschaft*” entities the “*Organtträger*” to deduct the input VAT based on that invoice.

1.3 VAT grouping

Finanzamt Österreich Dienststelle Graz-Stadt
Betriebsveranlagungssteuern Ausländerreferat
Conrad von Hotzendorf-Straße 14 – 18
8010 Graz
Austria

The contact details of the Finanzamt Österreich Dienststelle Graz-Stadt are:

<https://tinyurl.com/27r4ky9k>

The forms can be downloaded at the following link:

- a questionnaire (form *Verf* 19);
- a specimen signature in original (form *Verf* 26);
- a copy of the extract from the Chamber of Commerce and/or the articles of association; and
- a certificate of status of being a taxable person, in original, not older than one year (form U 70).

When registering, the following information must be submitted:

new common VAT number. Nevertheless, the "Organgesellschaften" can also use their separate VAT numbers (e.g. for intra-Community transactions).

1.4 Fiscal representative

Fiscal representatives only need to be appointed by taxable persons from non-EU Member States where Austria does not have a mutual assistance agreement for the event that the foreign taxable person carries out taxable supplies to non-taxable persons, intra-Community supplies or intra-Community acquisitions in Austria. Consequently, taxable persons from EU Member States do not need to appoint a fiscal representative for VAT purposes.

Only chartered public accountants, tax consultants, lawyers and notaries with seat or fixed establishment in Austria can act as a fiscal representative. Forwarding agents who are members of the Austrian Federal Economic Chamber (Österreichische Wirtschaftskammer) are entitled to act as fiscal representatives, if they are provided by a power of attorney to receive any documents of the Austrian tax authorities (Zustellvollmacht) by the taxable person.

A fiscal representative is in general not jointly and severally liable with a client for VAT debts.

2. Taxable transactions

2.1 Transfer of business

Articles 19 and 29 of the EU VAT Directive are not directly implemented in the Umsatzsteuergesetz 1994. Nevertheless, in case the Austrian Reorganization Tax Law applies, the transfer of business or part thereof, is out of scope of VAT.

2.2 Supplies free of charge

The supply of goods or services free of charge may also be subject to VAT as deemed supply of goods/services. Taxation of deemed supply of goods/services occurs in general if the acquisition of goods and services entitled to a full or partial input tax deduction.

Under Austrian VAT law, there is no taxable deemed supply of goods in the case of gifts of small value.

This is in line with Art. 16 (2) of the EU VAT Directive, which exempts gifts of small value from VAT. The Austrian tax authorities consider gifts of small value if the total value of the items given to the same recipient does not exceed EUR 40 (excluding VAT) in a calendar year.

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

It is possible to apply an exemption on the importation of goods into Austria if it is followed by an intra-Community supply (cf. also paragraph 7.1.1).

2.3.2 Postponed accounting on importation

Postponed accounting on importation (i.e. deferred payment of import VAT by reporting the import VAT on the VAT return instead of payment to the authorities at the moment when the goods are released from customs control) is possible in Austria. Payment of the VAT due on importation is debited on the VAT account. At this point, it can be offset against any credit balance resulting from the deduction of import VAT on the relevant VAT return.

For the application of the postponed accounting, a VAT registration of the taxable person in Austria is needed, but no security is required.

3. Place of Supply

3.1 Consignment and call-off stock

With effect of 1 January 2020 the EU introduced the "Quick Fixes" imposing homogeneous EU-legislation regarding cross-border issues, also in the context of call-off stock arrangements. Thereupon the regulations on consignment and call-off stocks were implemented in Austrian VAT Law which comply with the EU regulation and replaced the previous regulations which only existed at administrative level. According to the tax authorities a tolerance limit of 5% for destruction, loss and theft of goods is provided with the result that the simplification for consignment and call-off stocks is not applicable if the tolerance limit is exceeded.

3.2 Installation supply

In Austria, the place of supply rule for supplies with installation or assembly according to Article 36 of the EU VAT Directive is not explicitly implemented. Therefore, there is no formal definition of the notion "supply with installation or assembly". Nevertheless, certain construction and installation supplies are treated as supplied where the right to dispose as owner is transferred, i.e. where they are constructed or installed. For such a transaction, called "Werklieferung" or "Bauleistung", the reverse charge may apply (see also paragraph 8.1.1 and 8.1.2).

3.3 Distance sales

Until July 2021, country-specific thresholds were used to determine the VAT liability in each country. However, these country-specific thresholds have been replaced by a harmonized single threshold for distance sale transactions within the EU. If the threshold of EUR 10,000 is exceeded, taxation must take place in the Member State of destination.

The threshold includes all electronically supplied services within the EU.

3.4 Simplified triangulation rules

When the EU introduced the "Quick Fixes", the EU also imposed homogeneous EU-legislation regarding issues in the context of chain transactions. Austria has implemented the regulations for chain transactions in Austrian VAT Law which are in line with Art. 36a of the EU VAT Directive.

However, deviating from the EU VAT Directive on chain transactions, the Austrian VAT Law also includes the following regulations:

- Where the same goods are dispatched or transported by the first supplier, the dispatch or transport shall be ascribed only to the supply made by the first supplier.
- Where the same goods are dispatched or transported by the last customer, the dispatch or transport shall be ascribed only to the supply made to the last customer.
- The simplified chain transaction rules are not only applicable for chain transactions within the EU, but also for chain transactions involving third countries (which means including import/export).

Austria has further implemented the simplified triangulation in the Austrian VAT law. The rules are in line with Article 141 and Article 197 of the EU VAT Directive.

In case the middleman (B) is registered in the country of departure and/or in the country of arrival, the simplification rule is applicable provided that the middleman (B) uses the VAT ID number of another EU Member State.

Since 1 January 2023, the simplified triangulation rule has been extended to apply within a chain transaction involving more than three parties. If all the requirements for a triangular transaction are met, the simplification can be applied at any point in the chain.

3.5 Acquisition threshold

The threshold for the acquisition of goods by non-taxable legal persons, taxable persons only engaged in exempt activities and flat-rate farmers from suppliers established in another EU Member State amounts to EUR 11,000.

3.6 Effective use and enjoyment

Austria implemented the following effective use and enjoyment rules:

The place of supply is shifted to a non-EU Member State if the effective use and enjoyment of the following services takes place in that non-EU Member State:

- supply of staff; and
- hiring out of means of transport.

The place of supply is shifted to Austria if the effective use and enjoyment of the following services takes place in Austria and not in the non-EU Member State:

- telecommunication services;
- radio and television broadcasting;
- hiring out of movable property, except of all means of transport;
- sports betting and lottery (as well as intermediation of these services) according to the Austrian gambling law;
- services according to Sec 3a (14) Austrian VAT Law (Article 59 VAT Directive) if they are provided to a legal entity of public law which is a non-taxable person.

4. Chargeable event & chargeability of VAT

4.1 Principles

In the case of a supply of goods or services, the VAT becomes chargeable at the time of the supply (i.e. when the right to dispose of the goods was handed over to the acquirer or when the services have been carried out). The VAT becomes due, in principle, at the end of the calendar month in which the goods are supplied or the services have been carried out. However, the VAT due will be postponed by maximum one month in case the invoice was issued after the end of the month in which the supply or service was performed. This postponement does not apply to services subject to reverse charge under Article 44/196 of EU Directive 2006/112.

4.2 Advance payments

VAT can be chargeable before the time the goods are put at the disposal of the acquirer or the service is completed. This is the case when the price has been totally or partially received, before the goods are put at the disposal of the acquirer or the services are performed.

4.3 Continuous supplies

Continuous supplies of goods over a longer period are difficult to handle. In specific cases, for instance for services due to a subscription contract, maintenance contract or licence contract etc., it is possible to determine the tax point according to the payment or invoices issued.

4.4 Cash accounting

In certain cases, it is allowed to pay VAT on the basis of cash received during the respective VAT period as opposed to making payment on the basis of supplied goods and services during the period. The cash accounting regime is applicable for liberal professionals (e.g. lawyers) and utilities (e.g. for gas, water, electricity and heat supplies) regardless of their turnover, and all other taxable persons who do not fall under the mandatory accounting or whose turnover in one of the preceding 2 years did not exceed EUR 110,000.

5. Taxable amount

5.1 Bad debt relief

A correction of the VAT due is possible when the agreed compensation for the taxable supply of goods or services becomes uncollectible which must be proven by the taxable person (i.e. by status of insolvency of the customer etc.). If there is only doubt rather than certainty regarding the collection of receivables, a correction of the VAT due is not possible.

The correction needs to be made for the tax period in which the agreed compensation finally becomes uncollectible (e.g. court decision or out-of-court settlement). The correction must be declared in course of the monthly/quarterly VAT return (at the latest in the annual VAT return of the respective year). Possible evidence can be the court decision of the insolvency of the customer or the out of court settlement.

5.2 Cash discounts

Assume that the supplier sends the following invoice:

"Supply of goods	EUR 1,000
20% VAT	EUR 200
Total to be paid	EUR 1,200

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount"

Payment is indeed received within 14 days. In case of cash discounts, no credit note needs to be issued. However, the supplier/customer must amend the tax base respectively with the input VAT deduction in the respective VAT return.

5.3 Open Market Value

In the event a supply of goods or services takes place between related parties (with no full right to input VAT deduction) for reasons outside business purposes or for use of staff, the 'open market value' must be applied. Related parties also include an employer and an employee, or a close family tie.

Open market value means the full amount that a customer at the same marketing stage at which the supply of goods or services takes place, would have to pay, under conditions of fair competition, to a supplier at arm's length, in order to obtain the goods or services in question at that time.

In line with Article 80 of the EU VAT Directive, Austria has implemented the following transactions for which 'the open market value' as the taxable amount must apply:

- where the consideration is lower than the open market value and the recipient of the supply does not have a full right of deduction;
- where the consideration is lower than the open market value and the supplier does not have a full right of deduction and the supply is subject to an exemption under Sec 6 (1) No 7 to 26 and No 28 of the Austrian VAT Law;
- where the consideration is higher than the open market value and the supplier does not have a full right of deduction.

5.4 Returnable Packaging

Austria does not have a special VAT treatment for returnable packaging.

6. VAT rates

6.1 Standard rate

The standard rate in Austria is 20%. A special rate of 19% applies in Jungholz and Mittelberg.

6.2 Reduced rate

There are 2 reduced rates in Austria, 10% and 13%.

The reduced rate of 10% applies for example on:

- supply of food;
- rent for residential property;
- books (including e-books), magazines and newspapers;
- assistance dogs;
- repair services regarding bicycles, shoes, leather goods, clothing and household linen;
- products for feminine hygiene;
- passenger transport; and
- medication.

The reduced rate of 13% applies for example on:

- wine produced by farmers under certain circumstances;
- hotel accommodation;
- circus tickets;
- cinema tickets; and
- tickets for sport events.

6.3 Super-reduced and zero rate

The tax rate will be temporarily reduced to 0% for supplies, intra-Community acquisitions, imports and installations of photovoltaic modules purchased after 31 December 2023 and before 1 January 2026. In order to qualify for the zero rate, the photovoltaic system in total must not exceed a bottleneck capacity of 35 kW (peak). Furthermore, the photovoltaic system must be operated on or near a private or public building.

7. Exemptions

7.1 Exemptions with the right of deduction

In Austria, the following supply of goods and services is exempt with the right to deduct input VAT:

- intra-Community supplies of goods;
- exports;
- work supply on goods which are subject to a subsequent export;
- international transport of goods as well as the transport of goods in international rail freight traffic from third country territory as well as ancillary services;
- transport of goods to and from Madeira and the Azores;
- services with respect to importation of goods that are subject to temporary admission under EU customs law;
- sea vessels and aircraft including related goods and services;
- supplies of monetary gold to central banks;
- services of intermediaries relating to transactions conducted outside the EU or exempt with the right of deduction;
- import of goods that are subject to temporary admission under EU customs law;
- services of a railway operator;

Certain hospital services, medical and paramedical care, cultural activities, ambulance services, educational services, services of a cultural or social nature, some services connected with sports, etc. are exempt without

7.2.1 Exemptions in the public interest

7.2 Exemptions without the right to deduction

Austria provides for special rules regarding bonded warehouses. It is possible to exempt the importer from having to pay the import VAT by placing the goods under the customs warehouse regime. The entry of goods in these warehouses does not trigger a liability to pay import VAT. Import VAT is triggered once the goods are released for free circulation. Provided such goods are supplied within the bonded warehouse, a domestic supply of goods is effected. Austrian VAT is due on such a domestic supply of goods. Sec 24b *Umsatzsteuergesetz* 1994 provides that the Austrian Federal Minister of Finance may issue a decree that transactions inside these warehouses are exempt from VAT, however, such a decree has not yet been issued.

7.1.3.2 Bonded warehouse

There are no special provisions applying to VAT warehouses.

7.1.3.1 VAT warehouse

7.1.3 Warehousing

In order to be able to claim the VAT exemption on the export, the supplier must also provide the tax authorities with accounting proof and proof of transportation. In case the transport is arranged by the customer by using his own means of transport, the supplier needs to have documentary evidence from the customer that the goods were exported outside the European Community e.g. via a written or electronic export declaration provided with a customs exit confirmation. In case the transport is arranged by the customer by mandating a carrier, the supplier should obtain a dispatch-document (CMR etc.) or an export certification issued by a carrier situated in the European Union or a written export declaration provided with a customs exit confirmation.

7.1.2 Export supplies

Further compulsory preconditions for the exemption for intra-Community supplies. Identification number of the customer and a correct declaration in the recapitulative statement became two statements. In the context of the introduction of the "Quick Fixes" on 1 January 2020, a valid VAT Furthermore, the intra-Community supply must be declared in the monthly or quarterly recapitulative transport according to Art 45a Implementing Regulation. Due to the introduction of the "Quick Fixes" on 1 January 2020, it is also possible to provide a proof of

CMR waybill).

- a commercial transport document from the carrier responsible for removing the goods (e.g. a completed goods which were transported by the supplier; or
- a *Empfangsbesätigung*-declaration of the customer in the other EU Member State that he has received the will be transported to another EU Member State; or
- a *Verbringungsbesätigung*-declaration of the customer who picks up the goods that the goods in question documentation of the validation of the VAT identification number of the customer;
- copy of the invoice;

transported to another EU Member State. Such documents are:
must have a combination of documents that provide sufficient proof that the goods in question were proof and a proof of transportation according to regulation VO BGBI 1996/401. Consequently, the supplier special formal requirements, respectively the supplier has to provide the tax authorities with an accounting In order to be able to claim the VAT exemption on an intra-Community supply, the supplier must fulfil

7.1.1 Intra-Community supplies

- supplies made to customers with (diplomatic) tax immunity; and
- food donations and non-alcoholic beverages.

the right to deduction. Some exemptions are granted on the condition that the supplier is a public body or a non-profit making institution.

7.2.2 Other exemptions

The other exemptions are for financial and banking services, the supply of investment gold, insurance services, certain games of chance, postal and telecommunication services, leasing or letting of immovable property for business purposes, the supply of immovable property and services of small businesses (see also paragraph 1.1). Regarding the possibility to opt for taxation please refer to paragraph 7.3.

7.3 Option for taxation

The supplier may opt for taxation in the case of the following services (the standard VAT rate of 20% applies):

- granting of credit;
- supplies in connection with credit cards;
- leasing or letting of immovable property for business purposes;
- supply of immovable property;
- supply of goods and services of small businesses; and
- supply of investment gold.

The option to taxation is at the discretion of the supplier. Nevertheless, under Sec 6 (2) of the VAT Law, the option for taxation of the leasing and letting of immovable property is limited to situations in which the tenant uses the immovable property solely (min. 95%) for transactions that entitle him to deduct input VAT.

8. Liability

8.1 Reverse charges

In Austria there are several reverse charge procedures. If the conditions for a certain reverse charge are fulfilled, the application is required. Once the reverse charge is applicable, a reference on the invoice must be stated, e.g. "Sec 19 Austrian VAT Law; VAT due by the recipient of the service".

8.1.1 General reverse charge mechanism - non-resident suppliers (Article 194 EU VAT Directive)

Certain transactions provided by non-established suppliers (e.g. with no seat or intervening fixed establishment in Austria) fall under the reverse charge mechanism if the customer is:

- a taxable person according to paragraph 1 (even non-resident/established or identified in Austria);
- a non-taxable legal entity of public law established in Austria; or
- any non-taxable VAT registered legal entity (respective/established in Austria or not).

The application of this reverse charge is mandatory and for the application it is irrelevant if the non-established supplier is registered for VAT in Austria (i.e. has an Austrian VAT identification number) or not as long as the customer is covered by the above 3 bullet points.

Transactions covered by the reverse charge mechanism are:

- all kinds of services (excluding services of road tolls, letting of immovable property and services in respect of admission to cultural, artistic, sporting, scientific, educational, entertainment or similar events); and
- all work supplies "Werklieferungen" (see also paragraph 3.2).

Supplies of goods are not covered but follow a special withholding scheme (see also paragraph 11.1).

On the invoice a reference should be made to the application of the reverse charge, e.g. "VAT due by the recipient under Sec 19 Austrian VAT Law", "Übergang der Steuerschuld auf den Leistungsempfänger".

following the tax period.

Excess input VAT is recoverable and refunded by the VAT authorities from the first day of the month

9.2 Excess input VAT

- where the consideration does not consist principally of deductible expenses (costs) within the meaning of Austrian Law on Income Tax or of the Austrian Law on Corporation Tax (e.g. expenditure on luxuries, amusements and entertainment);
- if the supply of goods or services is connected with the purchase, lease or use of cars, dual-purpose vehicles or motorcycles; or
- if goods or services are used less than 10% for business purposes.

The input VAT is not recoverable:

9.1 Non-recoverable input VAT

9. Recovery of input VAT

There is a joint and several liability for VAT grouping. The VAT liability exists for debts of each member of the VAT group for the entire period during which the entity in question was a member of that VAT group (see paragraph 1.3).

In Austria, according to the general Tax Code (BAO) managing directors may be held jointly and severally liable for the tax debts of the company they manage. This liability only arises when the company's taxes remain unpaid and there has been a culpable breach of duty on the part of the managers.

8.2 Joint and several liability

As with the general reverse charge a reference for the specific reverse charge should be made on the invoice.

- the taxable supply of investment gold within the meaning of section 24a (5) and (6) of the VAT Law.
- 5,000, the suppliers can charge VAT to their customers at the rate of 20%; i.e. opt out of reverse charge); and subject to the margin scheme under paragraph 24 of the VAT Law (if the amount invoiced is less than EUR supply of metals (both raw and semi-finished metals), with the exception of scrap metals or metals that are transfer of gas and electricity certificates;
- consumption of those products is negligible;
- activity in respect of purchases of gas and electricity is reselling those products and whose own supply of gas, including gas in cylinders, and electricity to dealers, i.e. taxable person whose principal supply of video game consoles, laptops and tablet computers, where the transaction exceeds EUR 5,000;
- supply of mobile phones and computer chips for which the taxable amount is equal to or higher than EUR 5,000;
- supply of CO₂ Emission Rights;
- supply of old, used materials, scrap, waste and specific services;
- supply of immovable property sold by a judgment debtor in a compulsory sale procedure;
- this right by the assignee;
- supply of goods following the cession of a reservation of ownership to an assignee and the exercising of supply of goods provided as security by one taxable person to another in execution of that security;
- supply of staff engaged in the construction sector;
- in relation to immovable property by a subcontractor for a contractor;
- supply of construction work, including repair, cleaning, maintenance, alteration and demolition services

domestic reverse charge applies:

For the following supplies and/or services provided by established or non-established taxable persons the

8.1.2 Specific domestic rules (Article 199 EU VAT Directive)

The claim must be sent to the following address:

Deadline for making a claim is 30 June of the year following the year over which the claim is made.

Minimum period for making a claim is 3 consecutive calendar months in 1 calendar year, unless it is a remainder of the year. Maximum period for making a claim is 1 calendar year.

Annual minimum limit for claims that are made for a calendar year or the remainder of a calendar year is EUR 50. Interim minimum limit for claims that are made for less than a calendar year but at least 3 months is EUR 400.

<https://tinyurl.com/3rwy49nw>

The link where application forms can be downloaded is:

States are also accepted.

The refund application form is Form "U 5" issued by the tax authorities. The forms of any other EU Member

by completing form "Vert 18-E" which can be downloaded at the following link: <https://tinyurl.com/xyxyd994>
To submit a VAT refund request, the foreign entity must be registered in Austria. Registration is carried out

Austria does not require reciprocity when refunding the VAT to non-EU businesses. In principle, the VAT is refunded to the businesses from all non-EU countries.

9.5 VAT refunds to non-EU taxable persons

Refund or deduction of input VAT is possible only where such input VAT is deductible according to the Austrian VAT Law (see paragraph 9.1).

If a refund is granted, it will be processed within 10 business days and paid to the bank account number provided to the tax authorities. Time limit for appeals is 1 month following the decision.

The tax authorities must issue a decision on the refund claim within 4 months of receipt of the claim. The period in which the authorities must make a decision will be extended to 6 months or 8 months when the authorities request additional information.

Supporting documents (e.g. the original invoices / copies of invoices) are generally not required. However, in certain cases, the tax authorities may require additional information.

Deadline for making the claim is 30 September of the year following the year over which a claim is made.

Minimum period for making a claim is 3 consecutive calendar months in one calendar year, unless it is a remainder of the year. Maximum period for making a claim is 1 calendar year.

Annual minimum limit for claims that are made for a calendar year or the remainder of a calendar year is EUR 50. Interim minimum limit for claims that are made for less than a calendar year but at least 3 months is EUR 400.

The refund application must be submitted electronically through the portal of the tax authorities of the country in which the taxable person is established.

9.4 VAT refunds to EU taxable persons

Austria has no adjustment period for services.

- Immovable property - 19 years following the year of first use
- Movable property - 4 years following the year of first use

9.3 Capital goods - adjustment periods

The following documents must be sent together with a claim:

- Certificate of Registration as Taxable Person (Entrepreneur) entitled to input VAT deduction;
- original invoices; and
- import documents.

The tax authorities must issue a decision on the refund claim within 6 months of receipt of the claim (application and all supporting documents). If the tax authorities request additional information, the 6-month period will be suspended until the claimant has complied with its obligation to provide the necessary information.

If a refund is granted, it will be made in Euros directly to the claimant or its appointed agent before the end of the above period and paid to the bank account given in the refund application.

Time limit for appeal is 1 month following the decision.

Refund or deduction of input VAT is possible only where such input VAT is deductible according to the Austrian VAT Law (see paragraph 9.1).

Input VAT refund for the purchase of fuel by taxable persons established outside the EU is excluded as of 15 January 2021.

For additional information please refer to the following link:
<https://tinyurl.com/4kt24bk8>

10. Administrative obligations

10.1 Invoices

10.1.1 Invoice content

A VAT invoice must contain the following information:

- date at which the invoice is issued;
- invoice number (sequential);
- VAT identification number under which the supply or services is performed;
- name and address of the supplier or service provider;
- name and address of the recipient;
- VAT identification number of the recipient if the invoiced amount exceeds EUR 10,000;
- a clear description of the delivered goods or the rendered services as well as the quantity;
- the date at which the supply or service took place;
- the taxable amount;
- the applied VAT rate;
- the VAT amount (if the invoice is issued in a foreign currency, the VAT amount in EUR is mandatory; average monthly exchange rate as published by Austrian Ministry of Finance, latest exchange rate by European Central Bank or daily exchange rate if proven by bank statement);
- in case of self-billing a corresponding reference "Gutschrift" is required;
- the indication for the application of an exemption, zero rate or reverse charge;
- the VAT identification number of the customer in case of an intra-Community supply;

The taxable person can choose any form of electronic invoicing as long as the authenticity of origin, integrity

10.1.8 Electronic invoicing

period of 22 years.

Invoices need to be kept available for 7 years. Invoices relating to immovable property must be kept for a

10.1.7 Storage of invoices

simplified invoices, regardless of the amount.

From 1 January 2025, small businesses (annual turnover below EUR 55,000) will have the option of issuing

- date of issue;
- identity of the supplier of goods and/or services;
- a clear description of the delivered goods or the rendered services as well as the quantity;
- the date at which the supply or service took place;
- taxable amount and tax amount in a one-off sum; and
- VAT rate.

information is needed:

In the case of invoices for small amounts not exceeding a total of EUR 400, the following (limited)

10.1.6 Simplified invoice

Self-billing is allowed in case there is a (mutual or written) agreement between the two parties.

10.1.5 Self-billing

If the invoice is issued in foreign currency, the VAT amount in EUR is mandatory. For the conversion, the average monthly exchange rate as published by Austrian Ministry of Finance, latest exchange rate by European Central Bank or daily exchange rate if proven by a bank statement can be used.

10.1.4 Conversion and exchange rate

Invoices are allowed to be issued in foreign currency, nevertheless, the VAT amount must also be stated in Euros.

10.1.3 Currency

- intra-Community supplies; or
- services subject to the B2B general rule according to Article 44 of the VAT Directive with the place of supply in another EU Member State.

A taxable person is obliged to issue an invoice within 6 months after the supply was carried out to a taxable person or to a non-taxable legal person. If the taxable person has carried out a work supply of goods or services in connection with immovable property to non-taxable persons, then the issuance of an invoice is required as well. A taxable person has to issue an invoice within 15 days following the month in which he has carried out:

10.1.2 Time limits

- For instance:
- intra-Community supply: "Zero rated intra-Community supply" "Steuerbefreite innergemeinschaftliche Lieferung gemäß Art 7 UStG";
- export supply: "Zero rated export supply" "Steuerbefreite Ausfuhr gemäß § 7 UStG"; and
- B2B service: "Service not subject to Austrian VAT according to Article 44 VAT Directive; VAT due by the recipient of the service according to Sec 19 Austrian VAT Law", "Übergang der Steuerschuld auf den Leistungsempfänger";
- the information necessary to determine whether there is a new means of transport; and
- an indication of the fact that a margin scheme has been applied as well as an indication why the margin scheme applied, e.g.:
- margin scheme - second-hand goods "Gebrauchsgüter/Sonderregelung";
- margin scheme - works of art "Kunstgegenstände/Sonderregelung"; or
- margin scheme - collector's items and antiques "Sammlungsgüter und Antiquitäten/Sonderregelung".

of content and readability are guaranteed. If the use of an electronic invoice needs to be accepted by the customer.

10.2 VAT compliance

Please be aware that there are no differences regarding the VAT compliance for transactions carried out in Austria by foreign or local taxable persons.

10.2.1 VAT return period

The standard VAT return period is 1 month. Taxable persons whose turnover in the previous year did not exceed EUR 100,000 may file the VAT return quarterly unless a monthly return is required by the tax authorities. However, the taxable person can opt for the monthly VAT return period even if his turnover in the previous year did not exceed EUR 100,000. In addition, all taxable persons must file annual VAT returns (i.e. summary returns) next to the monthly or quarterly VAT returns.

The VAT returns must be filed electronically.

10.2.2 Filing of VAT return and payment

Filing of a VAT return: the VAT return (form U30) must be filed electronically ultimately on the 15th day of the second month following the VAT return period (i.e. the VAT return for May 2025 must be filed by 15 July 2025).

The annual VAT return (form U1) must be submitted electronically by 30 June of the year following the year in question (i.e. the annual VAT return for 2024 has to be filed electronically by 30 June 2025 at the latest). The payment of the VAT due must be made ultimately on the 15th day of the second month following the VAT return period (i.e. the payment for the VAT due for May 2025 must be made by 15 July 2025 at the latest).

The forms can be downloaded at the following link:

<https://tinyurl.com/vpw6dnt6>

10.2.3 European sales listing

The filing periods for the European sales listing coincide with the filing periods of the VAT returns. Consequently, if the taxable person must file the VAT returns on a monthly/quarterly basis, then the European sales listing must also be filed monthly/quarterly. The deadline for transmission is the end of the month following the month/quarter in which the supply or service was rendered (i.e. the European sales listing for May 2025 must be filed by 30 June 2025).

In general, the European sales listing needs to be filed electronically via the electronic system FinanzOnline. The paper form (form U13) can be downloaded at the following link:

<https://tinyurl.com/fx84rmp5>

10.2.4 National recapitulative statement

There are no national recapitulative statements in Austria.

10.2.5 Tax assessment period

The tax assessment period in Austria is one year.

10.3 Penalties

10.3.1 Default penalties for late registration

In Austria there are no penalties for late registration. The tax authorities are only able to impose a default penalty and a late payment fine if the VAT return or the European sales listing is not filed on time.

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

If a VAT return is not filed on time, the Austrian tax authorities may impose a fine amounting to 10% of the settled tax. The default fine will not be imposed in the event that the amount does not exceed EUR 50.

In case the withholding scheme applies, the customer must transfer the net consideration to the supplier

- customer purchases the goods for the purposes of his business.
- customer is a (Austrian or foreign) taxable person; and
- supplier carries out a supply of goods which is subject to Austrian VAT;

Fiscal Code);

- supplier is a foreign taxable person (neither seat nor establishment in Austria according to Sec 29 Austrian

Austrian tax authorities in the name and on behalf of the supplier if the following conditions are fulfilled: Accordingly, the customer of goods is obliged to withhold the VAT on the transaction and to pay it to the be considered for supplies of goods carried out by foreign taxable persons in Austria in special cases.

Sec 27/4 *Umsatzsteuergesetz* 1994 provides a special withholding (split payment) scheme which must

11.1 Special withholding scheme according to Sec 27/4 *Umsatzsteuergesetz* 1994

11. Additional compliance requirements

- the nature of the transaction (i.e. arrival or dispatch);
- the EU Member State of dispatch or destination;
- means of transport (e.g. by road or by train);
- the nature of the transaction (e.g. purchase, sale, return of goods, reparation etc.);
- the country of origin (e.g. where the goods are produced, made or processed);
- the HS code (8 digit harmonized commodity code according to Combined Nomenclature (CN));
- the quantity of the goods (i.e. net weight in kilograms);
- other measure for certain goods (e.g. liters, m², or number of pieces);
- VAT ID of the recipient;
- the invoice value of the goods; and
- the statistical value.

The information which needs to be reported for both the arrival and the dispatches statistics is:

10.4.2 Intrastat data to be reported

The Intrastat threshold for both, the arrivals and the dispatches, is EUR 1,100,000 as of 1 January 2022.

10.4.1 Intrastat threshold

In Austria, a monthly Intrastat return needs to be submitted to the Statistik Austria. It is also obligatory to file an Intrastat return for distance sales.

10.4 Intrastat

In case of gross negligence, a penalty up to 100% can be imposed in terms of a judicial criminal proceeding in special circumstances. levied. Imprisonments can be imposed in terms of a judicial criminal proceeding in special circumstances.

10.3.5 Offence penalties

consequences regarding criminal tax law may occur.

If the VAT is not reported correctly and, thus, not paid on time, the VAT authorities may impose late payment fines (2% of the VAT due). Furthermore, if the taxable person has not reported the VAT correctly by intent,

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

The late payment fine will not be imposed in the event that the amount does not exceed EUR 50.

If the VAT is not paid on time, the tax authorities may issue a late payment fine of 2% of the VAT due.

10.3.3 Default penalties for not paying VAT on time to the tax authorities

If the European sales listing is not filed on time, the Austrian tax authorities are able to impose a fine amounting to 1% of the taxable amount to be declared with a maximum of EUR 2,200 for each listing.

whereas the VAT must be paid to the supplier's responsible tax authority. If the customer does not meet his obligations he can be held liable by the tax authority.

11.2 Special VAT identification number for forwarding agents

According to the Austrian tax authorities a simplification scheme is applicable to cases where goods are imported from a non-EU Member State to Austria and subsequently transported outside Austria in the course of an intra-Community supply by foreign taxable persons. As both, the import as well as the intra-Community supply is VAT exempt, foreign taxable persons do not need to register for such a transaction, in the case that the following conditions are fulfilled:

- the foreign taxable person does not have an Austrian VAT identification number;
- a domestic forwarding agent acts for customs purposes as an indirect representative of the foreign taxable person;
- the domestic forwarding agent is responsible for the customs clearance of the goods;
- the domestic forwarding agent uses his special VAT identification number, under which his client (i.e. the indirectly represented foreign taxable person) can carry out intra-Community supplies and make use of the VAT exemption for that intra-Community supply;
- the VAT identification number of the final customer is declared in the customs declaration. The final customer's VAT identification number must be issued by the EU Member State where the goods are located at the end of the transport;
- the invoice issued to the final customer must contain the forwarding agents' special VAT identification number as well as a reference indicating that the intra-Community supply of goods is VAT exempt; and
- intra-Community sales listing is done by the forwarding agent.

Information received from:

Dr. Hannes Gurtner
LeitnerLeitner
hannes.gurtner@leitnerleitner.com
www.leitnerleitner.com

The European Union (EU) VAT Directive is implemented in Belgium through the "Wetboek van 3 juli 1969 van de belasting over de toegevoegde waarde/Code du 3 juillet 1969 de la Taxe sur la Valeur Ajoutée". VAT is referred to in Belgium as "btw / TVA".

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

Belgian small businesses can opt for VAT relief. This concession applies to all taxable persons - private individuals, companies or other non-legal entities (e.g. partnerships), however VAT Groupings are explicitly excluded. The annual turnover taxable in Belgium may not exceed a threshold of EUR 25,000. The exempted small business must register with the VAT authorities, but neither accounts for VAT nor files VAT returns. It must have a clear bookkeeping in order to keep track of whether its turnover is exceeding the threshold or not. This special scheme is not applicable in case of:

- sale of new buildings and new vehicles within the framework of an economic activity;
- work on immovable property;
- supplies of goods and services in the catering sector for which they are obliged to give the customer a till receipt using a registered till system;
- supplies of used materials, used materials unsuitable for re-use in the same state, industrial and non-industrial waste, waste for re-use, partly processed waste and scrap;
- transactions made by farmers subject to the special farmer scheme;
- transactions subject to the special regime for tobacco and for fish, shellfish and mollusks which are sold by public auction at the communal fish market on the docks; and
- as of January 1, 2025 VAT payers established in other Member States can also opt in their own Member State to apply the special exemption regime for small businesses for Belgium if they do not exceed the threshold of EUR 25,000 for turnover taxable in Belgium nor exceed the threshold of turnover taxable in EU of EUR 100,000.

The registration for VAT of a domestic business is usually started through the registration in the Crossroads Bank for Enterprises "Kruispuntbank van ondernemingen (KBO) / Banque-Carrefour des Entreprises (BCE)". The following information must be provided for the registration:

- a registration form; and
 - the articles of association (for companies) or a copy of the identity card (for individuals).
- The tax authorities usually assign the VAT number within a couple of weeks after receiving all the required documents. There is no need to apply for a separate VIES registration.

Further information can be downloaded at the following link:

<https://tinyurl.com/bdc4pya7>

1.2 Registration threshold & SME Scheme for foreign taxable persons

As of 1 January 2025, VAT payers established in other Member States can also opt in their own Member State to apply the special exemption regime for small businesses if they do not exceed the threshold of EUR 25,000 for turnover taxable in Belgium nor exceed the threshold of turnover taxable in EU of EUR 100,000.

When registering, the following information must be provided:

- a registration form;
- the articles of association (for companies) or a copy of the identity card (for individuals);
- an extract from the Chamber of Commerce; and
- a certificate of status of being a taxable person (or proof of taxable transactions).

To register for VAT, a foreign trader should write and send the registration form as well as required documents to the proper tax office in Brussels at the following address:

Address in Dutch:

*Algemene Administratie van de Fiscaliteit
KMO Centrum Specifieke Materies – Beheer team 1*

Kruisstraat 50, bus 3410

1000 Brussel

*e-mail: foreigners.team1@minfin.fed.be
Tel.: +32 257 740 50*

Address in French:

Administration générale de la Fiscalité

Centre PME Matières Spécifiques – Gestion team 1

Boulevard du Jardin Botanique, 50 - boîte 3410, 1000 BRUXELLES

Tel.: +32 257 740 50

E-mail: foreigners.team1@minfin.fed.be

The Belgian tax authorities usually assign the VAT number within a couple of weeks after receiving all the required documents and having received the answers to any possible additional questions.

Further information can be downloaded at the following link:

<https://tinyurl.com/bdcp4ya7>

A special arrangement for foreign taxable persons exists for fairs, exhibitions and merchandising, as well as for passenger transport.

1.3 VAT grouping

Where two or more persons established or having a fixed establishment in Belgium are closely bound to one another by financial, economic and organizational links, those persons can at their own request be treated as a single taxable person for VAT purposes.

The VAT grouping is optional. This means that a taxable person may choose whether or not to register a VAT group or whether or not to join a VAT group, even if all the conditions of the VAT grouping are fulfilled.

Financial links exist if more than 10% of the shares of the members are directly or indirectly held by the same person(s). Organizational links exist if the members are under common management or where the management of one member is actually subordinate to that of another. Economic links exist where the activities of the members are mainly aimed at achieving the same economic goal or carried out for the benefit of the other members. Only taxable persons can form part of a VAT group, which excludes "pure" holding companies, unless they actually control the decision-making process within the group.

Foreign companies which are not established in Belgium cannot generally be included in the VAT group. However, the non-resident company with a fixed establishment in Belgium can be included in the VAT group. A subsidiary of the non-resident company can also be included in the VAT group. The members of a VAT group cannot file VAT returns separately. The VAT group files one VAT return. The filing of the EU sales listing must be done for each member of a VAT group separately under their own "sub" VAT identification number.

The members of a VAT group are jointly and severally liable for payment of the VAT obligations of the group.

1.4 Fiscal representative

A foreign non-EU company (except when established in Norway or the United Kingdom) must appoint a fiscal representative if the company performs taxable transactions in Belgium for which it is liable to pay Belgian VAT.

Taxable persons from EU Member States can opt to appoint a fiscal representative when performing taxable transactions in Belgium. A direct VAT registration is more favorable in most cases. The advantage of postponed accounting at importation (see 2.3) is not lost in case of a direct VAT registration.

A fiscal representative must comply with the following requirements:

- competent to conclude contracts;
- established in Belgium;
- has a sufficient solvency; and
- agrees to represent the taxable person in question.

In addition, a guarantee (bank guarantee or deposit in cash) is required from a fiscal representative.

A fiscal representative, together with a foreign taxable person, is jointly and severally liable for payment of the VAT, late interest payments and penalties.

In Belgium, a global fiscal representative for importation followed by an intra-Community supply (VAT identification number beginning with BE796.5) and for VAT warehousing (VAT identification number beginning with BE796.6) is also possible.

2. Taxable transactions

2.1 Transfer of business

Articles 11 and 18, 3 of the Belgian VAT Law implement Articles 19 and 29 of the EU VAT Directive. If transferred assets qualify as a whole business or as an independent branch of activity, the transfer is not considered to be a supply and is, therefore, not subject to VAT.

A transfer of a whole business or a branch of activity (i.e. an independent part of the business) qualifies for the exemption of Article 11 of the VAT Law, provided the following conditions are met:

- the transfer relates to a whole business or to a branch of activity;
- both parties involved in the transaction are VAT registered;
- the transferee continues the business previously performed by the transferor (but not necessarily in an identical way); and
- the transferee would have been able to deduct the VAT charged by the transferor if the transfer had been subject to VAT.

The exemption is automatically applicable if the above-mentioned conditions are met. Therefore, it is not a legal obligation to officially inform the Belgian VAT authorities or request confirmation of the transfer.

2.2 Supplies free of charge

Article 12 of the Belgian VAT Law states that a supply of goods free of charge is to be taxed as a deemed self-supply if the taxable person had an initial right to deduct VAT on the purchase or cost of manufacturing. This is however not the case for trade samples, nor for gifts of small value to business relations. The Belgian tax authorities consider a gift of small value if the total value of the items given to the same recipient does not reach EUR 50 (excluding VAT) in a calendar year.

Article 19 of the Belgian VAT Law states that the use free of charge of goods of a business, for other purposes than the business' own economic activities, is to be taxed as a deemed self-supply if the taxable person had an initial right to deduct VAT on the purchase or cost of manufacturing. Furthermore work related to real estate

Certain construction and installation supplies are treated as supplied where they are constructed or installed. In Belgium, there is no formal definition of the notion "supply with installation or assembly". It is assumed that if the attached goods retain their identity, an installation supply occurs.

3.2 Installation supply

As a general rule, a non-established company bringing stock to Belgium and supplying the goods from this stock must register for VAT in Belgium.

If certain conditions are met, the supplier does not perform a transfer of own goods followed by a local supply, but an intracommunity supply to his customer. The Belgian VAT legislation is in line with the articles introduced as of January 1, 2020 with the "Quick Fixes" imposing homogeneous EU-legislation regarding cross-border issues, also in the context of call-off stock arrangements, newly introduced in the EU VAT Directive. The comments of the Federal Public Service of Finance laid down in a Circular of 2 April 2020 are the same as the content of the EU Explanatory Notes with regard to the 2020 Quick Fixes.

For consignment/call-off stock related to importation, the simplification is included in the VAT law. The consignee can act as an addressee of the goods at importation. In principle, the general reverse charge rule avoids the foreign company's having to register for VAT purposes in Belgium for the local sale.

3.1 Consignment and call-off stock

3. Place of Supply

Belgian legal entities and Belgian fixed establishments can apply for a special license in cases of the importation of goods from non-EU countries. With this license, importers avoid payment of VAT at the time of importation. Instead, the importer must report the VAT due in its Belgian VAT return (taxable amount in box 87; VAT due in box 57). If the importer is entitled to a full deduction, the VAT paid can be reclaimed in box 59 of the same VAT return. On balance, there is no "monetary" payment of VAT. If a taxable person is entitled to recover the VAT incurred on import, the VAT deferral can be advantageous for the taxable person.

Taxable persons that are not established in Belgium can use the VAT deferral license if they file periodical VAT returns (regardless of whether they appointed a fiscal representative or registered for VAT directly).

A foreign taxable person can also appoint a so-called global fiscal representative (under a BE796.5 VAT ID number) for the import of goods in Belgium, followed by a subsequent supply of the same goods. In that case it is also possible to apply for the VAT deferral license.

2.3.2 Postponed accounting on importation

For this specific transaction, foreign taxable persons can be represented by a global fiscal representative (VAT identification number beginning with BE796.5).

An exemption of VAT on the importation of goods into Belgium applies if it is followed by an intra-Community supply. The main condition is that the intra-Community supply must be performed by the importer. The conditions for an exempt intra-Community supply must be fulfilled as well. No license is needed. The importation document mentions the Belgian VAT identification number of the importer and the VAT number of the buyer of the goods (other than a Belgian VAT identification number).

2.3.1 Importation followed by an intra-Community supply

2.3 Importation

that is carried out for free by a taxable persons, and not for their own business purposes is deemed to be a taxable self-supply.

If a good is supplied and incorporated in an immovable good, so it forms part of the immovable good or, cannot be removed without great effort and damaging the immovable property, it is considered a service of "work related to immovable property" which is taxable in Belgium if the immovable property is located in Belgium.

3.3 Distance sales

Until July 2021 the distance sales threshold for Belgium was EUR 35,000.

However, these country-specific thresholds have been replaced by a harmonized single threshold for distance sale transactions within the EU. If this threshold of EUR 10,000 of distance sales made from the single country of establishment is exceeded, taxation must take place in the Member State of destination.

The threshold includes also all electronically supplied services, broadcasting service and telecommunication services within the EU.

3.4 Simplified triangulation rules

Under Belgian VAT legislation, the simplified triangulation rules have been implemented in line with the EU VAT Directive. In addition to this, the simplified triangulation rules can be applied if:

- Belgium is the country of arrival for the goods; and
- both the middleman (B) and the person to whom the subsequent supply is rendered (C) are VAT registered in Belgium; and/or
- the middleman (B) is VAT registered in the country of dispatch.

However, the simplified triangulation rules cannot be applied if Belgium is the country of arrival of the goods and the middleman is established in Belgium.

Where B is established and/or VAT registered in the EU Member State of dispatch of the goods (Member State 1) or in a EU Member State other than the Member State of dispatch or arrival of the goods (Member State 2), B may apply the simplification, provided that all the conditions for this are fulfilled and the transport is allocated to the first supply (A-B) (see ECJ judgment Buhler).

3.5 Acquisition threshold

The threshold for the acquisition of goods by non-taxable legal persons, by taxable persons that do not have the right to deduct input VAT (taxable persons falling under the exemptions without right to deduct and small businesses using the special scheme) and flat-rate farmers from suppliers established in another EU Member State is for Belgium EUR 11,200.

3.6 Effective use and enjoyment

Belgium has implemented effective use and enjoyment rules based on Article 59(a), sub a and b of the EU VAT Directive for B2B services in relation to the transport of goods and thereto related services. Subsequently, even if the place of supply is Belgium according to the B2B main rule of Article 44 of the EU VAT Directive, they are not subject to Belgian VAT if the effective use and enjoyment of those services takes place outside the EU, i.e. if the full distance of the transport of goods takes place outside the EU. On the other hand, even if the place of supply is outside the EU according to the B2B main rule of Article 44 of the EU VAT Directive, they are subject to Belgian VAT if the effective use and enjoyment of those services takes place in Belgium, i.e. if the full distance of the transport of goods takes place in Belgium.

4. Taxable event & Chargeability

4.1 Principles

In the case of a supply of goods, the VAT becomes, in principle, chargeable at the time the goods are put at the disposal of the acquirer of the goods. The VAT due on services, in principle, becomes chargeable at the time the services are supplied. The supply of goods, other than the hire of goods for a certain period or the sale of goods on deferred terms, that involves successive statements of account or successive payments, shall be regarded as being completed on expiry of the periods to which such statements of account or payments relate. These principles, however, are overruled: in case of the obligation to issue an invoice, VAT becomes chargeable on the date of issuing the invoice. Even if the invoice is issued before the taxable transaction takes place. In case the invoice has not been issued timely, VAT shall become chargeable on the 15th day of the month following that during which the chargeable event occurs. The general rule as to the time when the VAT becomes payable provides that a taxable person must, by the 20th of the month following the end of each tax period, file a VAT return indicating the amount of VAT which became due by him during the tax period concerned.

4.2 Advance payments

VAT can be chargeable before the time the goods are put at the disposal of the acquirer or the service is completed. This is the case when the price has been totally or partially received, before the goods are put at the disposal of the acquirer or the services are supplied.

4.3 Continuous supplies

Continuous supplies of goods over a period of more than one calendar month which are dispatched or transported from Belgium to another EU Member State and which are supplied VAT exempt or which are transferred VAT exempt, shall be regarded as being completed on expiry of each calendar month until such time as the supply comes to an end.

For intra EU B2B services taxed according to main rule of place of supply of Article 44 of the VAT Directive, where services are ongoing over a period of more than 1 year that do not give rise to statements of account or payments in that period and on which the tax is incurred by the customer on the basis of Article 51(2)(1) of the VAT Code, the services are regarded as being supplied on the expiry of each calendar year up to the time the provision of the services ceases.

4.4 Cash accounting

In some cases, VAT is paid over to the Belgian state on the basis of cash received during the respective VAT period as opposed to making payment of VAT on the basis of supplied goods and services during the period. The cash accounting regime is available to persons engaged in the supply of taxable services or goods almost exclusively to private persons and for which there is no obligation to issue an invoice.

For supplies of goods and services made to government bodies, a system of cash accounting is provided in order to avoid the pre-financing of VAT by the suppliers involved (AArt. 17(4) and 22bis(4) VAT Code). The VAT becomes chargeable when a payment has been received from the contract partner. The VAT due becomes deductible at the same moment. The issue of the invoice will not influence the chargeability of the VAT except when the VAT is due by the contract partner.

It is not foreseen in the VAT legislation to mention 'cash accounting' on the invoice.

5. Taxable amount

5.1 Bad debt relief

In Belgium, bad debt relief is available to taxable persons in case of bankruptcy of the customer. The right to refund exists from the date of the court's decision of opening of bankruptcy procedure. The general rules of refund apply, i.e. the refund can be reported in a VAT return filed by the end of the third year after the year the customer was declared bankrupt and thus the VAT becomes refundable. As evidence one can use the court's decision.

5.2 Cash discounts

Assume that the supplier intends to send the following invoice:

"Supply of goods	EUR 1,000
21% VAT	EUR 210
Total to be paid	EUR 1,210

If payment is received by us within the next 14 days, a cash discount of 2 % applies".

Whether payment has been received within 14 days or not, the taxable base will be EUR 1,000 – 2 % = EUR 980 (Art. 28, 1° Belgian VAT Law).

The invoice will be:

"Supply of goods	EUR 1,000.00
Taxable amount	EUR 980.00
21% VAT	EUR 205.80
Total to be paid	EUR 1,185.80

If payment is received by us within the next 14 days, a cash discount of 2 % applies".

5.3 Open Market Value

In the event of a supply of goods or services between some related parties the 'open market value' must be used as the taxable amount for VAT. Related parties may also include the relationship between an employer and an employee, a close family tie, or partner, member or director of a company or legal entity. It is applied where the consideration is lower than the open market value and the recipient of the supply does not have a full right of deduction.

Open market value means the full amount that a customer at the same marketing stage at which the supply of goods or services takes place would have to pay, under conditions of fair competition, to a supplier at arm's length, in order to obtain the goods or services in question at that time.

The open market value is also the minimum taxable basis for the supply of new buildings and the related land if VAT applies.

Some buildings can as from 1 January 2019 be leased B2B under VAT if opted by lessor and lessee. If the lessee has no full right to deduct VAT and parties are related, the open market value is applied where the consideration is lower than this value.

5.4 Returnable Packaging

Provided the packaging is considered to be a normal type of packaging and a supplier engages himself to reimburse the customer for the value of the packaging if returned, the amount charged for the packaging is not part of the taxable basis and thus not subject to VAT. There is however no obligation that the packaging indeed will be returned.

6. VAT rates

6.1 Standard rate

The standard VAT rate in Belgium is 21%.

6.2 Reduced rate

Belgium has reduced VAT rates of 0% (see under 6.3), 6% and 12%.

The reduced rate of 6% applies for instance to:

- the supply of food and beverages (except alcoholic beverages);
- hotel accommodation;
- paper or digital, books, magazines and newspapers (under certain conditions 0 % for magazines and newspapers);
- passenger transport;
- medication (0% for the supply of COVID-19 vaccines and COVID-19 in vitro diagnostic medical devices as well as for services closely linked to those devices and vaccines);
- small repair services: the repair of bicycles, shoes and clothing;
- the renovation of houses older than 15 years;
- the renovation of houses older than 10 years for own use; and
- demolition and rebuilding of houses in major cities, and for 2021-2022 under certain conditions in the whole of Belgium.

The rate of 12% applies for instance to restaurant and catering services (except drinks) and margarine.

The list of goods and services subject to 6% and 12% can be found in annex A and B to the Royal Decree N° 20.

6.3 Super-reduced and zero rate

A rate of 0% applies to periodicals e.g. newspapers, both on paper and digital and certain COVID-19 related vaccines and medical devices.

7. Exemptions

7.1 Exemptions with the right of deduction

Belgium has exemptions (with the right of deduction) for the following supplies and services (non-exhaustive list):

- exports and intra-Community supplies of goods;
- goods supplied to travelers residing outside the EU under retail export schemes or through tax-free shops;
- services in the framework of inward processing on behalf of residents outside the EU;
- services of intermediaries relating to transactions carried out outside the EU;
- vessels used for navigation on the high seas and airplanes used by airlines operating for reward chiefly on international routes, as well as related goods and services;
- supplies made to customers with (diplomatic) tax immunity;
- supplies of monetary gold to central banks;
- transport of goods to and from Madeira and the Azores;
- goods supplied under customs control or VAT warehousing arrangements;
- international passenger transport by seagoing vessels and airplanes;
- provisioning of seagoing vessels and airplanes; and
- services to goods under customs control.

7.1.1 Intra-Community supplies

In order to be entitled to the exemption in the case of intra-Community supplies, the following is required:

- the supplier must have a combination of documents, such as a copy of the sales invoice, proof of payment

Participants in transactions with entering goods into or withdrawing goods from a VAT warehouse need not be established or registered in Belgium. A non-resident taxable person can apply for an individual VAT

Raw tobacco (CN Code: 2401)
Wood pulp (CN Code: 4703)
Raw cotton (CN Code: 5201)
White granulated sugar (CN Code: 1701 99)
Tellurium (CN Code: 2804 50)
Selenium (CN Code: 2804 90)
Biodiesel and its blends (CN Code: 3826 00)
Iridium (CN Code: 7110 41)
Ruthenium (CN Code: 7110 41)
Cobalt (CN Code: 8105)
Bismuth (CN Code: 8106)
Cadmium (CN Code: 8107)
Antimony (CN Code: 8110)
Germanium (CN Code: 8112 30)

of goods for which a VAT warehouse is possible:

Some other goods that are not mentioned in Annex V of the VAT Directive, are in Belgium included in the list e.g., tin, copper, mineral products, certain chemical products, cocoa beans, raw sugar and raw cotton. goods (e.g. goods that need further processing in order to be sold for final consumption). These goods include in case they are mentioned in Royal Decree no. 54. These are in most cases certain unfinished products/bulk which are subject to an intra-Community acquisition in Belgium can only be entered into a VAT warehouse. All goods that are imported can be entered into a VAT warehouse. Goods supplied locally in Belgium or

entered into the VAT warehouse.

Belgium has introduced VAT warehouses. A VAT warehouse is always a clearly indicated physical place (e.g. part of a building, a factory, a pipeline, an industrial site, silo, or tank). For the use of the VAT warehouse regime, a distinction is to be made on the basis of the "type" of transaction based on which the goods are

7.1.3.1 VAT warehouse

7.1.3 Warehousing

- In order to prove the exemption in the case of exports, the company must have the required evidence in its company records that the goods have left the EU e.g.: an export declaration with a confirmation of exit;
- transport documents (bills of lading/CMR) signed by the customer on receipt of the goods;
- import documents stamped by the non-EU customs authorities;
- payment from outside the EU;
- invoices from providers of transport and customs procedures; and
- correspondence with the customer.

7.1.2 Export supplies

The above rules can still be used in order to prove the transport besides the presumptions of transport as mentioned in Article 45a Implementing Regulation.

- the valid VAT number of the customer; and
- correct and timely filing of the European Sales Listing.
- the invoice must include a reference that a supply is exempt e.g. "VAT exempt Intra-Community supply, Article 138 of Directive 2006/112/EC", in Dutch, "vrijgesteld wegens intracommunautaire levering 39bis WBTW" or in French: "exemple de TVA - livraison intracommunautaire - article 39bis CTVA;
- signed by the customer who declares the goods have arrived in another EU Member State, is possible;
- of destination (in Dutch "bestemmingsdocument", in French "document de destination") i.e. a document evidence that the goods in question were transported to another EU Member State. The use of a document transport documents. These documents, or a sufficient combination thereof, must provide irrefutable (from abroad), a purchase order, correspondence with the customer (if available), and most importantly,

- the services rendered by doctors (except aesthetic surgery), dentists, kinesiologists, midwives, nurses, hospital attendants, and other paramedical professions, provided the services they render are listed in the medical nomenclature;
 - the services rendered and the goods supplied in connection with these services by hospitals (except in connection with aesthetic surgery), psychiatric institutions and the transport of patients with specially equipped vehicles;
 - the services rendered to their members by autonomous groups of persons exercising an exempt activity under Article 44 of the VAT Law;
 - the supply of human organs, human blood and mother's milk;
 - the services and supplies of goods closely linked to welfare work, social security and the protection of children and young people, which are carried out by the appropriate authority, e.g. organizations that provide care of the elderly, children's homes, family assistance organizations, psychological, medical and social centers for school children, and study support centers, organizations for care of the disabled;
 - services rendered by operators of sports centers, provided they have no profit motive and provided they
- The following supplies of goods and services are exempt from Belgian VAT (i.e. giving no right to recovery of input VAT – Art. 44 Belgian VAT Law):

7.2 Exemptions without the right to deduction

It is possible to put the goods in a bonded warehouse in Belgium.

If the goods coming from a third country are directly placed under a bonded warehouse regime, no customs duties and VAT become due. When the goods are released from the warehouse for free circulation, duties and VAT become due. A buyer who declares the goods into free circulation becomes responsible for the payment of the VAT.

The release of goods from a bonded warehouse regime does not constitute an importation if the goods are subsequently placed under another customs regime.

The sale of goods while still in bond is not subject to Belgian VAT. Evidence that the sales took place in the bonded warehouse should be kept in the company records (i.e. list of the transactions from the warehouse keeper, customs documents, the agreements, the invoices, etc.).

7.1.3.3 Bonded warehouse

Where products subject to excise duty or goods intended for the production or processing of products subject to excise duty are allowed to be entered under above VAT warehousing arrangements, and are stored or located in a place situated in Belgium which is considered to be an excise warehouse within the meaning of Article 3(11) of Directive (EU) 2020/262, they shall be deemed to be under the VAT warehousing procedure. The procedure shall cease when the goods are declared for use for excise duty or when the goods are actually removed from the excise warehouse.

7.1.3.2 Excise warehouse

The supply of goods where the goods are entered into the VAT warehouse or where the goods remain under the VAT warehouse regime are zero-rated (exempt - however this is a preliminary exemption, which only becomes definite depending on the subsequent transaction). The warehouse keeper must apply for a VAT warehouse license.

When the goods are released from the VAT warehousing regime by the supplier, the goods fall back into the scope of the general rules for supplies of goods (local supplies, intra-Community supplies and exportation). In case the goods are released from the VAT warehousing regime by the customer/owner of the goods, in principle, the VAT on the previous transaction becomes due by the customer.

identification number (in case he is not established in the EU then an individual fiscal representative also needs to be appointed) or can use a global fiscal representative (under a BUL796.6 VAT identification number). The taxable person trading in goods which are located in the warehouse does not need to be registered for VAT purposes in Belgium.

- use the earnings only to cover the exploitation costs;
- the supply of education by recognized institutions and the supply of services and goods directly linked to the educational services;
- services with respect to the educational curricula and family counselling, including the supply of goods in connection with these services;
- the rental of books and magazines, musical scores, LP's, CD's, MC's, slides and other materials of cultural interest by libraries, provided they have no profit motive and provided they use the earnings only to cover the exploitation costs;
- the services rendered by operators of museums, botanical gardens and zoos, provided they have no profit motive and provided they use the earnings only to cover the exploitation costs;
- the services rendered by performers to the organizers of performances; the services rendered to organizers of public events, to editors and to movie-makers, by actors, conductors and other artists; the services rendered to organizers of sporting competitions and sporting events by the participants to these competitions and events;
- the organization of theatrical performances, ballet and movie performances, exhibitions, concerts or conferences including the supply of goods and services closely related thereto, by bodies governed by public law and provided they use the earnings only to cover the exploitation costs;
- certain supplies of staff by religious or philosophical institutions;
- supply of services and goods closely linked thereto for the common benefit of their members in return for a subscription fixed in accordance with their rules, by non-profit making organizations with aims of a political, trade-union, religious, patriotic, philosophical, philanthropic or civic nature;
- the supply of goods which were destined for an exempt activity, provided no input VAT has been recovered; the supply of immovable property and the transfer of immovable rights e.g. usufruct (i.e. "old" buildings for VAT purposes);
- the leasing and letting of immovable property and the transfer of letting rights on immovable goods, excluding:
 - the letting of premises and sites for parking vehicles;
 - the letting of space, used for more than 50 % for storage on condition the space is used for sales purposes for not more than 10 %;
 - the letting of camping space;
 - the letting of accommodation in the hotel sector and in similar sectors;
 - the provision of accommodation in the hotel sector and in similar sectors;
 - the hire of safes;
 - immovable leasing under certain conditions;
- the provision of immovable property for the operation of ports, navigable waterways and airports;
- the provision of equipment with a view to carrying out work on immovable property;
- the provision, for purposes other than housing, of immovable property, for a period not exceeding 6 months; excluding (i) the provision to private persons who use those goods for private purposes or, more generally, for purposes other than those of their economic activity, (ii) the provision to non-profit organizations, or (iii) the provision to any person who uses the goods for activities exempt in article 44, 2 VAT Code;
- contracts concluded by an author or a poet for the publishing of literary work or works of art;
- insurance and reinsurance transactions, including related services performed by brokers and insurance agents, but excluding the services rendered by claims assessors;
- the granting and the negotiation of credit and the management of credit by the person granting it; transactions, including negotiation, concerning deposit and current accounts, payments, transfers, debts, checks and other negotiable instruments, but excluding debt collection and factoring;
- the negotiation of or any dealings in credit guarantees or any other security for money and the management of credit guarantees by the person who is granting the credit;
- transactions, including negotiation, concerning currency, bank notes and coins used as legal tender, with the exception of collector's items (i.e. gold, silver or other metal coins or banknotes which are not normally used as legal tender or coins of numismatic interest);
- transactions, including negotiation but excluding management and safekeeping, regarding shares, interests in companies or associations, debentures and other securities, excluding, however, documents establishing title to goods;
- the management of collective investment bodies (including real estate investment companies) and organizations for financing certain pensions;

- the supply at face value of postage stamps valid for use for postal services within the territory of Belgium;
- fiscal stamps and similar stamps;
- lotteries (off-line and on-line), betting (off-line and on-line) and other forms of gambling (off-line and on-line); and
- services, and supplies of goods ancillary to these services, rendered by providers of postal services which have the responsibility to ensure the functioning of the entire universal postal service or a part of it, when these services concern universal postal services.

7.3 Option for taxation

The supply of immovable property and the transfer of immovable rights e.g. usufruct related to new buildings and the related land is automatically subject to VAT if it is made by a professional trader in immovable goods. For all other persons even when they do not have any other taxable operations, the supply of immovable property and the transfer of immovable rights related to new buildings and the related land can be subject to VAT upon option in the first deed.

The letting of a building or part of a building, which is used by the tenant solely for the economic activity which gives him the status of a taxable person, can be subject to VAT provided that the landlord and the tenant jointly choose to tax. If a building or part of a building is rented at the same time with the corresponding land, the option must be exercised in respect of both immovable properties together. The option applies for the entire duration of the agreement.

The option may only be applied to contracts relating to buildings or parts of buildings for which the VAT on works with respect to the building itself and contributing to the erection of the building at the earliest on 1 October 2018 for the first time was chargeable. This condition of age of building shall not apply to contracts for the provision of spaces for the storage of goods (see above 7.2), for which the option may be exercised.

For financial services consisting in payment and receipt operations, including negotiation, with the exception of debt recovery; the service provider may, under the conditions set by or on behalf of the Minister of Finance, opt to tax it.

8. Liability

8.1 Reverse charges

In Belgium there are several obligatory reverse charge rules besides the reverse charge for general B2B services provided by foreign entities to taxable persons and legal entities with a Belgian VAT number established in Belgium. This reverse charge applies in all EU Member States and follows from Articles 44 and 196 EU VAT Directive. In addition there is also the reverse charge for the supply of natural gas and electricity supplied by non-resident suppliers to "taxable dealers" in Belgium.

8.1.1 General reverse charge mechanism - non-resident suppliers (Art. 194 Directive 2006/112/EC)

In the case of a non-resident supplier, the reverse charge applies if the recipient of the goods and/or services is:

- a taxable person resident or established in Belgium filing periodic VAT returns, or
- a non-established person who has appointed a fiscal representative.

The reverse charge does not apply if the customer is a non-resident company with a Belgian VAT identification number through a direct registration. The reverse charge applies to all supplies of goods and services which are subject to VAT in Belgium. On the invoice, reference should be made to the application of the reverse charge. A foreign supplier must use the following text on the invoice: "reverse charge" (in Dutch: "Btw verlegd"; in French: "Autoliquidation") and can additionally mention "Article 51, 2, 5° of the Belgian VAT Law".

8.1.2 Reverse charge mechanism - specific domestic rules (Art. 199 Directive 2006/112/EC)

On the following supplies and/or services domestic reverse charge rules apply:

- supply of construction work, including repair, cleaning, maintenance, alteration and demolition services, and the supply of staff in relation to immovable property by a taxable person established in Belgium for

a taxable person resident or established in Belgium who files regular VAT returns, or a non-established person registered for VAT in Belgium who files regular VAT returns;

- supply of investment gold to a taxable person resident or established in Belgium, or a non-established person registered for VAT in Belgium who files regular VAT returns; and
- supply of CO2 emission rights to a taxable person resident or established in Belgium, who files regular VAT returns.

The supplier should refer to the application of the reverse charge on his invoices. A specific text should be included in order to free the supplier of its liability to pay the VAT in case the customer would not be filing regular VAT returns in Belgium.

8.2 Joint and several liability

There is a joint and several liability for VAT grouping. The VAT liability exists for debts of each member of the VAT group for the entire period during which the entity in question was a member of that VAT group. In case of non-established taxable persons registered for VAT with the appointment of a VAT representative, the representative is jointly and severally liable for VAT, fines and interests due by the principal.

Every taxable person shall be jointly and severally liable for payment of the tax if, at the time when he carried out a transaction, he knew or ought to have known that the payment of the tax was not or will not be made, in the chain of transactions, with the intention of evading the tax.

A co-contracting party shall be jointly and severally liable for payment of the tax if the invoice or document as such, the issue of which is required, has not been issued or contains an incorrect indication as to its name, the address or VAT identification number of the parties to the transaction, the nature or quantity of the goods or services supplied or the price or accessories thereof. This co-contractor who proves the identity of his supplier and proves that he has paid him the price and the corresponding tax or part thereof is to that extent exempted from joint and several liability.

In the case of VAT warehousing, the warehousekeeper, the person responsible for transporting the goods from the warehouse and, where appropriate, his principal, shall be jointly and severally liable.

Any taxable person who, through the use of an electronic interface such as a marketplace, platform, portal or similar means, facilitates supplies of goods taking place in Belgium shall be jointly and severally liable to the State for payment of the tax if he is not acting in good faith or has been guilty of fault or negligence in relation to the following supplies of goods:

- supplies of goods of which the place of commencement and arrival is in Belgium, supplies without transport in Belgium, and intra-Community distance sales of goods carried out by taxable persons for customers not having to tax their intra-Community acquisitions;
- distance sales of goods imported from a third territory or a third country, in consignments with an intrinsic value of more than EUR 150, where the supplier acts as consignee of the goods on importation.

The Belgian VAT law provides criteria for when a person is deemed to have been negligent or not to act in good faith.

Managing directors may be held jointly and severally liable for the tax debts of the company they manage. This liability arises when the company's taxes remain unpaid and there has been a culpable breach of duty on the part of the managers.

9. Recovery of input VAT

9.1 Non-recoverable input VAT

The input VAT is not recoverable in the case of:

- supplies and intra-Community acquisition of manufactured tobacco and alcoholic beverages other than those intended for resale or to be provided as part of a supply of services;

The tax authorities must issue a decision on the refund claim within four months of receipt of the claim. The period in which the authorities must make a decision will be extended to six months or eight months when the authorities request additional information.

Supporting documents (e.g. the original invoices / copies of invoices) are generally not required. However, in certain cases the tax authorities may require additional information. When the taxable amount exceeds EUR 1,000 (in case of fuel EUR 250), a copy of the invoice is required.

The deadline is compulsory. The deadline for making a claim is 30 September of the year following the year over which a claim is made.

Minimum period for making a claim is 3 consecutive calendar months in one calendar year, unless it is a remainder of the year. Maximum period for making a claim is 1 calendar year.

Annual minimum limit for claims that are made for a calendar year or the remainder of a calendar year is EUR 50. Interim minimum limit for claims that are made for less than a calendar year but at least 3 months is EUR 400.

The refund application must be submitted electronically through the portal of the tax authorities of the country in which the claimant is established. The link at which the application form can be filed is as follows: www.financien.belgium.be under e-services.

9.4 VAT refund to EU taxable persons

In case of letting of immovable property for professional use under the optional VAT scheme, the adjustment period is 25 years.

Belgium also has an adjustment period (5 years) for services. Mainly these are services where depreciation applies, e.g. software.

- immovable property - 15 years starting on 1 January of the year of first use; in principle this applies to VAT on the construction or purchase of a new building with VAT. Following a recent court case it should also apply on VAT incurred at extensive renovation activities that extend the building its period of economic use comparable to new buildings;
- movable property - 5 years starting on 1 January of the year of purchase.

9.3 Adjustment periods

Excess input VAT is immediately recoverable and refunded by the VAT authorities upon explicit request.

9.2 Excess input VAT

In case of mixed use of capital goods (e.g. cars, real estate), the VAT deduction must not exceed the professional use of the goods concerned.

- fall under the 50% rule (thus 100% deduction).
- deduction may under no circumstances exceed 50% of the tax paid. Some well-described vehicles do not passenger and/or goods transport by road, and with respect to goods and services related to such vehicles,
- with respect to the supply, importation and intra-Community acquisition of motor vehicles intended for for travel services which are directly for the travelers' consumption; and
- travel agencies cannot deduct the VAT on goods and services supplied by other taxable persons to be used for travel services; entertainment expenses;
- other taxable persons who in turn supply the same services for consideration;
- employees delivering goods or providing services away from the business premises; or
- accommodation, food and beverages for immediate consumption, unless the costs are incurred by:

If a refund is granted, it will be processed within 10 business days and paid to the bank account number provided to the tax authorities. Time limit for appeals is the end of the third year following the year of the decision. If this appeal is unsuccessful, the claimant can initiate proceedings before the national court.

The rules for recovery of input VAT follow the general rules (see above).

9.5 VAT refund to non-EU taxable persons

In Belgium no reciprocity rules apply.

The refund application must be submitted electronically by a form 803 accessible through www.finan.fgov.be under e-services.

For a first request an e-mail has to be provided to foreigners.team2@minfin.fed.be. This e-mail should include:

- a certificate of the status of taxpayer (less than 1 year old and translated into Dutch, French, English or German);
- a brief description of the activity;
- the exact address of the company;
- the e-mail address to which the refund decision can be sent.

The annual minimum limit for claims that are made for a calendar year or the remainder of a calendar year is EUR 50. The interim minimum limit for claims that are made for less than a calendar year but at least 3 months is EUR 400.

The minimum period for making a claim is 3 consecutive calendar months in one calendar year, unless it is a remainder of the year. The maximum period for making a claim is 1 calendar year.

The deadline for making a claim is 30 September of the year following the year over which a claim is made. This deadline is compulsory.

For non-EU claimants, the following documents must be included in pdf-format:

- a certificate of tax status which can be obtained from the VAT authority of the country in which the claimant is registered (or IRS Certificate for the U.S.);
- latest balance sheet;
- a copy of the articles of association;
- the invoices, creditnotes, import documents must be submitted; and
- if invoices refer to contracts these must also be included.

10. Administrative obligations

10.1 Invoicing

10.1.1 Invoice content

For VAT purposes a full invoice must contain the following information:

- date on which the invoice is issued;
- invoice number (sequential);
- VAT identification number, full name and address of the supplier or service provider;
- VAT identification number, full name and address of the customer/recipient;
- name, address and VAT identification number of the fiscal representative (if applicable);
- when making zero-rated intra-Community supplies of goods, the VAT identification number of the customer in the EU Member State of arrival of the goods;
- when providing services and the customer has to pay the VAT due, the VAT identification number of the customer under which he purchases the service;

- the date of supply of goods or the period of supply of services as well as the date(s) on which any advance payment falls due, if different from the date of invoice;
 - the quantity and a clear description of the goods or services supplied;
 - the taxable amount (as well as the unit price, if any);
 - the applied VAT rate;
 - the total VAT amount payable;
 - the total amount of VAT incurred must be expressed in the national currency of the EU Member State that sets the invoicing rules; if the taxable transaction takes place in another EU Member State, it must be stated that the VAT due and the VAT rate is from that EU Member State;
 - in case of self-billing the following reference is required: "factuur uitgereikt door afnemer" (French: "autofacturation");
 - reference to the reverse charge (in Dutch: "Btw verlegd" / in French: "Autoliquidation") if VAT is imposed on the recipient; e.g. B2B service: "Btw verlegd" -Article 44 EU VAT Directive / Article 21, 2 Belgian VAT Law -Article 196 EU VAT Directive/Article 51, 2, 1° Belgian VAT Law;
 - in case of a supply of a new means of transport, the information necessary to determine whether a means of transport is new;
 - in case of a supply of other than new means of transport, information details about the vehicle;
 - the reference to the special scheme, if any special scheme is applied, e.g., the reference "Bijzondere regeling reisbureaus" (in French: "Régime particulier - Agences de voyages") in case the travel agents' margin scheme is applied; or the reference "Bijzondere regeling gebroeders" (in French: "Régime particulier - Biens d'occasion") in case that particular margin scheme is applied; and
 - the reason for the application of an exemption, zero rate, or no mentioning of VAT. For instance: intra-Community supply: "Exempt from VAT" - intra-Community supply - Article 39bis Belgian VAT Law"; export supply: "Exempt from VAT-Export -Article 39 Belgian VAT Law"; and
 - the reference to the invoice issued earlier if several invoices regarding the same transaction are issued.
- 10.1.2 Time limits**
- An invoice needs to be issued ultimately on the 15th day of the month following the month in which the supply or service was rendered, or a prepayment has been received. For continuous services which do not give rise to settlements or payments during a period longer than one year, the invoice shall be issued no later than the 15th day of the month following the expiry of each calendar year.
- The VAT is generally due at the moment the invoice is issued. If the invoice is issued too late or not at all, the VAT is due the 15th day of the month following the month in which the supply or service was rendered.
- 10.1.3 Currency**
- The total amount of VAT incurred must be expressed in the national currency of the EU Member State that sets the invoicing rules. When Belgium is the EU Member State that sets the invoicing rules, the currency is the Euro.
- 10.1.4 Conversion and exchange rate**
- When the factors used to determine the taxable amount on importation are expressed in a currency other than that of the EU Member State in which assessment takes place, the exchange rate shall be determined in accordance with the EU provisions governing the calculation of the value for customs purposes.
- When the factors used to determine the taxable amount of a transaction other than the importation of goods are expressed in a currency of a third country or an EU Member State not belonging to the Eurozone, the exchange rate applicable shall be the latest exchange rate published by the European Central Bank, the exchange rate applicable becomes chargeable. For currencies not published by the European Central Bank, the exchange rate applicable shall be the latest exchange rate published by the Belgian National Bank.
- When contracting parties have settled an exchange rate in the contract, that exchange rate is applicable and not the exchange rate set by the Banks.

10.1.5 Self-billing

Under Belgian VAT legislation, self-billing is allowed in case there is a prior agreement between the two parties and each invoice is subject to a procedure of acceptance. The prior agreement is preferably a written agreement for reasons of proof. The procedure of acceptance can be implicit (e.g. payment of the invoice).

10.1.6 Simplified invoice

- It is possible to issue a simplified invoice if:
- the amount of the invoice is not higher than Euro 100;
 - commercial or administrative practice makes it difficult to issue a full invoice; and
 - the invoice issued is a document or message which changes the initial invoice.

A simplified invoice must contain the following information:

- date at which the invoice is issued;
- invoice number (sequential);
- VAT identification number under which the supply or service is performed;
- full name and address of the supplier or service provider;
- VAT identification number of the customer, or when there is no VAT identification number the full name and address of the customer/recipient;
- description of the goods or services supplied;
- per VAT rate the taxable amount and the VAT amount; and
- specific, unambiguous reference to the initial invoice and the details that are being amended (on a credit note, debit note or other document treated as an invoice).

It is not possible to issue a simplified invoice for:

- supplies with installation;
- distance sales;
- intra-Community supplies;
- supplies for which reverse charge applies.

10.1.7 Storage of invoices

Invoices need to be kept available for 10 years. Invoices relating to immovable property need to be kept for a period of 15 or 25 years. Bookkeeping records with respect to the special scheme for telecommunications, broadcasting or electronic services must be kept for a period of 10 years.

Invoices can be stored in any form, i.e. received paper invoices can be stored in paper form or in an electronic format; electronic invoices can be stored in electronic form or can be stored in printed form.

The authenticity of origin, integrity of content and readability must be guaranteed during the storage period.

10.1.8 Electronic invoicing

There are no technical conditions for electronic invoicing. The electronic invoice can be sent in any format, including PDF, on condition of authenticity (as regards to the issuer of the invoice) integrity (the content of the invoice must be unchanged), and legibility. As a formal condition, the customer must accept that the supplier issues electronic invoices. This acceptance can be implicit.

As of 2026 Belgium intends to introduce compulsory electronic invoices in a structured format for domestic transactions by taxpayers established in Belgium.

10.2 VAT compliance

10.2.1 VAT return period

The standard period for a VAT return is one month. When certain conditions are met, a quarterly VAT return is possible. In Belgium, no annual VAT return is possible.

The same rule applies for both domestic and foreign businesses.

If the VAT is not paid on time, the VAT authorities apply an interest for late payment of 0.67% per month (current rate in 2024). Moreover, a penalty of 5% of the VAT due, is issued in case of late payment but timely filing of the VAT return. In case of late payment and late filing of a VAT return the penalty is 10% of the VAT due.

10.3.3 Default penalties for not paying VAT on time to the tax authorities

If the European sales listing is not filed on time, the VAT authorities can issue a penalty depending on the seriousness of the infringement. The penalty can vary from EUR 25 to EUR 3,000 per listing. In case of non-filing the penalty is EUR 500 for the first offence, EUR 1,250 for a second offence, EUR 2,500 for a third offence and EUR 5,000 for subsequent offences.

If the VAT return is not filed on time, the penalty is EUR 100 per return and per month overdue with a maximum of EUR 500. After a period of 5 months the VAT return will be considered as a case of non-filing.

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

The tax authorities will issue a penalty of EUR 100 per month overdue with a maximum of EUR 500.

10.3.1 Default penalties for late registration

10.3 Penalties

In the case of additional information's becoming available, the tax assessment period is seven years under certain conditions. In case of fraud, the tax assessment period is ten years. The tax assessment period in Belgium is limited to 31 December of the third year following the year of accountability for the VAT due. This means that at the end of 2024, the last open year for assessments is the year 2021. In case a VAT return was not filed in due time this period can be extended with one year.

10.2.5 Tax assessment period

This list must be submitted electronically. Further explanation can be found under: <https://tinyurl.com/5frsbun6>

There is also a national recapitulative statement in Belgium, namely, a yearly list of customers who have received supplies of goods and services for more than EUR 250 on a yearly basis.

10.2.4 National recapitulative statement

There is no threshold applicable regarding the value of the transactions. Further explanation can be found under: <https://tinyurl.com/5frsbun6>

The European sales listing must be submitted electronically.

The European sales listing must be submitted on a monthly basis if the intra-Community supply of goods exceeds EUR 50,000 in the current quarter or in any of the 4 preceding quarters. The European sales listing also contains the services for the period involved.

10.2.3 European sales listing

Further explanation can be found under: <https://tinyurl.com/5frsbun6>

The VAT due must be received on the bank account of the VAT authorities on the 20th of the month following the VAT return period. As of 2025, taxpayers filing quarterly returns will have until the 25th of the month following a quarter. The same deadline applies for the VAT return itself. A VAT return must be submitted electronically.

10.2.2 Filing of VAT return and payment

After a case of late filing the tax authorities can, after three months following a declaration period, issue a "replacement VAT return" for the highest amount of VAT payable in a return of the previous 1 month with a minimum of EUR 2,100. After receipt of notification of a "replacement VAT return" the taxable person can still file its missing VAT return. If not, the penalty is 15% of the VAT due.

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

If the VAT is not paid up to the correct amount, the VAT authorities can also issue a penalty.

If the VAT is paid voluntarily and before an inspection has been announced, the penalties are waived.

Penalties for infringements assessed during a VAT audit vary from 5 to 20% of the VAT due depending on the infringement.

10.3.5 Offense penalties

In the case of fraud, the penalty is 200% of the VAT due. The Belgian tax authorities may also decide to prosecute for a criminal offense.

10.4 Intrastat

A separate monthly Intrastat return must be submitted to the National Bank of Belgium (Nationale Bank van België (NBB)/Banque Nationale de Belgique (BNB)).

10.4.1 Intrastat threshold

The Intrastat threshold for the arrivals of goods is EUR 1,500,000 and for the dispatches is EUR 1,000,000.

10.4.2 Intrastat data to be reported

The information which must be reported for both the arrival and the dispatches statistics is (sometimes less in case of a standard Intrastat return):

- EU Member State of origin/destination;
- nature of the transaction;
- the VAT identification number of the customer in the case of dispatches;
- 8-digit Combined Nomenclature (CN) code of the goods;
- net weight of the goods;
- code of region of origin/destination;
- value of the goods in EUR;
- mode of transport; and
- Incoterm (delivery terms).

If the threshold for distance sales has not been exceeded nor the supplier has opted to tax in the EU Member State of the customer, the transaction must not be reported in Intrastat. If the threshold for distance sales has been exceeded or the supplier has opted to tax in the EU Member State of the customer, the transaction must be reported in Intrastat (when exceeding the Intrastat thresholds).

When Intrastat reports are not filed, reminders are sent by the authorities. If these reminders are ignored, a penalty (EUR 100-10,000) or a criminal sanction can be imposed.

10.5 Additional compliance requirements

So far Belgium has not implemented special rules such as real time reporting, split payment or any other special method of reporting and payment of the VAT.

Information received from:

Frank Borger
THE VAT HOUSE bv
tvh@vat-house.com
www.vat-house.com

The European Union (EU) VAT Directive is implemented in Bulgaria through the VAT Act ("Zakon za Danak varhu Dobawenata Stoimost" and the VAT Regulations. VAT is called "Danak varhu Dobawenata Stoimost" or "DDS".

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

The threshold for mandatory VAT registration is BGN 100,000 (approximately EUR 51,130) and as of 1 January 2025 - BGN 166,000 (approximately EUR 84,875) taxable turnover for the last 12 months (including zero-rated supplies and exempt financial and insurance services).

In 2020, an anti-abuse rule was introduced, namely when one person carries out the same activity on the same premises immediately after another person, and these persons are related parties or act in an abusive coordinated manner, then the turnover of the first person is included in the calculations of the turnover of the second person.

Any taxable person can apply for voluntary VAT registration, regardless of the amount of turnover.

An application form must be submitted to the VAT authorities. The contact details of the VAT authorities are:

National Revenue Agency
Territorial Directorate Sofia, blvd. 52
Dondukov Street
1000 Sofia, Bulgaria
Tel.: (+359 2) 0700 18 700

Bulgarian VAT legislation does not provide for a simplification of the VAT registration.

As a rule, registration should take no more than 14 days from the day when the VAT authorities receive the necessary documents.

The application form can be downloaded at:

www.portal.nap.bg

1.2 Registration threshold & SME Scheme for taxable persons

Foreign taxable persons must apply for VAT registration 7 days before their first taxable supply with a place of supply in Bulgaria (regardless of the taxable turnover), insofar as the reverse charge mechanism is not applicable. Foreign taxable persons can also register for VAT voluntarily. The registration procedure is generally the same as for resident taxpayers (see also paragraph 1.1).

When registering, the following information must be provided to the tax authorities by the foreign taxable person:

- application form;
- information about the taxable turnover in Bulgaria;
- certificate of incorporation of the taxable person; and
- certificate(s) of tax and VAT registration of the taxable person in the country of residence
- notarised and apostilled Power of Attorney (if documents are submitted by an authorised person).

The application form can be downloaded at:

www.portal.nap.bg

Bulgaria has not implemented the SME scheme for foreign taxpayers yet at the time of editing this chapter (13 March 2025). However, the bill is expected to be accepted any time soon. The threshold will probably be fixed at BGN 166,000. The total turnover of the foreign EU taxable person must also remain below the EU-wide threshold of Euro 100,000.

1.3 VAT grouping

There is no VAT grouping in Bulgaria.

1.4 Fiscal representative

Taxable persons from EU Member States can register directly for VAT in Bulgaria and do not need to appoint a fiscal representative.

Taxable persons from non-EU countries with which the EU has not signed an agreement on mutual assistance in tax matters (like the scope of Directive 2010/24 and Regulation 904/2010) are obliged to appoint a fiscal representative when applying for VAT registration in Bulgaria. The fiscal representative must meet certain legal conditions. The fiscal representative must be a Bulgarian resident company or an individual who is not in liquidation or bankruptcy proceedings and has no outstanding tax or social security liabilities.

The fiscal representative shall be jointly and severally liable with the foreign taxable person for the tax liabilities of the foreign enterprise.

2. Taxable transactions

2.1 Transfer of business

The transfer of economic activity as a going concern within the meaning of the Bulgarian Commercial Act is outside the scope of Bulgarian VAT. In-kind contributions to the share capital of the company, as well as mergers, are also outside the scope of VAT.

A transaction will qualify as outside the scope of VAT if it meets the formal conditions under the Commerce Act. For example, the transfer of a going concern must be made in a contract with notarized signatures. There are special legal procedures and requirements for in-kind contributions and mergers.

2.2 Supplies free of charge

Bulgaria generally applies the principles laid down in Articles 16 and 26 of the EU VAT Directive.

Free of charge supply is defined as a supply without remuneration or the value of the supply is significantly exceeding the remuneration received.

The free supply of goods or services of 'small value' for marketing purposes or as samples is not taxed in Bulgaria if the market price per item is less than BGN 30 (EUR 15,34), excluding VAT, and if their supply is not part of a series of supplies for which the recipient is the same person.

2.3 Importation

Import of goods from third countries (non-EU member states) is subject to 20% VAT paid to the Bulgarian Customs with a possibility for VAT credit deduction if the imported goods are related to the taxable supplies of the taxable person. In case of import of goods which are subject to reduced VAT rate in Bulgaria, this reduced VAT rate would apply.

2.3.1 Importation followed by an intra-Community supply

VAT on import can be deferred or zero rated if the import of goods is followed by a subsequent intra-Community supply destined for another EU Member State. The importer must be registered for VAT purposes

in Bulgaria, and it should be evident from the transport documents that the goods are destined for another EU Member State.

The importer must also provide the VAT number from the EU Member State of the customer to which the goods will be transported after being imported in Bulgaria. There is no requirement to appoint a fiscal representative or to post a bank guarantee.

2.3.2 Postponed accounting on importation

Payment of the import VAT can be deferred if the goods are under a customs suspension regime (e.g. customs warehousing, temporary admission, inward processing, etc.).

Taxable persons who are allowed to use the VAT incentive for large investment projects can account for VAT on importation in their monthly VAT returns.

Taxable persons may also account for VAT on importation in their monthly VAT returns provided certain conditions are in place:

- the imported goods are included in a special list;
- the customs value of each of the imported goods is equal or above BGN 50,000 (approx. EUR 25,564);
- the taxable person is VAT registered for more than 6 months prior to the import; and
- the taxable person does not have any outstanding tax liabilities.

3. Place of Supply

3.1 Consignment and call-off stock

In Bulgaria, call-off stock rules are in place and can be applied as part of the implementation of the 2020 quick fixes. The use of this scheme has specific additional reporting requirements with regards to the movement of the goods.

3.2 Installation supply

Supplies of goods with installation are treated as supplied where the installation takes place. There is no formal definition of 'supply with installation or assembly', but generally such are supplies of goods where the installation or assembly are ancillary to these supplies and are carried out by or for account of the supplier. The reverse charge applies if the customer is registered for VAT purposes in Bulgaria and the supplier is not established in Bulgaria. A supplier of goods with installation must apply for a Bulgarian VAT registration, regardless of the taxable turnover, if the customer is not registered for VAT purposes in Bulgaria.

3.3 Distance sales

Once the threshold of EUR 10,000 of all European sales of TBE services and distance sales of goods is exceeded, the supplier may either register directly in Bulgaria or in their country of establishment via OSS to account for Bulgarian VAT for their distance sales to Bulgaria.

A taxable person of another EU Member State may opt for voluntary registration in Bulgaria for its distance sales before the threshold is exceeded.

3.4 Simplified triangulation rules

According to the Bulgarian VAT Act, the middleman (B) cannot be registered for VAT purposes in the EU Member State of dispatch (A) and/or of arrival (C).

However, according to the Regulations for the application of the VAT Act, the triangulation simplification can apply even if the middleman is registered in the Member State of dispatch (Member State party A) or arrival

(Member State of party C), if he has carried out the respective intra-Community acquisition under another VAT identification number than that of the country of dispatch and arrival.

3.5 Acquisition threshold

The threshold for VAT registration for intra-Community acquisition of goods by non-taxable persons, including those engaged in exempt activities and the flat rate is BGN 20,000 (approximately EUR 10,225). Where a foreign taxable person no longer meets all the conditions for applying the call-off stock arrangement and as a consequence performs an intra-Community acquisition in Bulgaria, must file a registration application 7 days prior to the taxable event regardless of the value of the goods.

3.6 Effective Use & Enjoyment

No effective use and enjoyment rules have been implemented in Bulgaria.

4. Chargeable event & Chargeability of VAT

4.1 Principles

In principle VAT becomes chargeable at the time the taxable event occurs, meaning when the right to dispose of the goods as owner is transferred or when the service is performed.

4.2 Advance payments

Should the compensation be received partially or in full in advance of the supply, then VAT becomes chargeable at the moment of the receipt of the payment, proportionately to the received amount.

4.3 Continuous supplies

In situations of continuous supplies where a payment has been agreed for different periods, then VAT for the relevant period becomes chargeable at the moment the payment becomes due. In case of a continuous supply where a payment has been agreed to happen after more than a year, then the VAT shall become chargeable at the end of each calendar year.

Where the supply is agreed to be performed in different stages, then the completion of a separate stage is treated as a separate supply and VAT becomes chargeable at the moment of completion of the relevant stage.

4.4 Cash accounting

Taxable persons may opt to apply for the cash accounting regime, insofar they meet the following conditions:

- turnover for the last 12 months not exceeding 500,000 EUR (approximately BGN 978,000);
- no assessment act for due taxes issued under a specific regime; and
- no outstanding tax or social security liabilities.

The taxable person needs to file a request for applying this regime and the tax authorities need to issue an explicit permit.

The regime entails that VAT becomes chargeable when a total or partial payment is received, proportionately to the received amount. However, cash accounting may not be applied to the following supplies:

- import of goods;
- intra-Community acquisitions and intra-Community supplies;
- supplies to persons who are not registered for VAT purposes;
- exempt supplies;
- supplies with place of supply outside Bulgaria;
- zero-rated supplies;
- supplies subject to the reverse-charge mechanism;

5. Taxable amount

- supplies under a lease agreement;
- supplies of goods and services, where the remuneration is not paid by bank transfer; and
- supplies between related parties.

5.1 Bad Debt Relief

Bulgaria introduced the legal framework for bad-debt in the VAT Act relief from 2023, following CJEU practice (in particular C-242/18).

In order to claim bad debt relief, the following conditions should be met:

- the supplier has issued an invoice for the supply and has accounted for and paid the relevant output VAT on the supply;
- the recipient and the supplier are not related parties;
- there was no transfer of the receivable for consideration;
- the supplier can prove that he has taken action to collect the debt; and
- the supplier has notified in writing the recipient, that it considers the respective receivable as a bad debt and has evidence that the notification has been sent to the address of management of the recipient.

The taxable amount and the VAT charged are decreased through issuing a credit note, or a protocol.

The type of document depends on the status of the recipient, as well as on whether the goods/services received have been used by the recipient for carrying out taxable supplies with the right to VAT credit.

5.2 Cash Discounts

Assume that the supplier sends the following invoice:

"Supply of goods	EUR 1,000
20% VAT	EUR 200
Total to be paid	EUR 1,200

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount"
 Payment is indeed received within 14 days. In case of a cash discount, the supplier must issue a credit note for the discounted amount.

5.3 Open Market Value

The open market value should be applied to determine the taxable amount for VAT purposes in supplies between related parties, where:

- the consideration is below market value, and the recipient cannot fully deduct VAT; or
- the consideration is above market value, and the supplier cannot fully deduct VAT.

5.4 Returnable Packaging

Under Bulgarian law, the taxable base is increased by the value of customary or packing materials or containers unless they are returnable or if the recipient is not a taxable person. If the packing materials or containers are returned by the customer, the taxable amount is reduced with the value of returned materials or containers.

6. VAT rates

6.1 Standard rate

The standard rate in Bulgaria is 20%.

6.2 Reduced rate

The reduced rate of 9% applies to:

- accommodation in hotels and other places of accommodation, including sheltered housing;
- supply of books (including e-books), newspapers, magazines; and
- baby foods and certain baby products.

7. Exemptions

7.1 Exemptions with the right of deduction

7.1.1 Intra-Community supplies

To prove a zero rate in the case of intra-Community supplies, the supplier must have a copy of the sales invoice with the EU VAT number of the customer plus documents proving the transportation to another EU Member State, if the transport is made by or for the account of the supplier. Where the customer is organizing the transport, the supplier should either possess the sales invoice, plus one of the two:

- transport document proving the arrival of the goods in the other EU Member State; or
- written confirmation by the customer that the goods have been received in the other EU Member State which should include date and place of arrival, type of goods and their quantity, type and registration number of the transport vehicle and other

The presumption under Art. 45a of the Regulation 282/2011 which was introduced as part of the Quick Fixes, may be applied by the taxable person.

7.1.2 Export supplies

To prove the zero rate for an export supply, the supplier must have evidence that the goods have left the EU, including a customs declaration, invoice and transport documents.

7.1.3 Warehousing

7.1.3.1 VAT warehouse

Bulgaria has not introduced VAT warehouses.

7.1.3.2 Excise warehouse

The storage of excise goods under the deferred payment regime of excise duty is carried out by licensed warehouse keepers who have obtained a license to operate a tax warehouse for storage.

Excise duties are imposed on alcohol and alcoholic beverages, tobacco products, energy products, and electricity. Goods are subject to excise duties:

- when produced within the territory of the country;
- when introduced into the territory of the country from another member state; or
- when imported into the territory of the country.

The obligation to pay excise duty arises when the respective goods are released for consumption. Goods intended for export are not subject to excise duty. Additionally, excise duty paid on ethyl alcohol is subject to reimbursement if the alcohol is used in the production of food products and medicines for which no excise duty is payable.

7.1.3.3 Bonded warehouse

It is possible to put the goods in a bonded warehouse. If the goods coming from a third country are directly placed under a bonded warehouse regime, no customs duties and VAT become due. VAT is due when the

goods are released for free circulation. The importer becomes liable for the VAT. The supply of goods within the bonded warehouse is subject to Bulgarian VAT but exempt with credit ('zero rate').

7.2 Exemptions without the right to deduction

Certain hospital and medical services, ambulance services, certain educational and cultural services are VAT exempt.

Financial and insurance services, management of collective investment funds, postal services, some real estate supplies, services by religious and charitable organizations are also VAT exempt.

7.3 Option for taxation

The option to tax may apply to the following exempt supplies:

- sale of 'old buildings'. Old buildings are considered those for which 5 years have passed since the date of issuance of the permit for their use;
- transfer of title in land or other rights related to land (i.e. right to construct or right to use) or rental of land; and
- rental of immovable property to individuals for private use;

The supplier may choose to charge 20% VAT on the above-mentioned exempt supplies.

8. Liability

8.1 Reverse charges

8.1.1 General reverse charge – non-resident suppliers (Article 194 Directive)

- Supply of goods

If a non-established supplier performs a domestic supply of goods, the reverse charge does not apply. The non-established supplier will need to register for VAT purposes in Bulgaria and charge Bulgarian VAT. If a non-established supplier performs an installation/assembly supply, the reverse charge applies if the customer is registered for VAT purposes in Bulgaria.

- Supply of services

If the non-established supplier performs a domestic supply of services to a taxable person established in Bulgaria, the reverse charge also applies if the customer is a non-taxable legal person insofar the non-taxable legal person has a Bulgarian VAT identification number. The reverse charge even applies if a non-established supplier supplies services to a non-established customer (taxable person). In that case the non-established customer will need to register for VAT purposes in Bulgaria. The reverse charge does not apply if the non-established supplier is VAT registered in Bulgaria.

8.1.2 Specific domestic reverse charges (Article 199 Directive)

Bulgarian reverse charge rules apply to supplies of scrap, specific supplies of investment gold, seeds, wheat products and greenhouse gas emission allowances when the recipient is VAT registered in Bulgaria (which includes foreign persons not established in Bulgaria but possessing a Bulgarian VAT ID).

8.2 Joint and several liability

Under the Bulgarian VAT Act, any registered person who is the recipient in a taxable supply is liable for the value-added tax (VAT) due and unremittingly by another person, provided that the recipient has exercised the right to deduct credit for input tax related directly or indirectly to the due and unremitting tax. This liability is enforced when it is proven that the recipient knew or was obligated to know that the tax would not be remitted. This determination is made by the auditing authority following the procedure established in the Bulgarian Tax and Social Insurance Procedure Code. The recipient is presumed to have been obligated to know if the tax due was not effectively paid as net tax for a tax period by any previous suppliers of the same goods or services, regardless of whether they are in the same, modified, or processed form, and if the taxable supply is simulated, circumstances the law, or is significantly priced differently from the market price.

Liability for the unremitted tax does not depend on whether the recipient obtained a specific benefit from the non-remittance. Preceding suppliers who owe the unremitted tax also incur liability under the same terms. The liability is enforced first on the direct recipient of the supply where the tax was not remitted. If collection fails, the liability may be enforced on any subsequent recipients in the order of supplies. These rules apply similarly to preceding suppliers as well.

9. Recovery of input VAT

The VAT accumulated prior to VAT registration for assets available at the VAT registration date is recoverable in specific circumstances.

9.1 Non-recoverable input VAT

As a rule, input VAT related to the business activity is recoverable except in the case of:

- VAT exempt supplies;
- free of charge supplies or non-business activities;
- representation and entertainment; and
- purchase and import of cars, as well as other related expenses such as fuel, repair and spare parts.

9.2 Excess input VAT

Excess input VAT for a given month results in VAT recoverable, which is offset against VAT payable over the next 2 months. The remaining VAT recoverable is refunded by the VAT authorities within 30 days after filing of the VAT return for the second month following the month when input VAT was incurred. Excess input VAT can be refunded within 1 month (after submitting the VAT return) when the taxable person performs 'zero rated' supplies on a regular basis.

9.3 Capital goods - Adjustment periods

Adjustment periods are as follows:

- movable property - 5 years following the year of first use
- immovable property - 20 years following the year of first use; and
- services if they are accounted for as fixed assets - 5 years.

9.4 VAT refunds to EU taxable persons

The refund application must be submitted electronically through the portal of the tax authorities of the country in which the claimant is established.

Annual minimum limit for claims for a calendar year or the remainder of a calendar year is BGN 100 (around EUR 50). Minimum limit for claims made for less than a calendar year but at least 3 months is BGN 800 (approximately EUR 400). Maximum period for making a claim is 3 consecutive calendar months in 1 calendar year, unless it is a remainder of the year. Maximum period for making a claim is 1 calendar year. The deadline for submitting the VAT refund claim is 30 September of the year following the year over which a claim is made. The tax authorities may require additional information and supporting documents, e.g. invoices. The tax authorities must issue a decision on the refund claim within 4 months of receipt of the claim. The period in which the authorities must make a decision will be extended to 6 months or to 8 months when the authorities request additional information.

If a refund is granted, it will be processed within 10 business days and paid to the bank account provided to the tax authorities. The deadline for appeals is 14 days following the decision. If this appeal is unsuccessful, the claimant can initiate proceedings before the national court within 14 days after a receipt of the decision.

9.5 VAT refunds to non-EU taxable persons

Bulgaria requires reciprocity when refunding the VAT to non-EU taxable persons.

A non-EU taxable person may claim a refund if in the period which relates to the refund claim, if the following conditions are met:

- he does not have its seat and management address, nor a fixed establishment, permanent address or
 - permanent residency in Bulgaria;
 - he has not carried out supplies with a place of supply in Bulgaria, except supplies of goods and services regarding which the recipient is liable for the VAT due (where the reverse charge mechanism applies) or transport services and services, related to international transport; and
 - his country of residence is included in the list of countries which grant a VAT refund to Bulgarian businesses, approved by the Minister of Finance and the Minister of Foreign Affairs. Countries which currently fall in the list are: Canada, Israel, Iceland, Moldova, Northern Macedonia, Norway, Serbia, South Korea, Switzerland, Ukraine and the United Kingdom.
- No refund will be given for VAT incurred on supplies without right to VAT credit under the Bulgarian VAT legislation, for example:
- goods and/or services related to exempt business activity;
 - goods or services intended for supplies effected for no consideration or for activities other than the economic activity of the taxable person;
 - goods or services intended for entertainment and representative purposes; and
 - goods/services in relation to the purchase or import of cars with up to 5 passenger seats (excluding the driver seat).
- The refund application form must be completed in the Bulgarian language.
- Non-EU resident claimants are required to appoint a VAT refund agent. The right to act as a VAT refund agent is granted to traders that meet certain conditions and who are registered as agents with the Bulgarian tax authorities.
- A claim must be submitted not later than 30 June of the year following the calendar year in which the right to VAT refund has occurred.
- The minimum limits for claims are:
- Per calendar year – BGN 50 (approximately EUR 25); and
 - Per period of at least 3 months within one calendar year BGN 400 (approximately EUR 200).
- The following documents should be submitted to the tax authorities:
- an application form;
 - a Certificate of status - an original certificate from the foreign revenue authorities that the claimant has carried out an economic activity during the calendar year for which the VAT refund is claimed. A certified translation of the certificate into Bulgarian is required;
 - a declaration by the claimant that the conditions for claiming VAT refund are fulfilled;
 - the original invoices/import documents; and
 - a power of attorney must be submitted together with the claim.
- The revenue authorities may also require additional information regarding the supplies received by the claimant. Refund payments must be made within 6 months after the date of submission of the refund claim to the tax authorities.

10. Administrative obligations

10.1 Invoices

A VAT invoice must contain the following information:

- title of the document (invoice);
- invoice numbering: 10-digit sequential numbers (containing only Arabic numerals);
- date of issue;
- supplier's and recipient's names and addresses;
- supplier's VAT identification number;

day.

The VAT return must be filed and the VAT due must be paid by the 14th day following the month to which it relates. If the due date falls on a public holiday, Saturday, or Sunday, then the due date is the next business

10.2.2 Filing of VAT return and payment

submitted electronically.

VAT returns are filed monthly, together with VAT purchases and sales ledgers. As a rule, VAT returns are to be

10.2.1 VAT return period

10.2 Compliance

Electronic invoicing is allowed in Bulgaria if the authenticity of origin and the integrity of the content on the invoices are guaranteed. There is no current obligation the invoices to be issued electronically in Bulgaria.

10.1.2 Electronic invoicing

There are no specific requirements for storage. In the course of tax audits, the revenue authorities need to be able to identify the information included in each document. PDF invoices can be stored electronically as well. Invoices relating to electronic, broadcasting and telecom services also must be stored for 10 years.

Invoices need to be kept available for 10 years. Invoices may be stored electronically. In this case, the taxable person must provide access to the database to the tax authorities.

10.1.1 Storage of invoices

- customer's VAT identification number in Bulgaria or its BULSTAT number;
- a VAT identification number when the customer is registered in another EU Member State or other identification number when such is required by the legislation of the state, where the recipient is established;
- quantity and type of the goods supplied or nature of the services;
- date of taxable event or the date on which payment is received;
- unit price (exclusive of VAT), taxable base and any discounts/rebates, if not included in the unit price;
- VAT rate, or reference to the legal provision for applying a zero rate or to the grounds for not charging VAT;
- amount of VAT;
- total amount due, if different from the sum of the taxable base and the VAT charged;
- the circumstances determining the goods as a new vehicle in case of an intra-Community supply of a new vehicle;
- in case of self-billing a corresponding reference "self-billing"/"самофактурiranje" is required, plus a reference to art. 113, para. 11 of the VAT Act;
- in case of simplified triangulation the middleman should mention on the invoice "Article 141 2006/112/EC";
- the indication for the application of an exemption, zero rate or reverse charge. For instance:
 - intra-Community supply: "vatsobshnostna dostavka" (in Bulgarian "вътрешностна доставка");
 - export supply: "Zero rated export supply" "iznos"/("износ");
 - B2B service: "Service not subject to Bulgarian VAT according to Article 44 VAT Directive; VAT due by the recipient of the service according to Article 196 VAT Directive", "Obratno nachislavane" ("обратно начисляване") and state the grounds for the reverse charge; and
- an indication of the fact that a margin scheme has been applied as well as an indication of why the margin scheme is applied, e.g.:
 - margin scheme - second-hand goods - "rezhim na oblagane na marzha - stoki vtora upotreba" (in Bulgarian "режим на облагане на маржа - стоки втора употреба");
 - margin scheme - works of art - "rezhim na oblagane na marzha - proizvedeniia na izkustvoto"/("режим на облагане на маржа - произведения на изкуството");
 - margin scheme - collector's items and antiques - "rezhim na oblagane na marzha - predmeti za kolektsii i antikvarni predmeti"/("режим на облагане на маржа - предмети за колекции и антикварни предмети"); and
 - tour operator margin scheme - "oblagane marzha na turoperatora"/("облагане на маржа на туроператора").

10.2.3 European sales listing

Taxable persons carrying out intra-Community supplies of goods, services with a place of supply outside Bulgaria in another EU Member State, supplies under the call-off stock regime or supplies under the triangulation simplification must file a European sales listing (VIES) declaration.

The European sales listings, together with the VAT return and the VAT ledgers, must be filed electronically. European sales listings are filed monthly. There is no threshold, neither for goods nor for services.

10.2.4 National recapitulative statement

There are no national recapitulative statements in Bulgaria.

10.2.5 Tax assessment period

The tax assessment period in Bulgaria is 5 years.

10.3 Penalties

Bulgarian tax authorities can impose different types of penalties for not complying with the VAT legislation - fixed amounts or percentage of the VAT amount due.

10.3.1 Default penalties for late registration

In case of late registration, the penalty is between BGN 500 (approximately EUR 256) and BGN 5,000 (approximately EUR 2,556).

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

If the VAT or VIES return is not filed on time the penalty is between BGN 500 (approximately EUR 256) and BGN 10,000 (approximately EUR 5,113).

The amount of the penalty would depend on whether the infraction occurs occasionally or regularly. If only one return is not filed, usually the minimum penalty is imposed (BGN 500).

10.3.3 Default penalties for not charging VAT on time

A penalty of 100% (but not less than BGN 500 (approximately EUR 256)) of the VAT amount may be imposed for not charging VAT (including for cases when the taxable person never registered for VAT) within the statutory deadline. The penalty could be up to 200% (not less than BGN 5000 (approximately EUR 2,556)) of the VAT amount in case of repeated offences.

If the taxpayer has charged the VAT due within 6 months from the end of the month when the tax became chargeable then the penalty is 5% of the VAT amount, but not less than BGN 200 (approximately EUR 102) or BGN 400 (approximately EUR 205) in case of repeated offences.

If the VAT due was charged after the above-mentioned 6 months period but not later than 18 months from the end of the month when the VAT became chargeable, the penalty is 10% of the VAT amount, but not less than BGN 400 (approximately EUR 205) or BGN 800 (approximately EUR 409) for repeated offences.

10.3.4 Other penalties

Penalty interest at 10 points above the basic interest rate announced by the Bulgarian National Bank may also be assessed on the unpaid VAT amount, when there are outstanding VAT liabilities.

In case of reverse charge mechanism if the recipient of the supply did not self-charge VAT, a penalty of 5% of the VAT may be imposed or 2% if the VAT is reported in the subsequent month.

10.4 Intrastat

The thresholds for Intrastat declarations for 2025 are:

- for arrivals - BGN 1,700,000 (approximately EUR 869,196); and
- for dispatches - BGN 2,200,000 (approximately EUR 1,124,842).

The thresholds for declaring data on the statistical value of the goods are:

- for arrivals - BGN 17,000,000 (approximately EUR 8,691,961); and for dispatches - BGN 36,100,000 (approximately EUR 18,457,637)

The threshold for simplified declaration process of a single transactions with a low value is BGN 500 (approximately EUR 256).

The thresholds for dispatches and arrivals are announced annually.

10.4.1 Intra-stat data to be reported

The information which must be reported for both arrivals and dispatches statistics is:

- code of the goods (the 8-digit tariff code number);
- EU Member State of dispatch/arrival;
- state of origin (for arrivals);
- type of transaction (e.g. purchase/sale, replacement or return of goods, free-of-charge supply, goods for processing);
- statistical procedure;
- terms of supply (e.g. the Incoterms delivery terms EXW, FOB, CIF);
- type of transport;
- nationality of the transport vehicle;
- region of origin/region of consumption;
- weight of the goods in kilograms;
- quantity in supplementary units;
- invoice value in BGN; and
- statistical value in BGN (if the declarer exceeds the threshold for declaring the statistical value).

10.5 Additional compliance requirements

There are no additional requirements.

Information received from:

Tania Pavlova

Taxacta

t.pavlova@taxacta.bg

www.taxacta.bg

The European Union (EU) VAT Directive is implemented in Croatia through the "Zakon o porezu na dodanu vrijednost" (hereafter referred to as the "VAT Law"). The current version of the Croatian VAT Law is published on the official web site of the Croatian Tax Authorities and can be found, in national language, at the following link: <https://tinyurl.com/b8b5>

In Croatia, VAT is referred to as "porez na dodanu vrijednost" or "PDV".

1. Taxable Persons

1.1 Registration & SME scheme for domestic taxable persons

Threshold for entering the VAT system has been raised to EUR 60,000 with an obligation to register for VAT on the first day following the day the threshold is breached. The threshold amount excludes the supply of assets used by the taxable person. This threshold is applicable as of 1 January 2025. Small businesses may opt for taxation voluntarily but must remain registered for at least 2 years.

The tax office responsible for the registration of the taxable person is determined according to the place where the taxable person has established its business.

The following documents need to be presented to the competent tax office for registration for VAT purposes:

- extract from the trade register;
- confirmation about the statistical classification of economic activities (NACE);
- bank account information of the taxable person;
- contract or declaration on the provider of accounting services (if accounting services are being outsourced);
- example of imprint of the company's stamp;
- filled out P-PDV registration form; and
- excerpt from rental agreement for the business premises or ownership.

The above mentioned documentation that is required for the registration for VAT purposes is not prescribed by the legislation, but is required based on our experience. Please note that the Croatian Tax Authorities can request additional documentation if they deem it necessary.

The forms can be downloaded at the following link:

<https://tinyurl.com/hpmb5>

1.2 Registration & SME scheme for foreign taxable persons

A taxable person with its registered office, permanent address or usual residence in another Member State is entitled to apply for the VAT exemption, if the following conditions are met:

- the annual turnover in the European Union did not exceed EUR 100,000.00;
- the value of supplies of goods and services carried out in the country did not exceed EUR 60,000.00.

Respective SME scheme is only applicable to small enterprises which are established in the EU. Taxable persons from third countries are required to register for VAT in Croatia when they plan to perform a supply that is taxable for VAT purposes in Croatia, irrelevant of the value of the transaction.

Foreign taxable persons that are required to be registered for VAT purposes in Croatia first need to acquire a personal identification number (PIN or in Croatian language - OIB) which is used as a Croatian tax number. The VAT number that they will subsequently receive, consists of that same PIN number with prefix HR (for Croatia).

The registration application needs to be sent to the competent regional office. For the Zagreb area it is to be sent to the following address:

*Ministry of Finance, Tax Administration, Regional Office Zagreb,
Department for VAT refund to foreign taxable persons
Avenija Dubrovnik 32
10000 Zagreb
Croatia*

Foreign taxable persons need to submit the following documents by post, personally or through their tax representative to the competent tax office:

- an extract from the court or trade register (not older than 6 months) in original and translated into Croatian language by an authorized court interpreter;
- a certificate of registration for VAT purposes in the country of establishment (not older than 3 months) in original and translated into Croatian language by an authorized court interpreter;
- letter from the taxable person explaining registration reasons printed on company letterhead paper;
- completed form for obtaining a personal identification number (OIB); and
- completed P-PDV registration form.

In the case where the foreign taxable person authorizes another person to acquire the Croatian tax and VAT number in its name, a suitable power of attorney must be prepared and filed.

Taxable persons established outside the EU must appoint a fiscal representative, while taxable persons established in other EU Member States may choose to appoint one (see hereafter under 1.4).

Once all documents are submitted, the tax authorities will issue the VAT number within 8 days starting from the day of submission.

More information can be found at the following link:
<https://tinyurl.com/2wh5xxv5>

1.3 VAT grouping

Croatian VAT legislation does not include any provisions on VAT grouping, which means that each taxable person is considered as an independent taxable person for VAT purposes.

1.4 Fiscal representative

Taxable persons from EU Member States can, but do not need to, appoint a fiscal representative for VAT registration purposes in Croatia, i.e. direct VAT registration is possible.

Taxable persons from non-EU countries are obliged to appoint a fiscal representative in Croatia when applying for a VAT number unless the Republic of Croatia has concluded agreements on mutual assistance, which in their scope resemble those stipulated by Council Directive 2010/24/EU of 16 March 2010, concerning mutual assistance for the recovery of claims relating to taxes, duties and other measures (OJ L 84, 31.3.2010) and EU Council Regulation No 904/2010 of 7 October 2010 on administrative cooperation and combating fraud in the field of value added tax (OJ L 268, 12.10.2010).

A fiscal representative is always required, except when the taxable person from a non-EU country has opted for the special scheme for electronically supplied services. This rule is extended as of 1 July 2021 to all supplies of services made by taxable persons from non-EU countries to non-taxable persons, as well as to distance sale of goods.

The fiscal representative must be a taxable person established or with a permanent address or habitual residence in Croatia. The tax authorities deny a request for fiscal representation or withdraws a previously issued decision if:

- a fiscal representative has committed tax-related offences; or
 - a fiscal representative has outstanding debts pertaining to taxes or other public levies.
- The foreign taxable person can authorize only one fiscal representative at a time. The fiscal representative is jointly and severally liable for payment of the VAT, penalties and interest.

2. Taxable transactions

2.1 Transfer of business

The Croatian VAT Law implements Article 19 of the EU VAT Directive and reads as follows: "In the event of a transfer, whether for consideration or not, or as a contribution to a company, of a totality of assets or part thereof, it shall be considered that no supply of goods has taken place and that the person to whom the goods are transferred (recipient) is to be treated as the successor of the transferor."

Both the transferor and the transferee must be taxable persons and the transferee must continue with the taxable economic activity in order for the transfer of goods to be deemed as "no supply". If the transferee uses the assets transferred to him for purposes other than those for which he has the right of deduction, he shall be liable to charge and pay the VAT (deemed self-supply).

2.2 Supplies free of charge

Croatia applies the principles laid down in Articles 16 and 26 of the EU VAT Directive. With respect to Article 16, it will not be applied to free provision of samples in reasonable amount to a buyer or future buyers and awarding gifts of small value carried out by the taxable person as part of his economic activity, under the condition that those gifts are given occasionally and not to the same persons. Gifts of small value are gifts with a value under 22 EUR (excluding VAT).

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

It is possible to apply an exemption on the importation of goods into Croatia if it is followed by an intra-Community supply. However, many conditions must be met in order to apply the exemption, such as a VAT registration number of the importer or its fiscal representative, the VAT number of the customer in the subsequent intra-Community supply, a security deposit, etc.

2.3.2 Postponed accounting on importation

In principle, the option of postponed accounting on importation following the authorization granted by the Customs Authority is provided in the Croatian VAT Law. With this license, importers avoid payment of VAT at the time of importation. Instead, with the deferment system the importer will have to pay the VAT due in its Croatian VAT return. If the importer is entitled to a full deduction, the VAT can be reclaimed.

Postponed accounting scheme is available for taxable persons registered for VAT purposes, that have the right to deduct input VAT in full and is available for both domestic and foreign taxable persons.

3. Place of supply

3.1 Consignment and call-off stock

Simplification rules for consignment and call-off stock in Croatia are provided for in the VAT Law. Simplification regime for call-off stock arrangements are in line with EU VAT Directive.

3.2 Installation supplies

Croatian VAT Law provides that in case the supplied goods are installed or assembled, with or without a trial installed or assembled. There is no special definition of installation supplies in the VAT Law. If the foreign supplier is a taxable person that is not established, and without a fixed establishment in Croatia and is not registered for VAT purposes in Croatia, the VAT is payable by the customer if he is a taxable person or a non-taxable legal person that is registered for VAT purposes and to which the goods or services are supplied (reverse charge applies).

3.3 Distance sales threshold

As of July 2021 the distance selling threshold covers all EU sales of telecommunication, broadcasting and electronically supplied services as well as distance sales of goods and has been set at EUR 10,000. Once the threshold is exceeded an EU supplier may either register directly in Croatia or in their country of establishment via OSS to account for the Croatian VAT due for their supplies made to Croatia. If during the year the threshold of 10,000 EUR is exceeded, the taxpayer is obliged to submit the e-commerce form within 8 days from the day when he made the delivery that exceeded the threshold.

3.4 Simplified triangulation rules

Simplified triangulation rules are applied in Croatia in accordance with the EU Directive. Taxable persons A, B and C in the ABC transaction must be registered for VAT in different EU Member States (i.e. in Member States 1, 2 and 3). The goods must be transported directly from A in Member State 1 to C in Member State 3. The simplification also applies if the middleman (i.e. B in the ABC transaction) is registered for VAT in Croatia and Croatia is the country of arrival of the goods (Country 3).

If the second acquirer (C in the ABC transaction) is registered for VAT in Croatia, the acquisition of goods within the EU that was carried out by the middleman (B) in Croatia shall be exempt from VAT under the following conditions:

- the middleman is not established nor has a permanent address in Croatia, but is registered for VAT purposes in another EU Member State;
- the middleman provides a VAT identification number of another Member State than the Member State of dispatch and arrival;
- the acquisition of goods is made for the purpose of the subsequent supply of goods carried out by the middleman in Croatia;
- the acquired goods are directly dispatched or transported from another EU Member State in which the middleman is not registered for VAT purposes to the recipient of the subsequent supply (C);
- the recipient of the subsequent supply (C) is a taxable person or a non-taxable legal person registered for VAT purposes in Croatia; and
- C accepts liability for payment of the VAT due.

Parties A and B must also report their supplies in the European sales listing. B must refer to the reverse charge on his invoice.

Respective simplification can only be applied in a classic triangulation situation. If there are more than three taxable persons involved, triangulation simplification is not applicable.

3.5 Acquisition threshold

The threshold for acquisition of goods by taxable persons not entitled to deduct input tax and by non-taxable legal persons is set at EUR 10,000.

3.6 Effective use and enjoyment

Croatia has implemented effective use and enjoyment rules both based on Article 59a sub a and sub b of the EU VAT Directive.

The place of supply of hiring out of movable property and vessels (with or without accommodation) to non-taxable persons, not established in the EU, is shifted outside the EU if the effective use and enjoyment takes place outside the EU. The hiring out of other means of transport is exempted from this rule.

Vice versa, the place of supply of the above-mentioned service to non-taxable persons, not established in the EU, is in Croatia if the effective use and enjoyment takes place in Croatia.

4. Taxable event & chargeability

4.1 Principles

In the case of a supply of goods, the VAT becomes, in principle, chargeable at the time the goods are put at the disposal of the acquirer of the goods. The VAT due on services, in principle, becomes chargeable at the time the services are supplied. The supply of goods, other than the hire of goods for a certain period or the sale of goods on deferred terms, that involves successive issuance of invoices or successive payments, shall be regarded as being completed on expiry of the periods to which such invoices or payments relate.

4.2 Advance payments

VAT can be chargeable before the time the goods are put at the disposal of the acquirer or the service is completed. This is the case when the price has been totally or partially received, before the goods are put at the disposal of the acquirer or the services are supplied. The recipient of the advance payment is obliged to issue an invoice.

4.3 Continuous supplies

Supplies of services for which VAT is payable by the customer pursuant to Article 196 of the EU VAT Directive and which are supplied continuously over a period of more than one year and which do not give rise to statements of account or payments during that period, shall be regarded as being completed on expiry of each calendar year, until the supply of those services comes to an end.

4.4 Cash accounting

A taxable person who is established and has permanent or habitual residence in Croatia and whose supplies of goods and services in the previous calendar year did not exceed EUR 2,000,000 (VAT excluded) may opt for the cash accounting scheme for certain local supplies, i.e. may pay the VAT upon collection of receivables and deduct input VAT when paying invoices to vendors.

5. Taxable amount

5.1 Bad debt relief

Croatian VAT legislation includes bad debt relief provisions.

The Croatian VAT legislation prescribes a detailed procedure for the adjustment of VAT if the VAT base subsequently changes due to the non-collectability of a receivable (among other things).

In case of non-collectability of receivables, a VAT registered taxable person may adjust or reduce the amount of VAT if it informs the taxable person to whom the goods or services were supplied on the adjustment of the tax base and VAT liability.

- a) The fee is lower than the market value and the recipient of the supply does not have the right to full input tax deduction;
- b) The fee is lower than the market value, and the supplier does not have the right to full input tax deduction and the supplies are VAT exempt in accordance with the provisions of Article 39 paragraph 1 and Article 40 paragraphs 1 and 2 of the Law; and/or
- c) The fee is higher than the market value, and the supplier does not have the right to full input tax deduction.
- relationships as well as members of their families, relationships based on membership, management or personal ties to the taxable person and in the event of financial and legal ties, including employer-employee transactions is implemented in case of supply of goods or services for persons who have family or other close In Croatia, the option for Member States to use the 'open market value' as the taxable amount for specific

5.3 Open Market Value

is performed.

not required in the case the payment for the supplies made was not effected by the time the tax base reduction in the case the supplier has a proof of a refund of part of the sale price. Alternatively, this proof of refund is At the end, the tax base may also be reduced due to different types of discount granted to the final consumer

performed.

required in the case the payment for the supplies made was not effected by the time the tax base reduction is deduct input VAT and has proof of refund of part of the sale price. Alternatively, this proof of refund is not entitled to deduct input VAT in the case the supplier receives a statement that the recipient is not entitled to In addition, the tax base may be reduced due to different types of discount granted to the taxpayer who is not person to whom the goods or services were supplied on the adjustment of the tax base and VAT liability.

The customer can deduct EUR 250 in its VAT return. Therefore, the supplier has paid too much VAT and the customer has deducted too much. The supplier can adjust its output VAT only upon informing the taxable person to whom the goods or services were supplied on the adjustment of the tax base and VAT liability.

Payment is indeed received within 14 days. In that case the supplier must pay EUR 250 in its VAT return.

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount"

"Supply of goods	EUR 1,000
25% VAT	EUR 250
Total to be paid	EUR 1,250

Assume that the supplier sends the following invoice:

5.2 Cash discounts

VAT return for the tax period in which the adjustment was performed.

The taxable person that adjusted the taxable amount in the manner described above is obliged to inform the competent local office of the Tax Administration on the applied adjustment by the deadline for submitting

amount.

Where the taxable person subsequently recovers partially or in whole the claim for the performed supply after the reduction of the taxable amount, he is obliged to increase the taxable amount for the corresponding

This taxable person may apply the reduction of the taxable amount within six months from the day the right to reduction arises, if actions with the care of a good businessman have been performed. The taxable person shall have evidence that he took actions for the purpose of collecting the due claim, in particular that the due claim is the subject of enforcement procedure or action is taken against the claim before a court or a settlement with the debtor who is not an associated party has been reached, or to demonstrate by other means that it requested collection of claims from his buyer.

Market value shall mean the total amount which the buyer or supplier should pay to the goods or service supplier on the home territory at the moment of goods supply or supply of services under the principle of non-disruption of market competition. If comparable supply of goods or services cannot be determined, the market value shall refer to:

- For goods, the amount which is not lower than the purchase price of those or similar goods or if that price is unknown, the total amount of determined costs at the moment of supply;
- For services, the amount which is not lower than the total determined costs of supply of services borne by the taxable person.

5.4 Returnable packaging

Regarding returnable packaging, package return fee has the status of a 'transitory' item and VAT is not charged to it. Under the relevant rules, the taxable amount shall not include the cost of return packaging for which special records are kept.

6. VAT rates and exemptions

6.1 Standard rate

The standard rate in Croatia is 25%.

6.2 Reduced rate

Croatia applies two reduced rates, namely 5% and 13%.

The reduced rate of 5% is applicable to supplies of the following goods and services:

- all types of bread;
- all types of milk placed on the market under the same name in the liquid state, fresh, pasteurized, homogenized, condensed (other than sour milk, yoghurt, kefir, chocolate milk and other milk products), substitute for mother's milk;
- books with scholarly, scientific, artistic, cultural and educational contents; textbooks for education, for elementary, secondary and tertiary education, in all material forms;
- medicines which have the approval of the competent authority for medicines and medical products; medical equipment, aids and other appliances normally intended to alleviate or treat disability, for the exclusive personal use of the disabled, as prescribed by the Ordinance on orthopaedic and other aids of the Croatian Health Insurance Institute;
- movie tickets;
- newspapers issued by a newspaper publisher holding a statute of a media, with daily circulation printed on paper, with the exception of those that, in their entirety or mainly, contain advertisements or serve for advertising purposes;
- scientific periodicals;
- baby food and processed cereal-based food for infants and young children;
- edible oils and fats of plant and animal origin, butter and margarine;
- supply of live animals: bovine animals, swine, sheep, goats, horses, asses, farmyard poultry, farmed rabbit and hares;
- supply of fresh or chilled meat and edible offal from: bovine animals, swine, sheep, goats, horses, asses, farmyard poultry, farmed rabbit and hares;
- supply of fresh or chilled sausages or similar meat products, meat offal or blood products;
- supply of fresh fish;
- supply of fresh or chilled fish, molluscs or other aquatic invertebrates;
- supply of fresh or chilled crustaceans: lobster, crawfish, shrimp, prawn;
- supply of fresh or chilled vegetables, roots and tubers, including dried leguminous vegetables;
- supply of fresh and dried fruits and nuts;
- supply of fresh poultry eggs in shell;

Intra-Community supplies are evidenced by transportation documentation (i.e. CMR). In addition, when the customer is arranging transport, a statement containing the elements prescribed by the VAT Law is required to be obtained from the customer (invoice number / date, delivery note, truck plate numbers). In order to apply a zero rate for the exportation of goods, valid customs documentation must be obtained.

- supply of goods in tax warehouses and services performed on such goods.
- supply of gold to central banks; and
- international transport;
- provisioning and performance of services to meet the direct needs of vessels and aircraft in the supply, chartering and repair of qualified vessels and aircraft;
- supply of goods and services under diplomatic and consular arrangements;
- services connected to international transport of passengers (except in case of road and railway transport);

A zero rate applies to intra-Community supplies and exports. It also applies to the following:

7.1 Exemptions with right to deduction

7. Exemptions

From October 2022, the supply and installation of solar panels on private residences, living quarters and public and other buildings used for activities of public interest, and supply and installation of solar panels in the vicinity of such residences, quarters and buildings are subject to a VAT rate of 0 %.

6.3 Zero rates

- accommodation (including breakfast), half board or full board accommodation services provided in hotels and similar establishments including holiday accommodation, renting of space in holiday camps or in places set aside for camping as well as provision of accommodation in nautical tourism vessels;
- newspapers and magazines issued by a newspaper publisher holding a statute of a media as well for those who are not obliged to hold a statute of media according to the special regulations, with an exception of those referred to in the previous Paragraph, and those that, in their entirety or mainly, contain advertisements or serve for advertising purposes;
- children's car seats and babies' napkins;
- menstrual supplies;
- supply of water, other than water marketed in bottles or other packaging, in terms of public water supply and public drainage under special regulation;
- supply of electricity to other supplier or end user, including considerations related to that supply;
- supply of natural gas and supply of district heating services, including consideration related to that supply;
- fuel wood, pellets, briquettes and chipped wood;
- public service of collecting mixed municipal waste, biodegradable municipal waste and separate collection of waste under special regulation;
- funerary urns and coffins;
- services and related copyright of writers, composers and performing artists and bearers of phonogramic rights who are members of relevant organisations for collective exercising of rights and supplying those services under special regulations in the field of copyright and related rights with prior authorisation of government authority competent for intellectual property; and
- preparation and serving food and desserts in the hospitality facilities and outside the hospitality facilities under special regulation.

The reduced rate of 13% is applicable to supplies of the following goods and services:

- plants and seeds;
- fertilizers and pesticides and other agrochemical products; and
- products predominantly used as animal feed, other than pet food.

7.1.1 Intra-Community supplies

In order to make the applicability of the zero rate in case of intra-Community supplies plausible, the supplier must have a combination of the following documents: signed CMR (Consignment Note), the bill of lading, invoice for air freight, or an invoice from the goods carrier, insurance policy in respect of the dispatch or transport of goods, bank documents confirming payment for the shipment or transport of goods, official documents issued by a public authority, etc.

In the case the transport is organized by the buyer, it is presumed that an intra-Community supply has been made if the seller, next to the combination of the above documents, is in possession of a written statement from the buyer confirming that the goods have been sent or transported by the buyer or by a third party acting on behalf of the buyer, and indicating the Member State of destination of the goods. Buyer's written statement specifies: the date of issue; name or address and address of the buyer; quantity and type of goods; date and place of arrival of goods; in the case of delivery of means of transport; identification number of means of transport and the identification of the person receiving the goods to the buyer.

7.1.2 Export supplies

The taxpayer proves export has occurred with a customs declaration. When an electronic declaration is used as proof that export customs clearance has been performed and that it has left the customs territory of the European Union, an electronic message IE599 from the automated export system (ECS system) is considered to be sufficient proof. On the other hand when a paper declaration is used (in the form of a Single Customs Declaration or in the form of a commercial document) the proof shall be the original copy of that document certified (record number, signature of the official and stamp) by the competent customs office where the goods left Croatia.

Croatian VAT legislation allows that taxpayers can also apply export VAT exemptions for the chain transaction where the taxable person supplies goods that are already customs cleared for export to another taxable person and these goods will be shipped directly to a buyer outside the EU.

7.1.3 Warehousing

7.1.3.1 VAT warehouse

In Croatia it is possible to put only goods specified in the VAT Law (the same goods which are mentioned in Annex V of the EU VAT Directive) in a VAT warehouse. The term VAT warehouse (or tax warehouse) means: one or more related fenced premises or closed spaces forming a visibly marked and physically separated unit such as a building, place in a building, silo or container;

- in case of goods subject to excise duties: a place defined as an excise warehouse according to the Excise Duty Law or for goods subject to the special tax on coffee and non-alcoholic beverages, a place defined as a tax warehouse according to the special tax on coffee and non-alcoholic beverages.

Only a person established or with a habitual abode or residence in Croatia, registered for VAT purposes in Croatia and holding a permit can keep a VAT warehouse. He is obliged to keep a detailed record on goods stored as prescribed in the Ordinance on VAT. If the authorized warehouse keeper does not own the goods stored in the VAT warehouse, the owner of the goods can also keep records on the goods. Goods such as certain vegetables, nuts, coffee and tea, cereals, grains oils and fats, sugar as well as certain chemical substances (aluminium, zinc, tin) can be stored in a VAT warehouse. The goods stored in a VAT warehouse can be subject to common activities such as maintenance, the improvement of the appearance or marketable quality or preparation for distribution or sale. Activities performed should not result in a change of type of goods as defined in CN codes in Annex 2 in the VAT Law, except in the case of goods which are subject to excise duty or coffee and non-alcoholic beverages.

The supply of the Annex 2 goods, as well as services performed on those goods, remains exempt from VAT for as long as the goods and services are subject to VAT warehouse arrangements. Upon releasing the goods from the warehouse, VAT must be reverse charged unless the transaction is exempt. The VAT is payable by the person releasing the goods from the VAT warehouse.

In Croatia there are several obligatory reverse charge rules besides the reverse charge for general B2B

8.1 Reverse charges

8. Liability

In addition, the taxable person has the right to opt for taxation when granting loans with respect to the delivered goods or rendered services and under the condition that the financing fee (i.e. interest) is stated separately on the invoice. In the case the taxable person decides to opt for taxation, he shall be obliged to inform the Tax Administration in writing before the commencement of such an activity.

A taxable person shall have the right to opt for taxation of the transactions regarding the supply of agricultural land, and supply of used buildings, provided that the customer is a taxable person who has a full right of input VAT deduction. The right of option in respect to taxation and the right of deduction may be exercised at the time of supply. In case the VAT option is exercised, VAT is applied via a reverse charge mechanism.

7.2.3 Option for taxation

- private use of personal motor vehicles, yachts, airplanes, etc. when no input VAT was claimed.
- supply of land other than building land; and any structure fixed to or in the ground;
- first occupation or use to the date of the next supply. For the purposes of this law, a building shall mean first occupation or use, that is, the supply where not more than 2 years have passed from the date of the supply of buildings or parts thereof, and of the land on which they stand, other than the supply before the public radio and television broadcasting;
- postal services supplied by the Croatian National Post;
- rent of residential property;
- betting and gambling;
- financial and insurance services;

7.2.2 Other exemptions

- education services;
- health and welfare services;
- supplies by museums, libraries, theatres, orchestras and other cultural services; and
- supplies by charitable organizations;

7.2.1 Exemptions in the public interest

The following supplies are exempt from VAT without a right to recover input VAT:

7.2 Exemptions without right to deduction

VAT is payable by the taxable person releasing the goods from the warehousing regime into free circulation. Services connected with exempted supplies of bonded goods are also exempt from VAT. long as they are covered by these arrangements and not released into free circulation. exempt from VAT. The supply of goods and services performed on the goods remains exempt from VAT for as intended to be placed under customs warehousing arrangements or inward processing arrangements, are accordance with customs legislation, are intended to be placed into free zones or free warehouses, or are It is possible to put goods in a bonded (customs) warehouse in Croatia. The supply of goods which, in

7.1.3.3 Bonded (customs) warehouse

warehouse.

all obligations arising from such an authorised warehouse keeper and for an excise

authorisation shall be issued to an authorised warehouse keeper who shall be responsible for fulfilling

keeping authorisation issued by the competent customs office to an authorised warehouse keeper. The special

duty suspension arrangements may be performed only in the excise warehouse having the excise warehouse-

The receipt, production, storage or other actions, as well as the dispatch of excise products under excise-

7.1.3.2 Excise warehouse

services provided by foreign entities to taxable persons and legal entities with a Croatian VAT ID number established in Croatia. This reverse charge applies in all EU Member States and follows from Articles 44 and 196 EU VAT Directive. There is also the reverse charge for the supply of natural gas through the natural gas distribution system and electricity through the heating networks, which is supplied by non-resident suppliers to "taxable dealers" in Croatia (Article 195 EU VAT Directive)..

8.1.1 General reverse charge mechanism - non-resident suppliers (Article 194 EU VAT Directive)

According to Article 75, Paragraph 2, where a taxable supply of goods or services is carried out by a taxable person who is not established and has no fixed establishment in Croatia, VAT must be paid by the taxable person or the non-taxable legal person with a VAT identification number to whom the goods or services are supplied. The reverse charge applies if the non-established supplier who is not registered for VAT purposes in Croatia, performs a domestic supply of goods to a taxable person or a non-taxable legal person, established in Croatia, or even to a non-established taxable person if this person is VAT registered in Croatia. The reverse charge is also applicable if the non-established supplier supplies services for which the place of supply is in Croatia to a recipient who is VAT registered in Croatia. The application of the reverse charge is mandatory. It applies to all supplies of goods and services which are subject to VAT in Croatia. On the invoice, reference must be made to the application of the reverse charge (prijenos porezne obveze).

The reverse charge even applies if the non-established supplier is registered for VAT in Croatia.

8.1.2 Reverse charge mechanism - specific domestic rules (Article 199 EU VAT Directive)

A taxable person registered for VAT purposes in the Republic of Croatia is liable for payment of VAT when he is the recipient of the following supplies:

- construction work, including services pertaining to construction, maintenance, reconstruction or removal of a building, including repair and cleaning services. The same also applies to the supply of staff engaged in construction-related services;
- the supply of used material, used material which cannot be re-used in the same state, scrap, industrial and non-industrial waste, recyclable waste, partially processed waste and goods and services, stipulated in the Ordinance by the Minister of Finance;
- the supply of immovable property under Article 40(1)(j)(k) VAT Law, where the supplier has opted for taxation;
- the supply of immovable property sold by a judgment debtor in a compulsory sale procedure;
- the transfer of allowances to emit greenhouse gases in accordance with regulations stipulating the system for greenhouse gas emission allowances trading; and
- the supply of concrete steel and iron, as well as products made from concrete steel and iron (reinforcement structures).

8.2 Joint and several liability

Management board members are in specific cases responsible as tax guarantors for the inability to pay tax liabilities. As a tax guarantor, respective individuals are responsible for the tax debt if the taxable person (i.e. a Company) has not paid it within the deadline, and the tax authority called the tax guarantor to pay the tax debt. However, this does not apply if management board member himself/herself evaded tax or if he/she participated in tax evasion, in which case the respective individual will have joint and several liability for the assessed tax liability (i.e. CTA can collect tax debt from both the management board member and the Company).

Besides the above general provisions on the tax liability for management board members, there are specific rules for specific VAT offences (i.e. participation in fraudulent activities and failure to pay the supplier's invoice in due time).

8.2.1 Failure to pay the supplier's invoice in due time

The taxable person to whom the supply of goods or services was made in Croatia, has joint and several liability for the payment of VAT when he did not pay at least the amount of VAT charged on the invoice of the supplier.

9. Recovery of input VAT

9.1 Non-recoverable input VAT

Input VAT is not recoverable in the following cases:

- on the purchase and lease of pleasure boats, aircrafts, personal cars and other means of personal transport, including the purchase of accessories for such goods, as well as services supplied in relation thereto, except when used for the business activity of transporting passengers and goods and a rental activity thereof, as well as for drivers training, transport of deceased and similar business purposes. For the purchase or leasing of personal vehicles and other goods and services related to its use, a right to deduct 50% of the input VAT exists on the total purchase value of the vehicle; and
- on the purchase of goods and services for the needs of entertainment whereby entertainment shall be deemed to be expenditure on hosting business contacts, giving gifts to business contacts, payment of business contacts' holiday expenses, sport and amusement or entertainment, car, boats, aircraft, holiday homes and the like.

As of 1 January 2025, the deduction of input tax based on a decision of the Tax Administration has been enabled. If the amount of VAT assessed by the taxpayer or the amount which should have been assessed on the supplies made, increases based on a decision of the Tax Administration (i.e. following tax audit), then the taxpayer may issue a corrected invoice with correctly assessed VAT. The recipient of the supply may, for the resulting difference, exercise the right to deduct input tax in the taxation period in which he or she received that invoice.

9.2 Excess input VAT

A taxable person can choose among 3 options on how to use its (excess) input VAT:

- to request a refund where the excess input VAT is refunded within 30 days from the date of submission of the VAT return or within 90 days from the day an auditing procedure has been started;
- to transfer it to the subsequent tax period(s) and use it for covering the VAT liability in those tax periods or to use it to cover liabilities for other taxes; or
- to cede the right to a refund.

9.3 Capital goods - adjustment periods

- Immovable property - 10 years
- Movable property - 5 years

The annual adjustment is made only with respect to 1/5, or 1/10 of the VAT charged on the capital goods.

The input VAT adjustment is not required where the input VAT to be adjusted is less than EUR 135 per capital good.

There is no adjustment applicable for services.

9.4 VAT refund to EU taxable persons

Non-resident EU taxable persons can submit VAT refund requests to Croatia via the electronic portal of their local tax authorities, i.e. the VAT Refund system, in accordance with the Council Directive 2008/9/EC.

The refund period may not be more than one calendar year or less than 3 consecutive calendar months. Refund applications may, however, relate to a period of less than 3 months if the period consists of the remainder of a calendar year.

If the refund application relates to a refund period of less than one calendar year, but not less than 3 months, the amount of VAT for which a refund is applied for may not be less than EUR 400. If the refund application

relates to a refund period of a calendar year or the remainder of a calendar year, the amount of VAT may not be less than EUR 50.

To obtain a refund for VAT, a taxable person must file a refund application via the electronic system at the latest by 30 September of the calendar year following the refund period. It is not possible to submit the claim after the deadline.

Croatian tax authorities may require the applicant to submit by electronic means a copy of the invoice or importation document with the refund application if there is a reasonable doubt regarding the validity of a particular refund application. The requested information must be provided within one month of the date on which the person receives the information request.

When the tax authorities request additional information, it issues a decision on the approval or refusal of the refund application within 2 months of receiving the requested information or, if it has not received a reply to its request, within 2 months of the expiry of the deadline (which is one month). The tax authorities issue a decision on the refund for VAT within 4 months after the date of receipt of the refund application.

The time limit for making refunds is 10 working days from the day of decision.

In respect to the appellate procedure, renewal of the procedure, statute of limitations, charging and collecting of VAT and conducting misdemeanour proceedings, the provisions of the Croatian General Tax Act are applicable. For example, statute of limitations is set to 6 years (single period) from the statute of limitations commencement. If some additional information or documentation is requested by the tax authorities, the time limit for delivery is 8 days. The time limit for appeals is 30 days following the decision.

The VAT will not be refunded if not used for the business purposes of the foreign company. During the process of refund, the tax authorities often require further proof such as contracts, order forms and explanations.

More information can be found at:
<https://tinyurl.com/dw4w6>

9.5 VAT refund to non-EU taxable persons

The reciprocity condition for VAT refund to taxable persons who are not established in the European Union territory is abolished.
A claim for VAT refund needs to be addressed to:

*Ministry of Finance, Tax Administration, Regional Office Zagreb
Avenija Dubrovnik 32
Department for VAT refund to foreign taxable persons 10000 Zagreb
Croatia*

The claim should be posted together with accompanying documentation to the tax authorities. This can be done either by the foreign taxable person itself or through its representative. The claim should be submitted on the form ZP PDV which may be downloaded from the official website of the tax authorities: <https://tinyurl.com/mwm5p5p>
The periods for VAT refund application as well as the minimum amounts for filing, are identical to the ones explained in the previous paragraph – 9.4 VAT refund to EU taxable persons.
The VAT refund application must be submitted by 30 June of the calendar year after the end of the calendar year covered by the application, at the latest. It is not possible to submit the claim after the deadline.

Where a taxable person applies the special margin scheme for travel agencies, there must be the mention on the invoice "Special margin scheme - travel agencies / posebni postupak oporezivanja – putničke agencije".

A taxable person carrying out supplies of goods or services subject to exemptions shall make a reference on the invoice to the provisions of the VAT Law stipulating the exemption, to the provisions of simplification for triangulation, or he shall refer to the corresponding provisions of the EU VAT Directive. In those cases, only the total consideration amount will be indicated on the invoice, and not the information referred to above (VAT rate, VAT amount payable categorized by VAT rates, total amount of the consideration and the VAT amount).

A taxable person needs to indicate his personal identification number on the invoice. For transactions within the EU, the VAT identification number needs to be indicated on the invoice.

- the invoice number and the date of issue;
- the name and surname (title), address, personal identification number or VAT identification number of the taxable person supplying the goods or services (supplier);
- the name and surname (title), address, personal identification number or VAT identification number of the taxable person to whom the goods or services were supplied (customer);
- the quantity or usual trade name of the goods supplied or the nature and extent of the services rendered;
- the date on which the supply of goods or services was made or the date on which the advance payment was made, in an advance payment invoice, if this date can be determined and if it differs from the date of issue of invoice;
- the unit price exclusive of VAT or the consideration for goods or services supplied, categorized by VAT rates;
- discounts or rebates if they are not included in the unit price;
- the VAT rate;
- the VAT amount payable, categorized by VAT rates, except where a special scheme is applied under which such detail is not required; and
- the total amount of the consideration and the VAT amount.

The invoice needs to contain the following details:

10.1.1 Invoice content

10.1 Invoices

10. Administrative obligations

More information can be found at: <https://tinyurl.com/dw5h6>

The original invoices are required and must accompany the VAT refund application. The tax authorities will pass a decision within 8 months from the date of the receipt of the VAT refund application and it will transfer the requested VAT amount into the bank account of the applicant stated by the taxable person, his authorized representative in the application, or into the account of the authorized representative. The time limit for making refunds is 10 working days from the day of decision.

- an extract from the court or trade register (not older than 6 months) in original and translated into Croatian language by an authorized court interpreter;
- a certificate of registration for VAT purposes (not older than 3 months) in original and translated into Croatian language by an authorized court interpreter;
- completed form for obtaining personal identification number (so called OIB);
- completed ZP-PDV form;
- original invoices; and
- a power of attorney for the representative (if applicable).

The following documentation must accompany the claim:

Where a taxable person applies the special VAT cash accounting scheme, the following remark must be included on the invoice "calculation on basis of the cash accounting scheme / obračun prema naplaćenim naknadama".

Where the taxable person applies the special margin scheme for second-hand goods, there must be the mention on the invoice "Special margin scheme - second-hand goods/posebni postupak oporezivanja marže - rabljena dobra", "Special margin scheme - works of art / posebni postupak oporezivanja marže - umjetnička djela", "Special margin scheme - collectors' items or antiques / posebni postupak oporezivanja marže - kolekcionarski ili antikvni predmeti".

When the customer receiving a supply issues the invoice instead of the supplier, the text, "Self-billing / samoizdavanje računa" must be mentioned on the invoice.

When the receiver of goods or services is liable for the payment of the VAT, the text, "transfer of obligation to pay VAT" or "reverse charge / prijenos porezne obveze" must be mentioned on the supplier's invoice.

If the taxable person appoints a fiscal representative, the invoice must contain the name and surname (title), address, personal identification number or VAT identification number of the tax representative.

In the case of a supply of a new means of transport within the EU, the invoice shall also contain several details about the new means of transport.

10.1.2 Time limits

In case of intra-Community supplies of goods and services, an invoice must be issued no later than on the 15th day of the month following in which the taxable event occurred for supplies of goods made in accordance with Article 41 of the VAT Law and for supplies of services for which the customer shall be liable for the payment of the VAT pursuant to Article 196 of the EU VAT Directive. For domestic supplies, there are no time limits for issuing invoices. If the chargeable event precedes the issuance of the invoice, it must be included in the tax return in the period in which the taxable event took place.

10.1.3 Currency

As of 1 January 2023, Croatia introduced EURCO. Due to the introduction of the EURCO, the relevant adjustments were made to the legislation, with the amounts in HRK being converted into EURCO using the fixed exchange rate 1 EUR = 7,5345 HRK.

10.1.4 Conversion and exchange rate

When the factors used to determine the taxable amount of a transaction other than the importation of goods are expressed in a foreign currency, the exchange rate of the Croatian National Bank on the day the VAT becomes chargeable must be applied for the conversion into EUR.

A taxable person may apply the exchange rate published by the European Central Bank on the day the VAT becomes chargeable. Conversion between currencies other than EUR must be made by combining the EUR exchange rates of each currency. Notification to the tax authorities on the application of the ECB latest exchange rate is not necessary.

10.1.5 Self-billing

Under Croatian VAT legislation, self-billing is allowed in cases where there is an agreement between the two parties (for instance, a contract or written agreement).

10.1.6 Simplified invoice

Taxable persons may issue a simplified invoice for supplies of goods or services carried out where the amount of the invoice is not higher than EUR 100. Such an invoice must contain the following details:

- an invoice number and the date of issue;
- name and surname (title), address, personal identification number or VAT identification number of the taxable person supplying the goods or services (supplier) and an indication of the place where the supply of the goods or services was carried out (number of points of sale, business premises, shop, and similar);

A taxable person must pay and declare the VAT before the last day of the month following the end of the tax period. A taxable person who is established and has permanent or habitual residence in Croatia and whose supplies of goods and services in the previous calendar year did not exceed EUR 2,000,000 (VAT excluded) may opt for the cash accounting scheme for certain local supplies, i.e. may pay the VAT upon collection of receivables.

The VAT return should be filed by the 20th day following the month/quarter to which it relates. There are no differences between resident and non-resident taxable persons in this regard except that non-resident taxable persons must file the VAT return monthly.

10.2.2 Filing of a VAT return and payment

The standard VAT return period (tax period) for VAT purposes in Croatia is a calendar month. If the value of supplied goods and services, including VAT was less than EUR 110,000 in the previous year, the tax period is a quarter, except when the taxable person performs intra-Community supplies of goods and services for which it is obliged to file European sales listings. If performing intra-Community supplies of goods and services, the taxable person must file monthly VAT returns for the months in which such supplies take place or for which adjustments for previous supplies must be made. Such taxable persons may also opt for the monthly submission of returns regardless of the value of transactions. Under certain circumstances, local monthly VAT returns may file VAT returns on a quarterly basis. Foreign taxable persons, however, must always file monthly VAT returns regardless of the value of the transactions performed.

10.2.1 VAT return period

10.2 VAT compliance

The taxable person can choose any form of electronic invoicing as long as the authenticity of origin, integrity of content and readability are guaranteed. The aforementioned may be achieved through the electronic data interchange (EDI), advanced electronic signature and any business control method which creates a reliable audit trail between an invoice and a supply of goods or services. The use of an electronic invoice must be accepted by the recipient.

10.1.8 Electronic invoicing

Invoices can be stored in any form. The authenticity of origin, integrity of content and readability must be guaranteed during the storage period. When taxable persons store invoices by electronic means, the tax authorities must have the right to access those invoices, and to download and use them by electronic means, insofar as the tax authorities need them for auditing purposes. The taxable person can decide to store the copies of invoices outside the territory of the Republic of Croatia under the condition that they stay within the territory of the EU. If the taxable person decides to store the copies of invoices outside the territory of the Republic of Croatia, he shall notify the competent local office of the Tax Authorities thereof and make the invoices available to the Tax Authorities and other supervision authorities without undue delay upon their request.

The VAT Law refers to the above-mentioned special regulations and prescribes only time limits for invoices relating to immovable property which must be stored for a period of 10 years. Regulations prescribe longer periods, such as the Accounting Law which prescribes a minimum of 11 years. must be retained for the time periods prescribed by the General Tax Law, i.e. 10 years, unless other special documentation as well as all other documents used for determination and payment of VAT. These documents exports and imports, documents on the basis of which VAT exemptions were used, ledgers and accounting Taxable persons must store issued and received invoices, documentation on invoice corrections, evidence on

10.1.7 Storage of invoices

- name and surname (title), personal identification number or VAT identification number of a taxable person to whom the goods were supplied or services rendered (the customer);
- the quantity or usual trade name of the goods supplied or the nature and extent of the services rendered;
- the amount of the consideration including VAT, categorized by VAT rates;
- the amount of the VAT charged, categorized by VAT rates;
- where a document or message treated as invoice has been issued, reference to that initial invoice and the specific details which are being amended.

10.2.3 Ledger of incoming invoices

As of beginning 2019, VAT registered taxpayers are obliged to file a monthly overview of incoming invoices (ledger of incoming invoices). Filing is carried out electronically, within the deadlines for the filing of the VAT return.

10.2.4 European sales listing

The deadlines for submission of the European sales listing for goods and services coincide with the filing periods of the VAT returns. There is no threshold applicable.

More information can be found at:

<https://tinyurl.com/bdzt3an>

10.2.5 European purchases list

The deadlines for submission of the European purchases list for goods and services coincide with the filing periods of the VAT returns. The European purchases list does not have to be submitted in the case that the legal or natural person did not perform any intra-Community acquisitions of goods and services.

More information can be found at:

<https://tinyurl.com/bdzt3an>

10.2.6 National recapitulative statement

There are national recapitulative statements in Croatia in case of the suppliers mentioned in paragraphs 8.1.2. (reverse charge mechanism based on article 199 EU VAT Directive).

10.2.7 Tax assessment period

The tax assessment period in Croatia is 3 years unless interrupted by certain actions performed by the tax authorities. This means that in the year 2024, the last open year for VAT assessments is the year 2021.

10.3 Penalties

10.3.1 Default penalties for late registration

There are no specific penalties for failing to register for VAT or for late registration. However, penalties described below might be applicable in some of these cases.

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

Any taxable person shall be fined with amounts varying from EUR 260 to EUR 66,360 for a misdemeanour of failing to submit at all, by the stipulated deadline, or failing to complete all required information on the VAT return and the European sales listing. The fine varying from EUR 130 to EUR 6,630 will also be levied to the responsible person of the legal entity.

10.3.3 Default penalties on VAT assessments when VAT is not reported correctly

Any taxable person will be fined with amounts varying from EUR 260 to EUR 66,360 for a misdemeanour of not assessing and not reporting VAT due within the stipulated deadline. The fine varying from EUR 130 to EUR 6,630 will also be levied to the responsible person of the legal entity. Penalty interest at the rate of 7.5 % on outstanding liability will also be charged. In instances of a voluntary disclosure, the tax authorities may lower the penalty amount. If VAT is not paid correctly, negligently or with intent and if such misdemeanours become repetitions (tax evasion), they may result in criminal law consequences.

10.3.4 Default penalties for not paying VAT on time to the tax authorities

Any taxable person will be fined with amounts varying from EUR 260 to EUR 66,360 for a misdemeanour of failing to pay, or not paying within the stipulated deadline, the calculated and declared amount of VAT into the stipulated payment account. The fine varying from EUR 130 to EUR 6,630 will also be levied to the responsible person of the legal entity. Penalty interest at the current rate of 7.5 % on outstanding liability will also be charged.

A taxable person performing intra-Community supplies and acquisitions is obliged to file Intrastat returns. Responsible authorities are the State Department for Statistics together with the Customs Authorities. The Intrastat returns must be filed only when certain thresholds are exceeded, whereby the taxable person is liable to self-report to the Intrastat system. The obligation is also applicable for distance sellers that have not opted for the OSS.

10.4.1 Intrastat threshold

The Intrastat threshold for arrivals for 2025 amounts to EUR 450,000 and for dispatches it is EUR 300,000.

10.4.2 Intrastat data to be reported

The information which needs to be reported for both the arrival and the dispatch statistics is:

- the 8 digit commodity code of the goods according to Combined Nomenclature;
- description of goods;
- the EU Member State of dispatch or destination;
- transportation conditions (Incoterms, place of supply);
- the nature of the transaction (e.g. return of goods, repairation, etc.);
- means of transport (e.g. by road or by train);
- the nature of the transaction (e.g. purchase, sale, return of goods, repairation etc.);
- the country of origin (e.g. where the goods are produced, made or processed);
- the net weight of the goods in kilograms;
- the quantity in measure units;
- the invoice value of the goods (in HRK);
- the statistical value (in HRK); and
- VAT ID of the customer (i.e. for the dispatches).

Information received from:

Anite Pavić
LeitnerLeitner
Anite.Pavic@leitnerleitner.com
www.leitnerleitner.com

In Cyprus, the European Union (EU) VAT Directive ("VAT Directive") has been implemented through the "Ο περί Φόρου Προστιθέμενης Αξίας Νόμος, Νόμος 95(Ι)/2000 όπως τροποποιήθηκε". This will be referred to hereinafter as the VAT Law. VAT is referred to in Cyprus as "φόρος προστιθέμενης αξίας" or "ΦΠΑ".

Throughout the chapter, reference is made to some of the more significant Interpretive Circulars and Implementing Orders issued by the Cyprus Tax Department. All circulars are in Greek and are referenced by the number and date of issue. All circulars can be found using the following links:

Interpretive Circulars: <https://tinyurl.com/38ybmzur>

Implementing Orders: <https://tinyurl.com/32upwdx5>

Information Leaflets: <https://tinyurl.com/bdh3mfja>

1. Taxable persons

A taxable person (προσώπων φορολογούμενο) is defined as any person or entity that is registered, or is required to be registered, under the VAT Law. It follows that a taxable person must be carrying out a business. A business is defined as "an economic activity carried out independently and in any place, whatever the purpose or the results of that activity". It can be observed that the definition of "business" follows the definition of a "taxable person" as laid out in Article 9 of the EU VAT Directive. The additional requirement in the Cyprus VAT Law that the taxable person be registered or required to be registered is perhaps unnecessary. Its existence does not, however, adversely affect the right of a foreign taxable person to claim back input VAT from the Cyprus Tax Department if such a right exists, even though that foreign taxable person may not meet the definition of a "taxable person" under the Cyprus VAT Law.

1.1 Registration threshold & SME Scheme for domestic taxable persons

Registration for VAT purposes is obligatory in the following circumstances listed below. The format of the VAT registration number depends on whether a group registration exists and when the registration occurred as per below:

- VAT numbers issued before 1 January 2024

- Companies: CY10123456X
- VAT Groups: CY99123456X
- Individuals: CY00123456X
- Non established entities: CY90123456X
- Joint ventures: CY51234567X
- VAT numbers issued after 1 January 2024 for all taxable persons: CY60123456X

There is no separate recapitalisation statements ("VIES") registration. You only need to apply for activation of the relevant portal to allow you to submit your VIES returns.

1.1.1 Historic and future tests

A Cyprus establishment of a taxable person must register for VAT if the value of its taxable supplies (including zero rate) exceeds the registration threshold of EUR 15,600 when applying the historic test or the future test (explained below).

Where the taxable supplies are below the registration threshold, the taxable person will not be obliged to charge VAT, and cannot deduct any VAT incurred on the acquisition of goods or services.

The historic test states that registration is required when at the end of each month the taxable supplies for the last 12 months exceeded the registration threshold. In this case, the registration must be made within 30 days from the end of the month in which the threshold is passed and registration will be effective on the next day following this 30-day period, as shown in Example 1 below.

- evidence demonstrating that the value of taxable supplies have exceeded the registration threshold.
- copy of identity cards or passport of signatory; and
- articles of association;
- memorandum;
- company certificates (incorporation, directors, secretary, registered office and shareholders);

supporting documentation;

District Offices of the Tax Department. The registration form will need to be accompanied by the following

Form 1101 is only available in Greek and a hard copy of the application is to be submitted at any of the

Before submission of the VAT registration form the taxable person needs to obtain a TAX Identification

number. This process is now electronic through the TaxForALL ('TFA') portal.

- <https://tinyurl.com/3npbuaps>

for voluntary registration. The applications form for VAT registration can be found online at this web address:

Registration as a result of the historic or future test is effected with Form TD1101. This form can also be used

1.1.5 Registration Forms

register for VAT if no sales contracts have been completed.

require proof that income will be realized, which makes it difficult for a business in the set-up phase to

evidence they are willing to accept in order to allow voluntary VAT registration. Moreover, they normally

applicant to deduct input VAT. The Cyprus Tax Department is becoming increasingly strict with the type of

the person would have to prove to the Tax Department that he is carrying out taxable supplies allowing the

It is possible to register for VAT voluntarily in Cyprus before the relevant threshold is exceeded. In this case,

1.1.4 Voluntary registration

automatically following registration with the Tax Department.

There is no separate registration for intra-Community supplies i.e. to use the prefix 'CY'. This is done

1.1.3 Registration for intra-Community supplies

10.2.3). In order to register for VIES, VAT registration is a prerequisite.

The reason is that the supply must be declared on the VAT Information Exchange System (VIES) (see Chapter

Member State, then that person is obliged to register for VAT in Cyprus, regardless of the value of the supply.

of goods and/or services, to another person that is VAT registered (business-to-business) in a different EU

Where any person, based in Cyprus but not registered for VAT in Cyprus, makes intra-Community supplies

1.1.2 Provision of intra-Community B2B goods and services

20 January	19 February	20 January
Date on which taxable supplies are expected to exceed the registration threshold during the following 30 days:	Registration application needs to be submitted by:	Date of registration is:

Example 2: Registration using future test

below.

30 days from the relevant day and registration will be effective as of that same day, as shown in Example 2

The future test states that registration is required if there is reason to believe that the registration threshold

30 June	30 July	31 July
Taxable supplies exceeded the registration threshold during the last 12 months from:	Registration application needs to be submitted by:	Date of registration is:

Example 1: Registration using historic test

In the case of voluntary registration, evidence that the taxable person is carrying out taxable supplies is required (such as a copy of agreement, invoices, details of contracting parties etc).

The VAT registration is activated within 10 business days, on average. The VAT certificate is available only through the TFA portal.

1.2 Registration threshold & SME Scheme for foreign taxable persons

Small businesses from other EU Member States who apply the scheme for small businesses in the country of establishment:

- with an annual turnover in the EU of less than Euro 100,000; and
- an annual turnover of less than Euro 15,600 in Cyprus
- may also choose to apply the exemption in Cyprus as of 1 January 2025.

Foreign taxable persons that cannot apply the exemption for small businesses, must register if they perform taxable transactions for VAT purposes in Cyprus, and the obligation to pay the VAT falls on them. Furthermore, foreign taxable persons may register for VAT in Cyprus if they can prove that they will be undertaking taxable supplies in Cyprus. They are also able to register for the purposes of undertaking chain transactions where they will undertake either an intra-Community supply of goods, or an intra-Community acquisition of goods, in Cyprus. Taxable persons established in another EU Member State can either effect a direct registration or appoint a fiscal representative (see Section 1.4 below). Taxable persons established outside of the EU will normally be required to appoint a fiscal representative, unless a mutual reciprocity agreement exists between that country and Cyprus, in which case they can effect a direct registration. Currently such reciprocity agreements exist only with the UK, Israel and Norway. However, even if no mutual reciprocity agreement exists, it may be possible to effect a direct registration with the deposit of a bank guarantee. The Cyprus Tax Department has issued Interpretive Circular BE243, dated 01.09.2020, giving information regarding the registration obligations of a non-established taxable person.

1.3 VAT grouping

VAT Grouping is possible in Cyprus. Group registration is optional.

- Financial links exist where one entity controls, either directly or indirectly, the other, or if all entities to be included in the group are controlled by a third person;
- Organisational links exist where group members are under common management;
- Economic links exist where the main economic activities of members are alike, or complementary, or mutually combined, or mutually beneficial.

Although the VAT Law states that only taxable legal persons incorporated in Cyprus may be part of a VAT Group, the Tax Department issued on 12.01.2018 Interpretive Circular BE221 which clarifies that other establishments (such as fixed establishments) carrying out economic activity in Cyprus may form part of a VAT Group. "Pure" holding companies or companies exclusively involved in exempt supplies with no right of deduction of input VAT are not allowed to join VAT Groups, contrary to the judgment of the European Court of Justice in *Commission vs Ireland* (C-85/11 [2013]). Members of the group are jointly and severally liable for any VAT, interest and penalties that may be imposed. The supplies of goods or services between the members of a VAT group are ignored for VAT purposes.

Where two or more companies effect a VAT group registration, their existing VAT numbers are cancelled, and the VAT group obtains a new common VAT number under the representative member's name. The representative member is responsible for filing a single VAT return on behalf of the group and paying any VAT due. This will create a problem for validation purposes given that only the name of the representative member appears on the EC VIES VAT number validation website. It will thus not be possible to validate through the website the VAT registration number of the other members of the VAT group, given that their names do not appear on the validation confirmation. However, it is possible to show documentation that these companies form part of the VAT group.

1.4 Fiscal representative

In Cyprus, a fiscal representative is referred to as a VAT representative. The right to appoint a VAT representative is available to taxable persons or persons carrying out taxable supplies, not established in Cyprus, and which do not have a fixed establishment in Cyprus.

A physical person residing, or a legal person incorporated, in another EU Member State does not have to appoint a VAT representative in Cyprus. Similarly, no obligation to appoint a VAT representative arises for persons in a country with which Cyprus has entered into a mutual reciprocity agreement that covers tax registrations (currently such agreements exist only with Israel and Norway). In addition, and even though no mutual reciprocity agreement exists with the UK, the Cyprus Department of Taxation also accepts direct registration under the Brexit arrangements for UK taxable persons. It is possible for such taxable persons to register directly with the Cyprus Tax Department.

A non-EU company is normally obliged to appoint a VAT representative, however the Commissioner of Taxation may instead register the company directly and accept a bank guarantee.

Appointing a VAT representative confers no tax advantages when compared to registering with the Tax Department directly.

A VAT representative is appointed by virtue of Article 37 of the VAT Law, as well as of Regulation 10 of Reg. (K) K.A.II.314/01 and the Decree based on Regulation 10.

The form for appointing a VAT representative is Form VAT 104, which can be accessed through the following link: <https://tinyurl.com/3w9uf5bz>

When a VAT representative is appointed, the Commissioner of Taxation must be notified within 30 days. The name of the VAT representative together with the name of the taxable person being represented must appear in the VAT Register. The VAT representative is jointly and severally liable to the Tax Department for any transactions undertaken by the company that may give rise to a VAT liability, although the law limits his/her liability to cases of fraud, misconduct or negligence by the VAT representative.

2. Taxable transactions

2.1 Transfer of business

Cyprus has implemented the option afforded in Articles 19 and 29 of the VAT Directive to consider the transfer of a business as a going concern to be outside the scope of VAT. There are certain conditions that must be met:

- all, or an autonomous part, of a business (assets, stocks, goodwill) is transferred;
- the transferor is a taxable person;
- the transferee is or becomes a taxable person;
- the transferee continues, without a substantial discontinuation, to carry out a business of the same nature.

In this case, the transferor must not charge any VAT and the transferee is not allowed to deduct any VAT as input tax, even if the transferor has charged VAT by mistake. If, as a result of the transfer, the transferor terminates his taxable supplies, he must notify the Tax Department within 60 days by submitting an "Application for Cancellation of Registration" (Form VAT 204). The form can be accessed through the following link: <https://tinyurl.com/4bswnad9>

Furthermore, if the transferee becomes liable to be registered, then he must notify the Tax Department within 30 days by submitting Forms TDD2001 and TDD1101. See Section 1.1.5 for a link to the forms. The transferee is by default liable to register if the transferor was registered just before the transfer. If both the transferor and the transferee wish, they may submit an "Application for the Transfer of VAT Rights and Obligations" (Form VAT 103), upon which, if approved, the transferor must hand over his accounting books and records to the

transferee and the transferee will take up all previous rights and obligations of the transferor. The form can be accessed through the following link: <https://tinyurl.com/2ny9bcha>

2.2 Supplies free of charge

Cyprus generally applies the principles laid down in Articles 16 and 26 of the EU VAT Directive.

In relation to Article 16, the free supply of 'gifts of small value' is not taxed in Cyprus if the purchase price per item is less than EUR 17,09 (excluding VAT).

For the free supply of 'samples', the Cyprus law still makes reference to provisions that have already been judged as incorrect by the CJEU (for example see *EMI* (C-581/08)). Specifically, as per the VAT Law, samples can be provided for free without there being a deemed supply of goods, however, this will not apply in all cases. The law specifically states that where:

- (a) the same person gives a number of samples to another person (either all on one occasion or on several occasions), and
- (b) these samples are identical or do not differ substantially from each other;

then a deemed supply of goods will apply to all but the first sample given.

There is also a specific provision regarding deemed supplies relating to immovable property. Based on this provision in the VAT Law, where a related person is believed to have used a property belonging to a company, the Tax Department often assesses a deemed supply of a good, resulting in conflict especially over the interpretation of evidence, such as electricity consumption.

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

The Cyprus VAT Law applies the exemption for the intra-Community supply which follows an importation. For this exemption to be applied the following conditions must be satisfied:

- the intra-Community supply is carried out by a taxable person and is subject to the zero rate as per Article 25 of the Cyprus VAT Law;
- the imported goods are the ones which will be the subject of the intra-Community supply; and
- the Commissioner is satisfied that the taxable person intends to move the goods to another EU Member State, and the taxable person is importing the goods for the onward intra-Community supply.

It is at the discretion of the Commissioner when granting this exemption to request a bank guarantee for an amount which will not exceed the VAT amount that would have been due on the importation of the goods. The exemption applies when the goods are moved to the other EU Member State within 1 month from their arrival in Cyprus (or such other period as may be agreed with the Commissioner). In practice, such a guarantee is rarely requested.

2.3.2 Postponed accounting on importation

Import VAT must be (pre)paid upon the importation for any goods from places outside of the EU, regardless of whether it is undertaken:

- by a taxable or a private person;
- for business or private purposes; or
- with or without consideration.

VAT chargeable on importation is paid to the customs authorities as if it were a customs duty; normal rules then apply for the right of deduction for taxable persons.

There are certain exceptions to the payment of VAT on importation. The main exceptions are the following:

- for gas and electrical energy imported through a specific distribution system. For these kinds of importations self-billing will apply;
- for importation of non-commercial aircraft to be used for business purposes by a taxable person (a bank guarantee may be requested by the Commissioner). Self-billing will also apply;

Where the supplier and the customer are based in Cyprus, and goods are held on a call-off basis, the goods are deemed to be supplied when the goods are taken out of the stock under call-off and the legal title is transferred to the customer. An automatic supply is deemed to take place if 12 months have passed from the date that the goods were transferred to the customer.

Where the conditions are not met for the call-off stock simplification, or a period of 12 months passes from the arrival of the goods in Cyprus without the customer calling-off the stock, then to the extent of the stock not called off by the customer, the supplier will have to VAT register in Cyprus for the intra-Community acquisition as a result of the movement of his own goods to Cyprus.

Where the supplier and the customer will have to maintain a register detailing any goods transferred under the call-off stock simplification.

Both the supplier and the customer will have to maintain a register detailing any goods transferred under the Community supply, and the customer the intra-Community acquisition, in the normal way.

From 1 January 2020, the quick-fix for call-off stock applies in Cyprus. In this case, the transfer of the goods by the non-established supplier to the Cyprus-established customer is no longer a deemed supply of goods (transfer of own goods). The transfer will be recorded in the VIES of the supplier as a call-off stock movement. When the actual call-off occurs by the customer, the supplier will then have made the intra-Community supply, and the customer the intra-Community acquisition, in the normal way.

Call-off stocks (αποθήματα ασφαλείας) are stocks used for and paid by one customer, for his own needs. This applies where the customer will use the stock for his own purposes or will use the stock to effect further supplies to his own customers.

Where both the supplier and the customer are based in Cyprus, and goods are held on a consignment basis, the goods are deemed to be supplied when the goods are taken out of the stock under consignment and the right to dispose of the goods as owner is transferred to the customer. An automatic supply is deemed to take place if 12 months have passed from the date that the goods were transferred under consignment to the consignee.

There is no simplification for consignment stock under the VAT Law. Where a non-established supplier transfers consignment stock to a Cyprus customer, i.e. to be placed in the consignee's care, the supplier will have to register in Cyprus in order to undertake an acquisition of own stock. The ensuing sale of goods to the customer under the consignment stock agreement will constitute a domestic sale of goods for the supplier, subject to VAT at the applicable VAT rate.

Consignment stocks (αποθήματα που βρίσκονται υπό την ευθύνη του παραπομπέα) are stocks transferred to Cyprus by a supplier established in another EU Member State, which remain under his control, and from which supplies will be made by him or on his behalf, within Cyprus.

3.1 Consignment and call-off stock

3. Place of supply

- in certain cases, deferral of 30 days of the VAT payable may be granted by the Commissioner, upon request by the taxable person and written approval, and upon receipt by the Commissioner of a bank guarantee for the amount of VAT due. This exception emanates not from the VAT Laws but from the Customs legislation (Customs Regulation K.A.II. 329/2005, under Article 40 of the Customs Code Law 94(I)/2004);
- for personal belongings;
- following migration to Cyprus;
- on return to Cyprus following studies; or
- inherited through procedures of a will;
- for certain goods received by charitable organizations;
- for commercial samples; and
- for wedding gifts on return to Cyprus following an overseas wedding.

The Cyprus Tax Department has issued Informative Leaflet 17A dated January 2020 on the treatment of call-off stock. No simplification applies in case of imports. If the importer/consignee is registered, he may recover VAT charged on importation as input tax.

3.2 Installation supplies

Article 36 of the EU VAT Directive is not implemented word-for-word in the Cypriot legislation. There is one reference to Article 36 in the Cypriot VAT Law, making reference to an intra-Community supply of goods with installation / assembly.

Cyprus applies an extension of the reverse charge to the supply of goods with installation, as long as the supplier is VAT registered in another EU Member State, and is neither established nor VAT registered in Cyprus, and the customer is a taxable person, registered for VAT in Cyprus. In such a case, the customer will apply the reverse charge mechanism. The invoice from the supplier should make reference to 'Reverse Charge' and the supplier should notify the Cyprus Tax Department in writing.

Construction work is considered to be a supply of a service where a building is erected and the supply is without the supply of the land on which the building stands (e.g. the land is owned by the customer). Domestic reverse charge may apply to construction works (see Section 8.1.2.1 below).

3.3 Distance sales threshold

The distance selling threshold covers all European sales of TBE services and distance sales of goods and has been set at EUR 10,000.

Once the threshold is exceeded, the supplier may either register directly in Cyprus or in their country of establishment via OSS to account for Cyprus VAT for their distance sales to Cyprus.

A taxable person of another EU Member State may opt for voluntary registration in Cyprus for its distance sales before the threshold is exceeded. The Cyprus Tax Department must be notified at least 30 days before initiating distance sales with evidence of notification of the authorities in the home EU Member State.

The option is applicable for the subsequent 2 calendar years from the date of exercising the option.

The Tax Department has created a new microsite dedicated to e-commerce and OSS schemes. It can be accessed through the following link: <https://tinyurl.com/3e5kc78w>

3.4 Simplified triangulation rules

The Tax Department has issued the following circulars, which are relevant: EE 88 (04.06.2004) and EE 88A (27.08.2004). The simplified triangulation rules cannot be applied if the middleman (B) is either registered or established in the country of dispatch or that of arrival of the goods. More specifically, under the current wording of the Cypriot VAT Law, B cannot have a VAT registration number in the country of dispatch, although this is contrary to the judgment in *Hans Buhler*, (ECJ C-580/16).

3.5 Acquisition threshold

Where a Cyprus established person is not liable to be registered for Cyprus VAT purposes (for example non-taxable legal persons, taxable persons exclusively engaged in exempt activities (such as universities and flat-rate farmers)), that person becomes liable to register when he acquires goods from VAT registered persons in other EU Member States which exceed the threshold of EUR 10,251.61 within a calendar year and those goods are shipped to Cyprus, from another EU Member State. An obligation to register also arises if there are reasonable grounds to believe that the value of intra-Community acquisitions that person will be making in the following 30 days alone, will surpass the registration threshold.

The Cypriot Tax Department has issued Information Leaflet 3A (in Greek) for further guidance with regards to an obligation for VAT registration due to intra-Community acquisitions.

3.6 Effective use and enjoyment

Use and enjoyment provisions have been implemented in the VAT Law.

The general use and enjoyment rule as per the Cyprus legislation provides that:

- Art. 59a(a): where the supply of relevant services would otherwise be regarded as made in Cyprus, but the effective use and enjoyment of those services is outside the Community, the supply is deemed to be outside of the Community; and
- Art. 59a(b): where the supply of relevant services would otherwise be regarded as made outside the Community, but the effective use and enjoyment of the services is in Cyprus, the place of supply is deemed to be Cyprus.

The special provisions for effective use and enjoyment as per (a) and (b) above, apply to:

- hiring of means of transport, both short-term and long-term, B2C and B2B;
- short-term hiring of means of transport, B2B and B2C;
- hiring of movable goods, other than means of transport, B2B and B2C;
- telecommunications, radio and television broadcasting, B2B and B2C;
- transport of goods services, other than intra-Community transport of goods, B2B; and
- electronically supplied services, B2B.

The special provisions for effective use and enjoyment as per (b) above, only apply to: electronically supplied services to non-taxable persons (B2C).
The following table summarises how the Cyprus VAT legislation has implemented the use and enjoyment provisions:

	B2B	B2C	Art. 59a(a)	Art. 59a(b)	Cyprus law article	EU Directive Article
Transport of goods	✓	✓	✓	✓	Sch. 13(9)	44
Hiring of means of transport Short - Term	✓	✓	✓	✓	Sch. 13(3)	56(1)
Hiring of means of transport Long - Term	✓	✓	✓	✓	Sch. 13(3), (14A)	56(2)
Hiring of movable goods (except means of transport)	✓	✓	✓	✓	Sch. 13(7)	44 (B2B) / 45(B2C)
Telecommunications, radio, TV and broadcasting	✓	✓	✓	✓	Sch. 13(8)[for 59a(a) and 59a(b)] / Sch. 13(18) [for 59a(b) B2C only]	44 (B2B) / 58(B2C)
Electronically supplied services B2C		✓		✓	Sch. 13(18)	58
Electronically supplied services B2B	✓		✓	✓	Sch. 13(10)	44

4. Chargeable event & chargeability of VAT

4.1 Principles

In the case of a supply of goods or services, the VAT becomes, in principle, chargeable at the time the goods or services are supplied. This is known as the 'basic' tax point. For goods, this is the date when they are sent or received by the customer, or the date the goods are placed at the customer's disposal. For services, this is the date the service is supplied.

- the taxable person has supplied goods or services and has accounted for and paid the relevant output VAT on that transaction;
- the amount has been written-off in the income statement of the accounting books of the taxable person, as a bad debt;
- a period of 12 months (beginning by reference to the chargeable event) must have elapsed;

When claiming bad debt relief, the following conditions must be met:

In Cyprus, bad-debt relief is available to taxable persons, provided that they can substantiate to the tax authorities that the amount not yet paid by the customer became a bad debt within the relevant period, as prescribed by the law.

5.1 Bad debt relief

5. Taxable amount

Where the scheme applies, output VAT is chargeable when the payment is received, and input VAT is chargeable when the payment is made. The words 'cash accounting scheme' must be stated on the invoice. The taxable person must inform the Commissioner in writing when applying the scheme.

The scheme cannot be used for certain transactions.

- they have not been convicted of any VAT offence;
 - they have settled any VAT imposed through assessments;
 - they have not been convicted of any VAT offence;
 - they have submitted all the VAT returns within the statutory deadlines, and settled any amounts shown as payable therein;
 - the value of their transactions during the last 12 months does not exceed EUR 25,000;
 - the value of their transactions during the last 12 months does not exceed EUR 25,000;
- Following conditions apply:
- Taxable persons have the right to opt to apply a cash accounting scheme for the payment of the VAT, if the

4.4 Cash accounting

Continuous supplies of goods over a period of more than 1 calendar month which are dispatched or transported from the Cyprus to another EU Member State and which are supplied or transferred VAT exempt, shall be regarded as being completed on expiry of each calendar month until such time as the supply comes to an end. Services ongoing over a period of more than 1 year, that do not give rise to statements of account or payments in that period and for which the customer is liable to account for the VAT on the basis of article 196 EU VAT Directive, are regarded as being supplied on the expiry of each full calendar year up to the time the provision of the services ceases.

4.3 Continuous supplies

As explained above, VAT can be chargeable before the time the goods are put at the disposal of the acquirer or the service is completed. This is the case when the price has been totally or partially received, before the goods are put at the disposal of the acquirer or the services are supplied. To the extent that any payment is received in advance, an 'actual' tax point arises.

4.2 Advance payments

The VAT on the purchase of a service, which falls under the main rules of Articles 44 and 196 of the EU VAT Directive, is nevertheless due at the time the service is supplied.

If an invoice is issued or payment is received before the 'basic' tax point, then an 'actual' tax point is created and this is then considered when VAT becomes chargeable. In addition, where an invoice is issued within 14 days after the 'basic' tax point, then the date of the invoice constitutes an 'actual' tax point, thus shifting the chargeability of the VAT to the date of the invoice.

Cyprus has not implemented any of the options afforded in Article 92 of the EU VAT Directive with regards to the cost of returnable packing materials. There are thus no relevant special provisions in place.

5.4 Returnable packaging

With regard to the options afforded in Article 80 of the EU VAT Directive to implement the open market value in transactions between related parties, Cyprus has only implemented the provision in Article 80(1) (a). This allows the Cyprus Tax Department to implement the open market value only in the case where the consideration is lower than the open market value, and the recipient of the supply does not have a full right of deduction. The Cyprus Tax Department can do this only within a three-year period from the date of the supply. The provision is found in paragraph 1 of the Fourth Schedule of the VAT Law. Therein, there is also the definition of what constitutes a related party for the purposes of that provision.

5.3 Open Market Value

Regardless of whether payment is made within the 14 days and the discount is granted, the taxable basis and relevant VAT amount will always be those amounts after the discount is applied. Should the payment be made within the 14 days, a credit note for the correction of the € 20 discount value will be issued and which will not impact the VAT.

Gross amount € 1,186.20 [€1,000 + €186.20]

Net Value: € 1,000
Discount @ 2% (€ 20)
Net amount after discount: € 980
VAT @ 19% on €980 € 186.20

Supply of goods for €1000 plus VAT with a 2% cash discount if due amount paid within 14 days

Example:

The Cyprus VAT legislation provides that in cases where the supplier offers a discount for prompt settlement, the taxable amount shall be the amount after the discount is applied, regardless of whether the payment is made within the said time limits or not.

5.2 Cash discounts

The claim is via the quarterly VAT return, shown as an increase in the input VAT claimed for that period. The Cyprus Tax Department has issued Information Leaflet 14 dated January 2002 on the subject of bad debt relief, as well as Interpretive Circular 234 dated 13 June 2019. The Leaflet can be accessed through the following link: <https://tinyurl.com/2leya2bs>

Interpretive Circular 234 can be accessed through the following link: <https://tinyurl.com/5jcweb78>

- the claim for bad debt relief must be made within 4 years from the later of:
 - the date when the supply was due and payable to the supplier; or
 - the date the chargeable event had taken place;
- the taxable person must demonstrate that he has taken all the necessary measures to collect the amount due; and
- if the customer is a taxable person, the supplier must notify the customer in writing of its making the claim within a 7 day period from the date the claim is made. A copy of the notification must be kept in the records of the supplier.

6. VAT rates

6.1 Standard rate

The history and changes in the VAT rates in Cyprus:

Date	Reduced rate (1) %	Reduced rate (2) %	Super-reduced rate %	Standard rate %
01/07/1992	-	-		5
01/10/1993	-	-		8
01/07/2000	5	-		10
01/07/2002	5	-		13
01/01/2003	5	-		15
01/08/2005	5	8		15
01/03/2012	5	8		17
14/01/2013	5	8		18
13/01/2014 onwards	5	9		19
21/07/2023 - *			3%*	19

* the super-reduced rate was implemented for a limited time but the date has been extended several times.

6.2 Reduced rate

Cyprus applies two reduced rates as noted below.

6.2.1 Reduced rate of 5%

The reduced rate of 5% can be found in the Fifth Schedule of the VAT Law and applies mainly to:

- various types of fertilisers and pesticides;
- the supply of food and beverages when sold as take-away or with delivery, except soft-drinks and alcoholic beverages;
- construction, erection or supply of housing used as a permanent residence in Cyprus before first occupation. There are criteria regarding the size and value of the property as well as the person who may apply for the reduced rate. The Tax Department has issued the following interpretive circulars on this topic: EE 155 (07.10.2011), EE 158 (14.11.2011), EE 167 (12.06.2012), EE 168 (10.07.2012), EE 210 (06.02.2017), EE 212 (22.03.2017) and EE 11/2023 (28.11.2023);
- renovation, extension and repairing of private dwellings, excluding materials which account for more than 50% of the value of the services supplied. The Tax Department has issued the following circulars on this topic: EE 118 (18.10.2007), EE 119 (19.11.2007), EE 132 (23.01.2009), EE 192 (14.06.2015) and EE 199 (29.12.2015);
- admission to theatrical performances, circuses, cinemas, cultural and sporting events;
- use of sporting facilities. The Tax Department has issued EE 231 (21.02.2019) on this topic;
- performances by performing artists, services of composers, artists and writers;
- supply of gas in cylinders. The Tax Department has issued the following circular on this topic: EE 196 (21.10.2015);
- supply of water;
- certain food and medicines;
- certain animal foodstuffs;
- hairdressing services;
- equipment used by disabled persons (i.e. Braille typewriter, wheelchairs);
- children's car seats when adapted for use in land bound vehicles for persons up to 12 years of age;
- medical and dental care (if not exempted). Operations of purely cosmetic and aesthetic nature are standard rated; and
- works of art wholly executed by the artist.

- goods and services;
 - intra-Community supply of goods (B2B);
 - services relating to imports of goods;
 - exports of goods;
 - services in the framework of inward processing on behalf of principals resident outside the EU;
 - certain supplies of, services and ancillary services relating to, sea vessels and aircraft, with the exception of vessels for inshore fishing with foodstuffs;
 - supply of gold to the Central Bank of Cyprus;
 - supply of goods to non-profit organizations which subsequently export the goods for humanitarian, educational or charitable reasons;
 - transport of goods to and from Madeira and the Azores;
 - services of intermediaries relating to transactions carried out outside the EU;
 - goods under customs control or VAT warehousing arrangements;
 - services to goods under customs control;
 - supply of a travel package under TOMS which is enjoyed outside of the EU; and
 - any supplies of goods for the provisioning of commercial sea vessels and warships.
- The VAT exemption with credit (referred to as a 'zero rate' in Cyprus) applies to the following supplies of
- 7.1 Exemptions with the right of deduction**

7. Exemptions

- admission to the first performance of theatrical, musical, dance or classical productions.
 - wastewater disposal and treatment and emptying of septic and industrial tanks; and
 - government departments;
 - street cleaning, waste collection and waste treatment services but not if supplied by local authorities or specific medical equipment;
 - books, magazines and newspapers, both in hard copy or digitally provided;
- the 3% rate can be found in the Fifteenth Schedule of the VAT Law and include:
- services captured by the 3% were previously taxed at the 5% rate. The list of goods and services taxed under it in place for a limited time but the expiry date has been extended several times. Some of the goods and
- From 21 July 2023, Cyprus applied for the first time a super-reduced rate of 3%. The proposal was to have

6.3.2 Super reduced rate

- Children's milk (powder or liquid form);
 - Children and adult diapers;
 - Certain women's hygiene products;
 - Various fresh fruit; and
 - Various vegetables either fresh or chilled.
- The 0% VAT rate applies to the following supplies (from 04/11/2024 to 31/12/2025):

6.3.1 Zero rate

6.3 Super-reduced and zero rates

- The reduced rate of 9% can be found in the Twelfth Schedule of the VAT Law and applies mainly to:
- accommodation; the Tax Department has issued the following circular on this topic: EE 134 (23.04.2009);
- restaurant and catering services, including alcoholic beverages; the Tax Department has issued the following circulars on this topic: EE 138 (12.01.2010) and EE 146A (10.01.2011);
- domestic transport of passengers, by taxi, bus (excluding transportation within the same city), or sea vessel and their accompanying luggage; and
- provision of services and delivery of goods by nursing homes, if not exempt.

6.2.2 Reduced rate of 9%

7.1.1 Intracommunity supplies

Given that Cyprus is an island, proving a zero-rated supply (export or intra-Community supply) is normally not a problematic issue. The following combination of documents would suffice for proving the transaction:

- original VAT invoice;
- transport documentation (bill of lading / CMR);
- validated VAT number of customer for intra-Community supply;
- purchase order;
- copy of export declaration; and
- correspondence with the contracting party.

7.1.2 Export supplies

See Section 7.1.1 above.

7.1.3 Warehousing

7.1.3.1 VAT warehouse

Cyprus implemented Article 157 of the EU VAT Directive, with regard to VAT warehousing regime, through Articles 13A-13E of the VAT Law.

Goods that can be placed in a VAT warehouse include:

- products listed in Annex V of the EU VAT Directive;
- all imported goods for which the relevant VAT has been paid or suspended; and
- goods that are subject to special excise duties for which the relevant duty has been paid or suspended.

A taxable person not established in Cyprus can also place goods in a VAT warehouse. Where required, a taxable person can register or appoint a VAT representative (see Section 1.4) to store goods in, or remove goods from, the warehouse. If certain conditions are met, a supply of goods that are intended to be placed within a VAT warehouse is not subject to VAT and thus no VAT registration is required. The customer must provide the supplier with a certificate that he intends to place the goods in a VAT warehouse. This must be done no later than the time of acquisition or supply, and the certificates should be kept in the records of the taxable person.

The VAT warehouse keeper must record all receipts of goods into the warehouse and maintain a detailed record of all stock kept in the warehouse. There are detailed requirements relating to the movement of the stock. The services of the warehouse keeper relating to safeguarding goods, as well as any maintenance or repackaging services on those goods, are zero rated.

VAT becomes chargeable at the moment when the goods are released from the VAT warehouse regime.

Certain releases are not subject to VAT, such as, exports or intra-Community supplies, or the temporary removal for the purpose of repair, processing or treatment. In such instances, prior authorisation is required.

7.1.3.2 Excise warehouse

See explanation of tax warehouse in Section 7.1.3.3 below.

7.1.3.3 Bonded warehouse

It is possible to store goods coming from outside the EU in a bonded warehouse before import occurs.

All goods coming from a third country can be directly placed under a bonded warehouse for free regime, with suspension of customs duties and VAT. When the goods are released from the warehouse for free circulation, duties and VAT become due. The importer who declares the goods into free circulation becomes responsible for the payment of the VAT.

In addition, the intra-Community acquisition of excise goods (alcohol, tobacco, energy products) can be placed in a tax warehouse with suspension of excise duties and VAT.

The release of goods from a bonded or tax warehouse regime does not constitute an importation if the goods are subsequently placed under another customs regime.

The sale of goods while still in bond is exempt from VAT. Evidence that the sales took place in the bonded warehouse should be kept in files (i.e. list of the transactions from the warehouse keeper, customs documents, the agreements, etc.). Certain services related to bonded goods are also exempt from VAT.

7.2 Exemptions without the right to deduction

Exemptions without the right of deduction are supplies which are generally in the public interest (mirroring Article 132 of the VAT Directive), financial services (mirroring mainly Article 135 of the VAT Directive) and supplies and lease of immovable property. However, a right of deduction exists for most of financial services where the recipient of the service is established outside of the EU, in accordance with Article 169(c) of the EU VAT Directive.

7.2.1 Exemptions in the public interest

Exemptions without the right of deduction are mainly provided for the following supplies (the list is not exhaustive but covers the main supplies):

- services of the Postal Service;
- certain hospital services, including medical, paramedical and services of registered doctors which are not of a cosmetic nature;
- ambulance services;
- supply of human organs, blood and human milk;
- services relating to the protection of children;
- education offered by registered public or private schools, universities, music schools, ballet schools or examination centres, including private tuition;
- services by non-profit organizations to their members relating to cultural, religious, union, philosophical or charitable purposes, provided this does not result in any distortion of competition;
- cultural services (e.g. libraries, museums, theatres) by non-profit organizations provided this does not result in any distortion of competition; and
- the transactions of the Cyprus Broadcasting Corporation except for those of a business nature.

7.2.2 Other exemptions

Other exemptions include services of insurance, financial and management of mutual funds. With regards to the latter, the Tax Department has issued the following interpretive circulars: FB 14 (27.11.1996), FB 72 (19.03.2002), EE 92 (12.08.2004), EE 124 (22.08.2008), EE 143 (19.11.2010), EE 197 (25.10.2015) and EE 203 (16.05.2016).

7.2.3 Letting of immovable property and the option for non-taxation (opt-out)

Cyprus applies Article 135(1)(i) of the EU VAT Directive, regarding exempting the leasing and letting of immovable property.

However, Cyprus VAT legislation has made use of the exception provided in Article 135(2) of the EU VAT Directive in offering an option to tax the leasing and letting of immovable property. All such leases are subject to VAT by default where certain conditions are met, and affords the landlord with an option not to tax (i.e. to opt-out) which binds the landlord for the remainder of his/her ownership. The conditions include that the property is for commercial use and that the tenant does not have exempt VAT supplies, without a right of deduction, that constitute more than 10% of the gross turnover of the business. Old leasing agreements that roll over for new periods may not come within the scope of the new law, unless substantial amendments to their terms are made.

Therefore, the rental of immovable property would be exempt in the following cases:

- The property at hand is a residential property to be used for residence purposes of the tenant;
- The rental of immovable property, other than residential, when the tenant engages in exempt activities without the right to deduction in excess of 10% of its gross turnover;
- The rental of immovable property, other than residential, where the owner has opted for exemption of the said property.

7.2.4 Immovable property
Article 12(1)(b) of the EU VAT Directive is implemented for the sale of building land, which encompasses all land sold by a taxable person, except agricultural land and land that is in planning zones that do not permit development (such as environmentally or archaeologically protected zones).

From 11 November 2022, the definition of what constitutes 'new property' was amended, without any transitional arrangements, removing the previous notion of 'first use'. Instead property is subject to VAT for any supply made within a 5-year period from the date that the property was first available for use. The only exception is where the property was actually used for a period of at least 24 months, by a person that is not related to the owner. 'Actual use' is further defined as the use on a systematic basis.

As of 1 January 2019, long-term leases are considered to be a supply of goods, and subject to VAT if they are sold before first occupancy (i.e. only applies to new developments sold under long-term leases). A long-term lease is defined as a lease running for at least 15 years, and which has been deposited with the Department of Land Registry. The Tax Department has issued interpretive circular EE 229 on 27 December 2018 on this topic.

7.3 Option for taxation

Cyprus has not made use of any of the options afforded in Article 137 of the EU VAT Directive.

8. Liability

8.1 Reverse charges

8.1.1 General reverse charge mechanism – non-resident suppliers (Article 194 Directive)

Article 194 of the VAT Directive allows EU Member States to use the reverse charge mechanism for transactions where the place of supply is in the respective EU Member State and the supplier is not established.

Normal rules would create an obligation for the non-resident supplier to register for VAT in Cyprus and apply local VAT on the said transaction. The extension of the reverse charge means that the obligation to discharge the VAT is transferred to the local recipient and thus the obligation for VAT registration is lifted from the non-resident supplier.

Cyprus applies the reverse charge as follows:

(1) to all services not covered by the general rule. In this case, the supplier should not be established in Cyprus, and the recipient should be a taxable person, identified for VAT purposes in Cyprus;

(2) to the supply of goods with installation (see Section 3.2 above). In this case, the supplier should neither be established nor identified for VAT purposes in Cyprus, including not having appointed a VAT representative, and the recipient should be a taxable person, registered for VAT in Cyprus.

8.1.2 Specific domestic reverse charges (Article 199 Directive)

For the cases outlined below, where the supplier is not established in Cyprus but is required to register as a result of the legislation, then any related Cyprus input VAT can be reclaimed through this local VAT return.

8.1.2.1 Reverse charge on local construction services

The reverse charge applies to services, or services with a supply of goods, supplied for the construction, alteration, demolition, repair or maintenance of a building or of any civil engineering project.

For these rules to apply, the supplier can be any person, whether taxable person or not, and the customer is a taxable person, and receives the services for the purpose of his economic activity.

The Tax Department has issued extensive guidance over which services, or services with goods, are included within the meaning of Article 11B. This guidance is included in the following Interpretive Circulars: EF 164 (21.03.2012), 165 (06.04.2012), 166 (14.05.2012), 169 (16.07.2012), 174 (30.01.2013) and 184 (12.03.2014).

8.1.2.2 Reverse charge on supplies of used metals and scrap

When a taxable person supplies scrap metals or waste to another taxable person, which is allocated a specific economic transaction code (issued by the Customs Office), and the supply is a domestic one, then the customer must apply the reverse charge.

The Tax Department has issued an interpretive circular 179 (29.10.2013) explaining the reverse charge application on scrap metals and other waste.

8.1.2.3 Reverse charge on the supply of immovable property and land in case of loan default

This provision was enacted in order to facilitate the payment of VAT in cases where the taxpayer is no longer in a sustainable financial position, with a bank having to take possession of the property which was held as a guarantee against the loans provided. In such cases, the bank would purchase the property from the person but would take possession as part of the loan default proceedings. This would still qualify as a taxable supply of goods from the defaulting owner to the bank but clearly the defaulting owner would not be in a position to pay any VAT. For this purpose, the obligation to discharge the VAT is transferred to the recipient (being the bank), through this provision.

Specifically, the reverse charge mechanism applies to transactions whereby ownership of new buildings or land subject to VAT, is transferred from the borrower to the lender as part of a loan restructuring or under forced transfer conditions. The provisions enacted go beyond what is permissible by the VAT Directive which through Article 199a(1)(g) only permits the use of the reverse charge on the supply of immovable property sold by a judgment debtor in a compulsory sale procedure.

The conditions for this rule to apply are:

- The taxable person supplies goods to the recipient;
- The goods qualify as new buildings, building land intended for erection of one or more fixed structures;
- The recipient at the time of the supply is a taxable person acquiring the goods as part of its taxable activities.

When the above conditions are met, the recipient of the goods is obliged to apply the reverse charge mechanism and discharge the VAT due on the transaction as if it was the recipient's own supply. Reverse charge is not an option but an obligation that determines which party discharges the VAT for a specific transaction.

This provision will remain in force for a limited period of time, currently being until 31 December 2024, but may be extended.

8.1.2.4 Reverse charge on certain domestic supplies of IT and telecommunications equipment

The reverse charge applies to any supply of goods of: (i) mobile telephones, being devices made or adapted for use in connection with a licensed network and operated on specific frequencies, whether or not they have any other use; (ii) integrated circuit devices such as microprocessors and central processing units in a state prior to integration into end user products; (iii) game consoles, tablet PCs and laptops. There is no threshold for this reverse charge mechanism to apply.

For this provision to apply, the supplier can be any person, whether taxable person or not, and the customer is a taxable person, and receives the goods for the purpose of his economic activity.

The Tax Department has issued Implementing Order 1 (29.09.2020) providing detailed explanations on the application of Article 11E.

8.1.2.5 Reverse charge on certain domestic supplies of non or semi processed precious metals

A domestic reverse charge applies to B2B supplies of unprocessed or semi processed precious metals, in accordance with Article 199a(1)(j).

For this provision to apply, both the supplier and the customer must be taxable persons, and the customer receives the goods for the purpose of his economic activity.

The customer must maintain the relevant registry required by the laws governing trade and signage of precious metals for a period of 6 years.

8.2 Joint and several liability

Under Cyprus law, officers of a company, namely directors and secretary, are jointly and severally liable for the unpaid taxes of the businesses they manage. Joint and several liability also exists for businesses that form part of a VAT group for the VAT debts of each member of the VAT group for the entire period that the relevant entity was part of that VAT group.

Except for the above, Cyprus has not applied Article 205 of the EU VAT Directive to hold any other persons jointly and severally liable for payment of the VAT, other than the person liable for payment under the VAT Law.

9. Recovery of input VAT

VAT expenditure is only deductible up to the proportion of the asset's use for business purposes. Cyprus applies this principle to immovable property, movable goods, as well as to intangible assets.

The Tax Department is allowed, as per the VAT Law, to suspend the examination of any request for a VAT refund, where the taxable person has not submitted all declarations that are required for direct tax legislation. Any examination will recommence when such obligations have been met.

To this effect, it has issued Implementing Order 2, dated 05.10.2020.

Input VAT deduction is also available for recovery for the period before registration:

- 3 years for goods (unless the goods were consumed before the date of registration);
- 6 months for services.

The Tax Department has issued Interpretive Circular EE 114 (09.05.2007) on this topic.

9.1 Non-recoverable input VAT

Input VAT is not recoverable in the following cases:

- entertainment expenses except where these are solely for employees;
- purchase of an ordinary passenger (saloon) car unless used for qualifying purposes i.e. resale, passenger transport for reward (e.g. taxi, bus), rental, or for driver instruction;
- however, input VAT on running and maintenance expenses of passenger cars is allowable, to the extent that the car is used for business purposes;
- accommodation and subsistence expenses for entertainment purposes other than for employees and business associates;
- remuneration-in-kind, as well as on fringe benefits for staff (provision of food and drink, sporting and recreational facilities, salaries, transport for personal use, etc.); and
- corporate gifts exceeding EUR 17,09 in value per gift (excluding VAT).

If the entire non-recoverable input VAT is less than the de minimis rule, then it is entirely recoverable. The de minimis rule is where the total non-recoverable input VAT is less than €171 per month on average and does not exceed 50% of all input VAT for the period, calculated on an annual basis.

9.2 Excess input VAT

Excess input VAT shows up as a credit balance on the TFA portal. In order to obtain a refund, the taxable person must submit a refund request for each quarter separately through the TFA portal. A taxable person has a 6-year period from the end of the VAT quarter in which excess input VAT arose, to make a request for payment of the due VAT refund.

A VAT refund is provided in cases where:

- the taxable person is not likely to cover excess input VAT with output VAT; or
- excess input VAT relates to zero rated supplies or supplies made outside of Cyprus (with right to deduction) or acquisition of fixed assets used in the business.

Where excess input VAT has existed for more than 8 months, this should be refunded immediately upon submission of a request for refund via TFA.

Refunds are returned with interest based on the Unified Public Interest Rate for Overdue Payments (see Section 10.3.3 below). The law provides that interest starts on the fourth month following the date of application for the refund, and only if the Tax Department is not to blame for any delay. The 4-month period is extended to 8 months if the Tax Department instigates an investigation.

9.3 Adjustment periods

Movable goods and immovable property are subject to the capital goods scheme. Intangible assets such as copyrights, patents, licenses, trademarks and similar rights, including goodwill, are also subject to the capital goods scheme provided that:

- they are used for more than one accounting period; and
- their value exceeds € 17,086.

Adjustment periods are:

- 5 years for movable goods and intangible assets; and
- 10 years for immovable property.

The Tax Department has issued the following circulars on this topic: EE 107 (02.05.2006) and EE 170 (01.11.2012). Cyprus does not generally have an adjustment period for services.

9.4 VAT refund to EU taxable persons

The Tax Department has issued in English, Information Leaflet 8, dated December 2008, on the topic of VAT refunds to EU and non-EU taxable persons.

The refund application must be submitted electronically through the portal of the tax authorities of the country in which the claimant is established. The relevant portal for Cyprus exists in English and can be found using the following link: <https://tinyurl.com/45r97ujn>

Annual minimum limit for claims that are made for 1 calendar year or the remainder of a calendar year is EUR 50. **Interim minimum limit** for claims that are made for less than a calendar year but at least 3 months is EUR 400.

Minimum period for making a claim is 3 consecutive calendar months in 1 calendar year, unless it is a remainder of the year. **Maximum period** for making a claim is 1 calendar year.

Deadline for making a claim is 30 September of the year following the year over which the claim is made. It is possible to submit a claim within 5 calendar years after the end of the calendar year in which the VAT was incurred, but if the claim is filed after the deadline of 30 September then no appeal can be filed.

Supporting documents (e.g. the original invoices / copies of invoices) are generally not required, although the Commissioner of Taxation has the right to request original documentation in examining a refund request. The tax authorities must issue a decision on the refund claim within 4 months of receipt of the claim. The period in which the authorities must make a decision can be extended to 6 months or 8 months when the authorities request additional information.

- where that period represents the final part of the prescribed year; or
- where the claim covers the entire prescribed year.

claim is reduced to EUR 25 in the following situations:

The minimum claim is EUR 205 if it covers a period of less than 1 prescribed year. However, this minimum

reasons for the refusal.

Once a claim has been submitted, it will be examined, and if approved, a credit transfer to a specified account will be made. If the claim is refused, the Tax Department will communicate this in writing, along with the

claims.

months from their date of issue. Once a certificate expires, a new one will have to be furnished with further

establishment, showing it is registered for business purposes in that country. Such certificates are valid for 12

the taxable person should include a certificate from the official authority of the taxable person's country of

<https://tinyurl.com/mic4wcvw>. Documentary evidence should be attached to the form. For the first claim,

Form VAT 109 must be used to request the claim. The form can be accessed through the following link:

Tax Department may require the nomination of a VAT representative.

Claims can be made by the taxable persons themselves or through an agent / VAT representative. The Cyprus

claim be made for VAI outside of the prescribed year dates.

the 30th June of the following calendar year. As such, claims must be made by 31 December. In no case can a

input VAT was incurred. Prescribed year means the 12-month period beginning with the 1st July and ending

Claims for refund must be submitted no later than 6 months after the end of the 'prescribed year' in which the

import documents must be provided. Copies or photocopies are not acceptable.

From the supplier, or import documents included with the refund application, originals of all invoices and/or

The non-EU taxable person must have proof of the VAT that it paid, either correctly completed VAT invoices

also accepts input VAT to be reclaimed by taxable persons established in the UK.

with Switzerland, Israel and Norway. In addition, under the Brexit arrangements, the Department of Taxation

country applies similar concessions to Cyprus traders. Currently, reciprocity arrangements are in place only

Cyprus will only allow input VAT to be reclaimed if there are reciprocity arrangements in place i.e. that

including international transportation services of goods.

- does not have a residence in any EU Member State;
- is not registered, liable or eligible to be registered for VAT in Cyprus;
- has no place of business or other residence in Cyprus; and
- does not make any supplies in Cyprus, other than those subject to reverse charge by the recipient,

It is possible for taxable persons outside of the EU to reclaim input VAT on the purchase of goods and services in Cyprus, or VAT that was imposed on imports in Cyprus, provided that the taxable person:

refunds to EU and non-EU taxable persons.

The Tax Department has issued in English, Information Leaflet 8, dated December 2008, on the topic of VAT

9.5 VAT refunds to non-EU taxable persons

The input VAT is not recoverable in cases discussed in Section 9.1 above.

- There is the option to then undertake one of the following:
- File an objection with the Tax Tribunal within 45 days from the date that the decision was notified to the appellant. The final decision of the Tax Tribunal can also be appealed to the Cyprus Administrative Court within 75 days by the taxpayer, but is considered as binding for the Tax Department which is not afforded a right of appeal; or
- File an objection with the Cyprus Administrative Court within 75 days.

provided to the tax authorities. If the applicant disagrees with the decision of the Commissioner of Taxation,

If a refund is granted, it will be processed within 10 business days and paid to the bank account number

However, with regards to intra-Community supply of goods, as well as for all supplies of services for which the VAT is due by the recipient, invoices must be issued by the 15th day of the month, following the month of supply, as required by Article 222 of the VAT Directive.

An invoice must be issued within 30 days of the time of the supply.

10.1.2 Time limits

- συλλεκτικής και αρχαιολογικής αξίας;
 - collector's items and antiques margin scheme or καθεστώς περιθωρίου κέρδους – αντικείμενα
 - works of art margin scheme or καθεστώς περιθωρίου κέρδους – έργα τέχνης; and
 - second-hand goods margin scheme or καθεστώς περιθωρίου κέρδους – μεταχρησιμοποιήσιμα αγαθά;
 - tour operator margin scheme or καθεστώς περιθωρίου κέρδους – ταξιδιωτικά πρακτορεία;
 - cash accounting or καθεστώς ταμειακής λογιστικής;
 - applicable, reference should be made to:
 - where a special scheme is used, reference to that scheme should be included. Specifically, where "χρῆσις" could also be used;
 - an intermediary in triangulation, although as per ECJ jurisprudence and the VAT Directive, "αυτιστοπομπή
 - reference to triangular transaction or a reference: "τριγωνική συναλλαγή" where the invoice is issued as
 - reference to reverse charge or a reference: "αυτιστοπομπή χρέως" if the VAT is payable by the recipient;
 - reference to self-billing or a reference: "αυτοεπιμολόγηση" where this is the case;
 - name, address and VAT identification number of VAT representative where applicable;
 - the total VAT amount in EUR;
 - each VAT rate and the total VAT amount for each different rate, in EUR;
 - the amount of any cash discount provided;
 - the gross total amount payable, net of VAT;
 - for each description, the unit price or quantity, as well as the VAT rate, and the net payable in EUR;
 - sufficient description of the identity of the goods or services;
 - applies, the VAT registration number of the customer;
 - where the supply involves B2B intra-Community supplies of goods or services, where the reverse charge
 - name and address of customer;
 - name, address and VAT registration number of supplier;
 - date of issue;
 - time of supply or of cash receipt;
 - unique sequential identification number;
- A VAT invoice must contain:

10.1.1 Invoice content

10.1 Invoices

10. Administrative Obligations

- The following VAT cannot be reclaimed:
- non-business supplies (but, if the supply covers business and non-business purposes, then it is possible to reclaim VAT on the business part of the supply);
- any supply or import of ordinary passenger cars;
- certain second hand goods, e.g. cars and antiques for which the VAT margin scheme is used;
- all businesses entertainment/hospitality expenses, but does not include the provision of entertainment to (a) employees of the business, (b) if the business is a body corporate, to its directors or persons otherwise engaged in the management, unless the provision of entertainment to such persons is incidental to its provision to others;
- any goods or services used or to be used to make a supply in Cyprus (in this case they should effect a direct registration in Cyprus); and
- goods and services, such as hotel accommodation, that the business bought for resale and which are for the direct benefit of travellers.

Invoices must be stored in the same form as they were received or issued i.e. received paper invoices must be stored in paper form and electronically received ones must be stored in electronic form. For electronic invoices, the authenticity of origin, integrity of content and readability must be guaranteed during the storage period.

Invoices, and other relevant documents for VAT compliance, must be stored for the minimum period of 6 years, unless otherwise stated in the law (i.e. 10 years under OSS schemes).

10.1.7 Storage of invoices

If the customer requests a full invoice, the retailer is required to provide one.

- Such a simplified invoice must contain the following information:
- name, address and VAT registration number of the retailer;
- date of issue;
- sufficient description of the identity of the goods or services;
- total gross amount (VAT included); and
- for every VAT rate applicable, the total gross amount (VAT included), and the relevant VAT rate.

Businesses are allowed to issue a simplified invoice only in the cases of sales by a retailer to a non-taxable person for an invoice amount up to EUR 85 and assuming it does not relate to a transaction with a person of another EU Member State.

10.1.6 Simplified invoice

Self-billing is permitted where there is an agreement between the supplier and the customer and a notification has been provided to the Tax Department.

10.1.5 Self-billing

- Currently the VAT Law contains two provisions which contradict each other:
- Article 8(1), Part (I), Fourth Schedule, VAT Law – Provides that all supplies of goods and services are translated using Customs & Excise Department rates;
- Paragraph 4, Regulation 12, KAI 314/2001 – Regulates invoice contents and provides that for purposes of calculating the excise value, the translation is made using ECB published rates;
- Paragraph 3(1), Part II, Fourth Schedule – Provides that intra-Community acquisition transactions are translated using the ECB published rates.

Customs rates: <https://tinyurl.com/mwvdujw>

ECB rates: <https://tinyurl.com/vy5khp9>

- Amounts reported in VIES returns
 - Output VAT reported in VAT returns
 - Services received from abroad which are subject to the reverse charge provisions in Cyprus
 - Intra-Community acquisitions
 - Customs rates
 - Customs rates
- Rate to be used:

Given that VAT declarations are to be completed in Euros, where the value of a supply is denominated in a foreign currency, the taxable person must convert that value to Euros. Depending on the transaction, such a conversion can only be made using the exchange spot rate as per the European Central Bank ("ECB"), or the Customs legislation, which provides for using the exchange rate of the Department of Customs and Excise. The table below summarises when to use which rate:

10.1.4 Conversion and exchange rate

Invoices can be issued in foreign currencies. However, the total amount of VAT must (also) be stated in EUR.

10.1.3 Currency

A VIES declaration must be submitted by the 15th day of the month following the reporting month. If the due date falls on a weekend or on a public holiday, it can be submitted on the next business day. It can only be submitted electronically. There is no threshold for VIES, meaning that if a supplier established in Cyprus, who is not VAT registered, supplies a service to a taxable person in another EU Member State, and the VAT is due in that EU Member State, then the Cyprus supplier must register with the Cyprus Tax Department in order to further register for VIES and declare the transaction therein.

In order to register for VIES, a VAT registration with the Tax Department is firstly required. Registration in the VIES system occurs automatically when registering with the Tax Department.

The European sales listing is referred to in Cyprus as the VAT Information and Exchange System or VIES.

10.2.3 European sales listing

The Tax Department no longer mails tax declarations in paper format. Instead reminders are sent via e-mail to the registered e-mail address of each taxable person. The liability to submit tax declarations lies with the taxable person regardless of whether a reminder is received or not. Thus, as the Tax Department is moving to a fully digital environment, it is important to ensure that the e-mail address registered with them is valid and any electronic correspondence is not blocked by server/e-mail filters as spam or junk.

- Payment can only be made:
- at approved credit institutions (banks),
- through a direct wire transfer to the account of the Tax Department with the Central Bank of Cyprus,
- card payment directly through TFA portal.

VAT must be reported, and any VAT that is due must be paid, within 40 days following the end of the reporting period. If the due date falls on a weekend, or on a public holiday, then the due date for filing and payment is moved to the next business day.

<https://taxforall.mof.gov.cy/CreateAccount>

Every taxable person is obliged to submit a tax declaration, being the VAT return Form VAT4, and pay the tax that may be due. As of 23 March 2023 electronic filing of VAT returns via the TFA portal is mandatory. Please note that both VIES and VAT returns are submitted through TFA electronically although each requires a separate registration/activation. Such activation may be done electronically at:

10.2.2 Filing of VAT return and payment

Taxable persons may apply for monthly or yearly returns if they are in a position of continuous refunds or limited transactions. Electronic filing is obligatory via TFA portal as of 23 March 2023 for all classes of taxable persons.

Every taxable person is obliged to submit a tax declaration, being the VAT return Form VAT4, and pay the tax that may be due. As of 23 March 2023 electronic filing of VAT returns via the TFA portal is mandatory. Please note that both VIES and VAT returns are submitted through TFA electronically although each requires a separate registration/activation. Such activation may be done electronically at:

A VAT return period covers 3 calendar months i.e. 4 quarterly periods per year. Before 1 January 2024 there were 3 different stackers of VAT returns following a different quarterly pattern each. The allocated stacker was dependant on the industry of the taxable person. However, for VAT registrations as of 1 January 2024 all have to file VAT returns per quarter on a calendar-year basis.

10.2.1 VAT return period

10.2 Compliance

The taxable person can choose any form for the electronic invoicing as long as the authenticity of origin, integrity of content and readability are guaranteed. A customer is allowed to refuse an electronic invoice.

10.1.8 Electronic invoicing

Original paper invoices must be stored at the premises of the business. Electronic invoices can be stored elsewhere, even overseas. However, in such cases, the tax authorities must have the right to access those invoices, and to download them in a usable format, and within a reasonable period of time.

The Tax Department has issued in the Greek language Information Leaflet 17, dated July 2013, on VIES. The Leaflet can be accessed through the following link:
<https://tinyurl.com/cxhvwte>

10.2.4 National recapitulative statement

Cyprus has no national recapitulative statements.

10.2.5 Tax assessment period

The Tax Department does not have the right to issue a VAT assessment if 6 years have passed from the end of the VAT period, or the date of importation or acquisition. In the case of fraud or purposeful omission, the period of assessment can be extended to 12 years.

10.3 Penalties

10.3.1 Default penalties for late registration

The following table summarises the main penalties imposed under the VAT Law:

Non compliance: Penalty:

- Late registration EUR 85 per month
- Late deregistration EUR 85 one off

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

The following table summarises the main penalties imposed under the VAT law:

Non compliance: Penalty:

- Late submission of VAT return EUR 100 per return
- Late submission of VIES return EUR 50 per return
- Late submission of Intrastat return EUR 15 per return

10.3.3 Default penalties for not paying VAT on time to the tax authorities

The penalty for not paying VAT on time is 10% on the VAT payable amount and additional interest on this amount applies. The rate of interest for unpaid taxes, contributions or charges payable to the Government is interest based on the Unified Public Interest Rate for Overdue Payments which is fixed annually by the Minister of Finance by virtue of section 4(1) of the Unified Public Interest Rate for Overdue Payments Law of 2006, Law 167(I)/06. The historic rates of interest for unpaid taxes are as follows:

- 2006 and prior years: 9.00% p.a.
- 2007-2009: 8.00% p.a.
- 2010: 5.35% p.a.
- 2011-2012: 5.00% p.a.
- 2013: 4.75% p.a.
- 2014: 4.50% p.a.
- 2015: 4.00% p.a.
- 2016: 4.00% p.a.
- 2017-2018: 3.50% p.a.
- 2019: 2.00% p.a.
- 2020-2022: 1.75% p.a.
- 2023: 2.25%
- 2024: 5%
- 2025: 5.5%

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

The following penalties can be imposed:

- additional VAT of 10% on the output VAT due but not accounted for;
- annual interest (see Section 16.3 above) calculated on both the output VAT due and the 10% additional tax; and

Distance sales transactions must be included in the Intrastat declaration.

- means of transport, for instance “by road” or “by sea”;
 - the nature of the transaction (e.g. purchase, sale, return of goods, reparation etc.); and
 - the country of origin (e.g. where the goods are produced or made or processed);
 - other measure for certain goods (e.g. litres, m², or number of pieces);
 - the quantity of the goods (i.e. net weight in kilograms);
 - the statistical value;
 - the invoice value of the goods;
 - the HS Code (eight-digit harmonised commodity code according to Combined Nomenclature (CN));
 - the nature of the movement of the goods (i.e. arrival or dispatch);
 - the reference period (i.e. the reporting month);
 - VAT number of the taxable person making the declaration;
 - the EU Member State of dispatch or destination;
- The information which needs to be reported for both the arrivals and the dispatches is the following:

10.4.2 Intrastat data to be reported

A taxable person may appoint an agent to file Intrastat returns.

For arrivals, the exemption threshold is EUR 350,000 and the simplification threshold is EUR 2,700,000. For dispatches, the exemption threshold is EUR 75,000 and the simplification threshold is EUR 5,800,000.

For both arrivals and dispatches, there are two reporting thresholds to bear in mind. The exemption threshold is the threshold under which no declaration is required. There is also the simplification threshold. If the total value of the relevant commercial transactions since the 1st of January fall between the two thresholds, then only limited information is required on the Intrastat form. If the value of the transactions exceeds the simplification threshold, then all the information is required.

The 2024 reporting thresholds are provided below. Readers can refer to the Cyprus Tax Department's website for updated information in English, using the following link: <https://tinyurl.com/mwhnmcx8a>

10.4.1 Intrastat threshold

In Cyprus a separate monthly Intrastat return must be submitted to the Cyprus Tax Department by the 10th day of the month, following the reporting month. It can only be submitted electronically.

10.4 Intrastat

- The following penalties can be imposed:
 - Late correction of mistake on VIES return
 - Failure to issue a lawful receipt
 - Failure to correctly apply reverse charge mechanism (from 1 July 2021)
- EUR 15 per return
- 20% of the value of the supply
- EUR 200 per return, to a maximum of EUR 4,000

10.3.5 Other penalties

- In case of fraudulent evasion of VAT, the penalty is up to 3 years imprisonment or a fine up to 3 times the amount of VAT payable, or both. In case of receipt of goods on which VAT was evaded, the penalty is up to 12 months imprisonment or a fine of EUR 8,543 or both. If the VAT shown in an assessment issued by the Commissioner of Taxation is not paid, the penalty is up to 12 months imprisonment or a fine of EUR 8,543 or both. Directors and officers, including secretary, of a legal entity are considered liable for any criminal obligations of the company.
- criminal penalties of up to 300% of the output VAT if tax evasion is detected.

10.5 Additional compliance requirements

There are no additional requirements.

Information received from:

Alexis Tsielapis
Chelco VAT Ltd
a.tsielapis@chelcovat.com

Panayiotis Iona
Chelco VAT Ltd
p.iona@chelcovat.com

www.chelcovat.com

The Czech Republic

In the Czech Republic, the European Union (EU) VAT Directive is implemented through the Law 235/2004 Coll. "Zákon ze dne 1. dubna 2004 o dani z přidané hodnoty" ("the VAT Law"). VAT is referred to in the Czech Republic as "daň z přidané hodnoty" or "DPH". The territorial scope is the entire Czech Republic, which consists of three historical lands, Bohemia, Moravia and part of Silesia.

1. Taxable persons

1.1 Registration & SME Scheme for domestic taxable persons

Small businesses do not have to register and enjoy a VAT relief. The annual turnover must remain below a threshold. This threshold is CZK 2,536,500 (approximately EUR 100,000) for the preceding calendar year. If the cumulated turnover of CZK 2,536,500 is exceeded in a calendar year, the taxable person becomes a taxpayer from the next day.

The registration is started through filing the electronic registration form in the Czech language only. <https://tinyurl.com/smgdjc>

The application form and the guidelines can be read in English via the following link: <https://tinyurl.com/pbbg>

1.2 Registration & SME Scheme for foreign taxable persons

The local Czech VAT registration turnover threshold for non-established legal entities and non-resident individuals is also CZK 2,536,500. If the threshold of CZK 2,000,000 (that was applicable for 2024) was not exceeded in 2024, the exemption may be applied in 2025 until the new threshold of is exceeded. A taxable person becomes a VAT payer the day after exceeding the new threshold. The taxable person has 10 working days to register with the tax office after exceeding the new turnover threshold.

The foreign taxable person must decide whether it wishes to be registered for Czech VAT as a taxpayer or just, 'identified' for Czech VAT. The latter is mostly applicable for intra-Community acquisition of goods.

The applicant must file an electronic application in Czech language and deliver a signed hard copy original confirmation of the electronic filing of the registration in the Czech language at the following address to register for Czech VAT:

*Finanční úřad pro Moravskoslezský kraj
Na Jizdárně 3162/3
709 00 Ostrava Přívoz
The Czech Republic*

When registering, the following information must be provided to the tax authorities in Czech language or in a sworn translation of the hardcopy originals to the Czech language:

- a completely filled in confirmation PDF "e-tiskopis" of electronic filing of registration form "25 5104 MFIn 5104 – vzor č. 10";
- VAT registration certificate in the country, where the business is established "osvědčení o registraci k DPH či obdobné dani v jiné zemi";
- licence to perform economical activities "oprávnění k provozování činnosti"; and
- the extract from the commercial register, traders' register or similar register "výpis z obchodního registru".

The Czech tax authorities usually assign the VAT number within 30 days after receiving all the required documents.

The free supply of 'trade samples', is defined in the Czech VAT legislation without any financial limit if provided in the furtherance of the business only.

In relation to the free supply of goods, the free supply of 'gifts of small value' is not taxed in the Czech Republic if the purchase price per item is less than CZK 500 (EUR 20) excluding VAT.

The principles laid down in Articles 16 and 26 of the EU VAT Directive are incorporated in the Czech VAT Act.

2.2 Supplies free of charge

The non-taxation of the transfer of a going concern (applicable to both goods and services) has been implemented in Czech VAT legislation.

2.1 Transfer of business

2. Taxable transactions

Taxable persons established in non-EU countries are obliged to appoint an EU established representative in customs proceedings when importing goods in the Czech Republic. Taxable persons established in non-EU countries are also obliged to appoint a 'mail representative' with obligatory databox in the Czech Republic when registering for Czech VAT.

A fiscal representative concept does not exist in the Czech Republic. EU and non-EU taxable persons register directly for VAT purposes.

1.4 Fiscal representative

The VAT group gets a new common VAT number "CZ699nnnnnnk". The members of the VAT group cannot use their separate VAT numbers, as they are cancelled when they join the group. The leading member of the group must file VAT returns and other reports (e.g., the European sales list) on behalf of the entire VAT group.

Financial links exist if more than 40% of the shares of the members are directly or indirectly held by the same person(s). Organisational links exist if the members are under common management.

Where two or more persons established or having a fixed establishment in the Czech Republic are closely bound to one another by financial, economic and organisational links, those persons are treated as a single taxable person for VAT purposes at their own request or on the initiative of the tax authorities.

The Czech VAT legislation provides the possibility for VAT grouping. The supplies of the goods or services within the VAT group are not subject to Czech VAT.

1.3 VAT grouping

Czech VAT registered persons not established in the Czech Republic will be de-registered by the Czech VAT authorities, when they do not perform taxable supplies or zero-rated supplies within a period of six months. The de-registration process is initiated by sending a notification to the "dormant" non-established person. This process requires active communication with the VAT authority, to prevent the de-registration, which would result in forced repayment of previously deducted input Czech VAT on assets belonging to the "dormant" non-established person located in the Czech Republic.

Taxable persons not established in the EU who are registered for Czech VAT must appoint a Czech representative for accepting mail from the Czech VAT authorities (a 'mail representative', also see 1.4). This representative must have an active Czech DATABOX, assigned by law. Severe penalty applies if the representative is not assigned.

The supply of goods or services free of charge may be subject to VAT as a deemed taxable supply. Taxation of a deemed supply of goods and services occurs in general if the acquisition of goods and services entitled the purchaser to a full or partial input tax deduction. The tax authorities are focussing on the free consumption of goods and services by employees and owners of a business, and the relevant provisions in the Czech VAT Act are applied resulting in assessment of the output VAT.

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

It is possible to apply for an exemption of VAT on the importation of goods into the Czech Republic if it is followed by an intra-Community supply. The importer of record must be registered for VAT in the Czech Republic and the exemption code and VAT registration number of the importer and VAT registration number of the customer in the other EU Member State must be shown on the SAD import document.

2.3.2 Postponed accounting on importation

Czech VAT registered taxable persons importing goods from non-EU countries may defer the payment of import VAT to the regular VAT return. With this scheme, importers avoid payment of VAT at the time of importation that has to be reclaimed at a later stage (in the VAT return). Instead, the importer will have to account for the VAT due in its Czech VAT return. If the importer is entitled to a full deduction, the VAT due can be reclaimed in the same periodical VAT return. On balance, there is no payment of VAT.

Taxable persons that are not established in the EU can use the import VAT deferment scheme if they are registered for Czech VAT and appoint a representative in customs proceedings. This representative uses the Czech VAT number assigned to the non-EU established taxable person and his Economic Operator Registration and Identification (EORI) number.

3. Place of Supply

3.1 Consignment and call-off stock

There is a simplification for call-off stock in the Czech Republic. It applies to intra-Community acquisitions. It does not apply to imports.

Generally, a non-established taxable person bringing stock into the Czech Republic must be identified for VAT in the Czech Republic. However, a simplification for call-off stock applies and the VAT registration of a non-established taxable person could be avoided if the following conditions are met:

- the goods are intended for a buyer who receives the goods from another EU Member State;
- the buyer is registered for VAT in the Czech Republic;
- the seller and the buyer have a written frame purchase agreement;
- the ownership of the goods is transferred to the buyer when the goods are called off for the buyer's production process or resale; and
- the non-established taxable person is not registered or, otherwise, not required to register for VAT in the Czech Republic.

There is an obligation of the buyer to recognise the intra-Community acquisition the moment the goods are physically taken out (delivered) from the warehouse in the Czech Republic. This purchase by the Czech customer is treated as an intra-Community acquisition. From the Czech perspective, the above-mentioned sale of goods by the non-established taxable person is, therefore, not treated as a Czech local supply.

There is no simplification for consignment stock. The domestic supply of goods to Czech VAT registered final customers is subject to the domestic reverse charge mechanism, provided that the owner of the goods in stock is not established in the Czech Republic and not registered for Czech VAT as a taxpayer.

3.2 Installation supplies

Goods, supplied with installation or assembly, are treated as supplied where they are installed or assembled. In the Czech Republic, there is no formal definition of the notion "supply with installation or assembly". The VAT Law only stipulates that the goods may be installed or assembled by the supplier or by a third person. As concerns to pure installation services, the Czech VAT law refers directly to Council Implementing Regulation (EU) No 282/2011, Article 31a, paragraph 2, letter m) and letter f) to define the relationship of installation services to immovable property.

Construction work is seen as a supply of services if it falls within the nomenclature CZ-CPA codes from 41 to 43 valid as of 1 January 2015.

On both types of supplies the reverse charge may apply (see also paragraph 8.1.2).

3.3 Distance sales

The distance sales threshold for the Czech Republic is EUR 10,000 or the equivalent of this amount in Czech Crowns (approximately CZK 250,000).

It is possible to opt voluntarily for charging VAT in the Czech Republic before the threshold is exceeded. The taxable person must inform the tax authorities of the Member State of departure of the goods that he has opted for payment of VAT in the Czech Republic before the threshold is exceeded.

A Czech taxable person can opt to tax supplies in the EU Member State of destination but must notify the tax authorities in writing. The option is in both cases applicable for at least 2 years.

3.4 Simplified triangulation rules

Under the Czech VAT legislation, the simplified triangulation rules have been implemented in line with the EU VAT Directive. Under the relevant rules, the simplified triangulation rules apply if

- the Czech Republic is the country of arrival of the goods;
- the middleman (B) is not VAT registered or identified for VAT in the Czech Republic;
- the middleman states on the tax document:
- the same tax identification number that it communicated to the seller; and
- the indication "the tax will be paid by the customer".

Where the Czech Republic is the EU Member State of destination of the goods, the wording of the Czech legislation does not preclude the application of the triangulation rules if the middleman (B) is VAT registered in the country of dispatch, however, it does preclude the application of the triangulation rules if the middleman (B) is VAT registered for VAT or identified for VAT in the Czech Republic. The Czech rules also preclude application of the simplified triangulation to (part of) a supply chain consisting of more than three parties.

3.5 Acquisition threshold

The threshold for the acquisition of goods by non-taxable legal persons, taxable persons engaged in exempt activities and flat-rate farmers or SMEs from suppliers established in another EU Member State is CZK 326,000 (approximately EUR 13,000).

3.6 Effective use and enjoyment

The clause of "effective use and enjoyment" included in Article 59a paragraph b of the EU VAT Directive, is implemented in Article 9a of the Czech VAT Law. The use and enjoyment provision applies to B2B supplies where the customer is a taxable person established outside the EU and he is VAT registered in the Czech Republic. This applies to all services mentioned in Articles 44 and 56 of the EU VAT Directive. If the service is used and enjoyed in the Czech Republic, the place of supply will be the Czech Republic and the supplier must charge Czech VAT. The use and enjoyment rules also apply to B2C supplies but only for the rental of

means of transport. If the service is actually used in the Czech Republic, the supplier of the service will have to charge and pay Czech VAT. The use and enjoyment for the rental of transport works both ways, if the service is actually used outside the EU no Czech VAT is due.

4. Chargeable event & chargeability of VAT

4.1 Principles

In the case of a supply of goods or services, the VAT becomes chargeable at the time the goods or services are supplied. For goods, this is the date when they are put at the disposal of the purchaser. A domestic supply of goods involving their transportation is deemed to be carried out at the date the goods are delivered to the customer. A supply of service is deemed to be carried out at the date the service is finally executed or when the invoice is issued, whichever is earlier.

For intra-Community acquisitions of goods, the VAT becomes chargeable on issue of the invoice, latest on the 15th day of the month following the acquisition if no invoice has been issued by that time.

If VAT was unduly charged, this VAT becomes chargeable on the date of issuing the invoice on which that VAT was mentioned.

4.2 Advance payments

Where a payment is to be made on account before the goods or services are supplied, VAT becomes chargeable on receipt of the payment in case the object of the supply is sufficiently specified. This applies also to advance payment under the tour operator margin scheme (TOMS).

4.3 Continuous supplies

Services ongoing over a period of more than 1 year (12 months) are regarded as being supplied on the expiry of each full calendar year up to the time the provision of the services ceases. An exception to this rule applies to services of the attorneys and bankruptcy solicitors, if payment for their services is due by the government.

4.4 Cash accounting

Czech VAT legislation does not allow 'cash accounting'. VAT is chargeable when the advance payment is received, and/or VAT is chargeable when the supply is made or invoice raised, whichever is earlier. If an invoice is issued, the recipient of the invoice can reclaim the VAT upon receipt of the invoice under the normal conditions in the VAT return for the period in which he received this invoice. He doesn't have to wait until he paid the invoice.

5. Taxable amount

5.1 Bad debt relief

In the Czech Republic, bad debt relief is available to taxable persons, provided that the amount not yet paid by the customer became a bad debt as a result of the customer being (declared) bankrupt. Application to the tax authorities (a refund request) must be done at the latest 3 years from the original day of taxable supply. The supplier can submit the refund claim in the VAT return for the period of the declaration of bankruptcy by the court. A corrective tax document must be sent to the debtor. The 3 year period is paused during the bankruptcy proceedings.

5.2 Cash discounts Assume that the supplier sends the following invoice issued in the end of June:

"Supply of goods	EUR 1,000
21% VAT	EUR 210
Total to be paid	EUR 1,210

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount."

Payment is indeed received within 14 days, at the beginning of July. In that case, the supplier must pay EUR 210 in its June VAT return. The customer can deduct EUR 210 in its June VAT return. Therefore, the supplier paid too much VAT and the customer deducted too much. In late July, the supplier must send a credit note for the 2%. When the customer confirms the receipt of this credit note in July, the supplier has the right to decrease the output VAT and the customer must decrease the recovered input VAT in the July VAT return.

5.3 Open Market Value

In the event of a supply of goods or services takes place between related parties (with no full right to input VAT deduction) for reasons outside business purposes or for use of staff, the 'open market value' must be applied.

Open market value means the full amount that a customer at the same marketing stage at which the supply of goods or services takes place, would have to pay, under conditions of fair competition, to a supplier at arm's length, in order to obtain the goods or services in question at that time.

In line with Article 80 of the EU VAT Directive, the Czech Republic has implemented the following transactions for which 'the open market value' as the taxable amount must apply:

- where the consideration is lower than the open market value and the recipient of the supply does not have a full right of deduction; or
- where the consideration is higher than the open market value and the supplier does not have a full right of deduction.

The relevant provision in the Czech VAT Act contains the definition of what constitutes a related party for the purposes of that provision.

5.4 Returnable Packaging

Under the Czech VAT rules, the supply of the returnable packaging is not subject to VAT, provided that the payment for returnable packaging is guaranteed to be remitted at the return of the returnable packaging.

6. VAT rates

6.1 Standard rate

The standard rate in the Czech Republic is 21%.

6.2 Reduced rate

The reduced rate in the Czech Republic is 12% and applies for instance to:

- live animals;
- food except certain beverages;
- medication, if not exempt from VAT;
- regular public transportation services on road and in cableways and ski lifts;
- regular public transportation services on waterways;
- all accommodation services, including Airbnb and similar residential dwellings;
- catering services including tap water and milk (except beverages);
- sewage;
- supply of drinkable water in tubes;

The full list is shown in the Annexes 2 and 3 to the VAT Act. The list changes regularly in relation to changes of government of the Czech Republic.

- stay in Turkish bath and salt caves;
- access to cultural and sports events;
- renovation of old residential houses and social dwellings;
- construction of private houses and social dwellings; and
- funeral services for human bodies.

6.3 Super-reduced and zero rate

Zero rate and applies to:

- sale of paper books and non-advertisement magazines and newspaper, in CN headings 4901, 4903 to 4905, 4911 or 8523; and
- supply of electronic books.

7. Exemptions

7.1 Exemptions with right to deduction

The Czech Republic has a zero rate for the following supplies and services:

- exports and intra-Community supplies of goods;
- goods supplied to travellers resident outside the EU under retail export schemes or through tax-free shops;
- services in the framework of inward processing on behalf of principals resident outside the EU;
- sea vessels and aircraft and related goods and services;
- supplies made to customers with diplomatic immunity;
- supplies of monetary gold to central banks;
- international passenger transport by land, seagoing vessels and airplane; and
- provisioning of seagoing vessels, except for provisioning of vessels for inshore fishing with foodstuffs.

7.1.1 Intra-Community supplies

To prove zero rating in case of intra-Community supplies, certain documents are required.

The supplier must have transport documents proving the receipt of goods in the other EU Member State or a combination of certain documents, such as a copy of the sales invoice, proof of payment (from abroad), a purchase order or sworn statement of the customer (if available) that the goods were received by him. These documents, or a sufficient combination thereof, must provide sufficient evidence that the goods in question were transported to another EU Member State. The invoice must include a reference that a supply is exempt (e.g., "VAT exempt intra-Community supply, Article 138 of 2006/112/EC directive", VAT payable by the customer) and the VAT number of both the supplier and the customer.

7.1.2 Export supplies

The export of goods is exempt from tax in respect of the supply of goods which are dispatched or transported from the territory of the Czech Republic to a third country

(a) by the seller or a person authorised by the seller, or

(b) by the buyer or a person authorised by the buyer, if the buyer has no registered office, place of residence or establishment in the Czech Republic.

To apply a zero rate in case of exports, the exporter must issue the export invoice based on Article 33a of the VAT Law and in addition to that required evidence in its files that the goods have left the EU based on the judgment of the Court of Justice in Case C-275/18 Vins:

- an export declaration with a confirmation that the goods have left the EU issued by the Customs Office.

In case the above document is missing, the following evidence are required:

- transport documents (bills of lading/CMR) signed by the customer on receipt of the goods;
- import documents stamped by the non-EU customs authorities;

- payment from outside the EU; and
- invoices from providers of transport and customs procedures.

7.1.3 Warehousing

7.1.3.1 VAT warehouse

The Czech Republic does not allow VAT warehouses.

7.1.3.2 Excise warehouse

On the intra-Community acquisition and on import of excise goods (alcohol, tobacco, fuels), these can be placed in excise warehouse with suspension of excise duties. This does not apply to the VAT due on the transactions.

7.1.3.3 Bonded warehouse

It is possible to place the goods in a bonded warehouse procedure in the Czech Republic. If the goods coming from a third country are directly placed under a bonded warehouse procedure, no customs duties and no VAT become due. When the goods are released from the warehouse for free circulation, duties and VAT become due. An importer who releases the goods into free circulation becomes responsible for the declaration of the import VAT.

The release of goods from a bonded warehouse regime does not constitute an importation if the goods are subsequently placed under another customs procedure, other than 'Import'.

The sale of goods while they are placed in a bonded warehouse regime is subject to Czech VAT. Evidence that the sale took place in the bonded warehouse should be kept in the files (i.e., list of the transactions from the warehouse keeper, the agreements, the invoices, etc.). The supplier makes a domestic Czech taxable supply and is obliged to charge output VAT.

If the supplier is not registered for Czech VAT, and the purchaser is registered for Czech VAT, the domestic reverse charge supply applies. The purchaser must self-assess the Czech VAT on purchase of the goods within the bonded warehouse.

7.2 Exemptions without the right to deduction

7.2.1 Exemptions in the public interest

Examples of exemptions in the public interest are:

- hospital services;
- medical care;
- ambulance services;
- services rendered by dentists;
- basic postal services and sale of postal stamps;
- social care, and
- education.

Some exemptions, however, are granted on the condition that the supplier is a non-profit institution and/or on the condition that no distortion of competition will occur because of the exemption.

7.2.2 Other exemptions

Examples of other exemptions are:

- financial and banking services;
- insurance services;
- certain games of chance and lotteries;
- non-commercial activities of public radio and television broadcasting organizations;
- letting and supply of immovable property;

- services by employers' or employees' organizations; and
- political, religious, charitable organizations, etc.

The Czech Republic does not provide the possibility to opt for VAT on financial services.

Specifically excluded from the VAT exemption applicable on letting and supply of immovable property are accommodation services. These services supplied by hotels and private individuals (Airbnb) fall within CZ-CPA 55 category of services and are always taxable.

7.3 Option for taxation

Regarding the supply and the letting of immovable property parties may opt to tax these transactions for VAT purposes.

There are conditions for exercising the option to tax the letting of immovable property. The supplier may opt for VAT and subject the rent to Czech VAT if the customer is registered for Czech VAT. The supplier must make it explicit, for example, in the contracts, price lists and on the invoices. Owners of real property cannot opt for VAT in lease relationships between two VAT payers for leases of dwelling apartments, the building or a family house in accordance with the legislation governing the land register, and land which includes the construction of a family house, living space or the building referred to in which the land is leased.

It is not possible to opt for taxation of financial services.

8. Liability

8.1 Reverse charges

In the Czech Republic there are several obligatory reverse charge rules in place besides the reverse charge for general B2B services provided by non-resident suppliers to taxable persons and legal entities with a Czech VAT ID number established in the Czech Republic. This reverse charge applies in all EU Member States and follows from Art. 44 and Art. 196 EU VAT Directive. There is also the reverse charge in the Czech Republic for the supply of natural gas and electricity supplied by non-resident suppliers to 'taxable dealers'.

8.1.1 General reverse charge - non-resident suppliers (Article 194 Directive)

A distinction should be made between the supply of services and the supply of goods.

Services

The reverse charge applies to all supplies of services by a non-established supplier if the customer is a taxable person in the Czech Republic who is obliged to declare and pay the tax in the Czech Republic. This includes non-established customers registered for VAT in the Czech Republic. The reverse charge also applies if the customer is a non-taxable legal person established in the Czech Republic. The reverse charge does not apply if the supplier is VAT registered in the Czech Republic in case of supply of goods with installation or assembly.

Goods

The reverse charge applies to the supply of goods if the customer is a taxable person registered for VAT purposes in the Czech Republic. This includes non-established customers registered for VAT in the Czech Republic. The reverse charge does not apply if the customer is a non-taxable legal person established in the Czech Republic. The reverse charge does not apply if the non-established supplier is VAT registered in the Czech Republic.

On the invoice, reference should be made to the application of the reverse charge. A non-established supplier could use the following text on the invoice: "VAT due by the recipient under Article 108 of the Czech VAT Act".

8.1.2 Specific domestic reverse charges (Article 199 EU VAT Directive)

A domestic reverse charge applies to the following supplies of goods and/or services between two Czech VAT registered taxpayers, based on government decree, if applicable:

- the supply of construction work, if both supplier and customer are registered for Czech VAT;
- the supply of old (used) materials, scrap, waste and specific connected services;
- the supply of investment gold;
- the supply of CO₂ Emission Rights; and
- the supply of 'hot goods' specified by the governmental decree Nařízení vlády č. 361/2014 Sb. as a mechanism of prompt reaction to tax fraud concerning specified 'hot' commodities, such as sugar beets and oily seeds, mobile phones and laptops.

A supplier must refer to the reverse charge. The following text must be mentioned on the invoice in the Czech language "dát odvéde zázkazník".

8.2 Joint and several liability

Liability of the authorized recipient of excisable goods

An authorised recipient of excisable goods who has incurred an obligation to declare and pay excise duty in connection with the receipt of selected products from another Member State shall be liable for the unpaid VAT on the supply of these goods to a third party by a person who purchased them from another Member State.

Liability of the recipient of taxable supply

A Czech VAT registered taxable person purchasing goods or services from another Czech VAT registered taxable person is jointly liable for the VAT if at the time of the taxable supply or provision of the payment for such supply he knew or should have known and could have known that the VAT would not be paid by the supplier to the VAT authority. When such supplier intentionally avoids payment of VAT at the time of supply, the recipient is obliged to pay this VAT to the VAT authority.

Unreliable VAT registered person

Czech VAT registered taxable persons may be declared by the Czech VAT authority as an 'unreliable VAT registered taxable person' if they lose the trust of the VAT authority. When the supplier is declared on the public website as an unreliable VAT registered taxable person at the time of supply, the recipient is obliged to pay the VAT to the VAT authority, in case it is not paid by the supplier (split payment).

9. Recovery of input VAT

9.1 Non-recoverable input VAT

The input VAT is not recoverable if incurred or due on costs related to:

- entertainment that is not tax deductible in the meaning of the Czech Income Tax Law;
- business gifts where the value per item exceeds CZK 500 (approximately EUR 20); and
- purchase of an ordinary passenger (saloon) car for the part of the price that exceeds CZK 2 million. VAT is only recoverable up to CZK 420,000 if the taxable supply was performed more than two years ago, unless the supply was subject to reverse charge.

9.2 Excess input VAT

Excess input VAT is immediately recoverable and refunded by the VAT authorities within 30 days after filing the VAT return unless a VAT audit is performed.

9.3 Adjustment periods - Capital goods

- immovable property - 10 years following the year of first use
- movable property - 5 years following the year of first use

The Czech Republic does not have an adjustment period for services which are capitalised.

9.4 VAT refunds to EU taxable persons

The refund application for Czech VAT must be submitted electronically through the portal of the tax authorities of the country in which the claimant is established.

The annual minimum limit (for claims that are made for a calendar year or the remainder of a calendar year) is EUR 50. The interim minimum limit (for claims that are made for less than a calendar year but at least 3 months) is EUR 400.

The minimum period for making a claim is 3 consecutive calendar months in one calendar year unless it is a remainder of the year. The maximum period for making a claim is 1 calendar year. The deadline for submitting the claim is 30 September of the year following the year over which a claim is made. If the claim is filed after the deadline of 30 September, then no appeal can be filed.

If the application is not accepted, no notification of such denial is sent to the claimant by the competent Czech VAT authority, department Praha 1. The claimant must contact its home Member State VAT authority to obtain a confirmation that the claim was accepted by the Czech VAT authority.

Example: In the decision of the denial of an appeal by the Appellate Tax authority from March 2023 it is written:

.....In both cases, it was automatically excluded because it contained an incorrect application period, and in general, a validation report is always generated automatically by the system, which is sent to the country of establishment of the applicant (taxpayer). In addition, the Appellate Body also states in general terms that this validation report is not sent directly to the taxpayer, but to the tax administrator of the applicant's country of establishment. It is therefore within the jurisdiction of each Member State whether to notify its taxpayer of the ineffectiveness of such a submission and of the possibilities of remedy..... On the contrary, the system is set up in such a way that the Czech tax administrator informs about the receipt of the request for processing. If the claimant did not receive this communication, he should have been interested why its submission was not effective and, if necessary, to repeat the application for VAT refund within the deadline specified in the law (i.e. in this case by 30 September 2021).

The constitutional court decided that the wording of the Czech VAT Act § 82b (2) "delivery of the decision is valid as of the date, when the e-mail was sent to the claimant" is in breach of the constitutional right of the claimant. More can be found in the court decision "PL.US 23/20 ze dne 18. 5. 2021".

Supporting documents (e.g., the original hardcopy invoices) are generally required to be sent to the Czech VAT authorities by post. Often, in certain cases the tax authorities may require additional information.

The tax authorities must issue a decision on the refund claim within 4 months of receipt of the claim. The period in which the authorities must decide will be extended to 6 months or 8 months where the authorities request additional information. Instead of other methods of delivery, the tax administrator may deliver documents in the matter of tax refund electronically via the public data network to the e-mail address specified in the application for tax refund; this document is deemed to have been delivered on the tenth day following the day on which the data message was sent.

If a refund is granted, it will be processed within 30 days and paid to the bank account number provided to the tax authorities. The time limit for appeals is 30 days following the decision. If this appeal is unsuccessful, the claimant can initiate proceedings before the Czech administrative court (within 2 months after a receipt of the decision on appeal).

The input VAT is not recoverable in case of:

- supplies of goods and services that are not used for business purposes;
- supplies and services acquired or imported in connection with an exempt business activity; and
- refreshments and entertainment.

9.5 VAT refunds to non-EU taxable persons

The Czech Republic does require reciprocity when refunding the VAT to non-EU taxable persons. The VAT is refunded to taxable persons resident in:

- Bosnia and Herzegovina,
- Kingdom of Norway,
- the United Kingdom of Great Britain and Northern Ireland, or
- Swiss Confederation.

Public information should be available in respect of the reciprocity principle at the "Finanční zpravodaj" of the Ministry of Finance of Czech Republic.

<https://tinyurl.com/2vyt6b5>

Each non-EU claimant not established in the above mentioned countries is advised to request in writing, whether the taxable person established in his country is entitled to Czech VAT refund based on the reciprocity principle.

To submit a VAT refund request, the foreign taxable person must file a request in a form issued by the Czech tax authorities 25 5247 MFin 5247 - vzor č. 2.

The link where the application form can be downloaded is: <https://tinyurl.com/2eyhy372>

The annual minimum limit (for claims that are made for a calendar year or the remainder of a calendar year) is CZK 1,000 (approximately EUR 40). The interim minimum limit (for claims that are made for less than a calendar year but at least 3 months) is CZK 7,000 (approximately EUR 280).

The minimum period for making a claim is 3 consecutive calendar months in one calendar year unless it is a remainder of the year. The maximum period for making a claim is one calendar year.

The deadline for making a claim is 30 June of the year following the year over which the claim is made. If the claim is filed after the deadline of 30 June, then no appeal can be filed.

The claim must be delivered to the following address:

Finanční úřad pro hlavní město Prahu
Světpánka 619/28

111 21 PRAHA 1
The Czech Republic

The following documents must be sent together with a claim:

- a declaration of entrepreneurship, preferably from the tax administration in a country where a foreign person is established;
- the original invoices; and
- an affidavit stating there are no economic activities in the Czech Republic.

The tax authorities must issue a decision on the refund claim within 6 months of receipt of the claim (application and all supporting documents). If the tax authorities request additional information, the 6-month period will be suspended until the claimant has complied with its obligation to provide the necessary information.

If a refund is granted, it will be made in CZK directly to the claimant and paid to a bank account in the Czech Republic or in the state in which the claimants bank is established. In the latter case, the claimant will pay bank charges for the transfer.

The time limit for appeal is 30 days following the decision. If this appeal is unsuccessful, the claimant can initiate proceedings before the national court (within 2 months after receipt of the decision on appeal).

The input VAT is not recoverable in case of:

- supplies of goods and services that are not used for business purposes;

supplies and services acquired or imported in connection with an exempt business activity;

- restaurant and catering; accommodation services, travel costs;
- entertainment;
- telephone costs;
- fuel for means of transportation; and
- taxi costs.

NOTE: the refund according to the information above applies only to a request for refund of Czech VAT submitted before the end of 2025. Different rules will apply from 2026.

10. Administrative obligations

10.1 Invoices

10.1.1 Invoice content

A VAT invoice can be in an electronic or a paper form and must contain the following information:

- full name and address of the supplier of goods or service provider;
- VAT registration number under which the supply of goods or services is performed;
- full name and address of the customer/recipient;
- VAT registration number of the customer;
- invoice number (unique number);
- quantity and a clear description of the goods or services supplied;
- date at which the invoice is issued;
- date of the taxable point or the date on which the advance payment is received, if different from the date of invoice;
- unit price and the discount, in case the discount is not included in the unit price;
- taxable amount;
- applied VAT rate;
- VAT amount which must be shown in the Czech currency “CZK”; and
- further information:
 - in case of self-billing the following reference is required “vystaveno zakaznikem”;
 - reference to a specific Article and “osvobozeno od dane”, if a supply is VAT exempt;
 - reference to the reverse charge: “dan odvede zakaznik”, if VAT is imposed on the recipient on a domestic reverse charge principle; and
 - reference to the special scheme if any special scheme is applied, e.g., the reference “zvláštní režim - cestovní služba” in case the travel agents’ margin scheme is applied; “zvláštní režim - použití zboží” (second-hand goods), “zvláštní režim - umělecká díla” (arts) and “zvláštní režim - sběratelské předměty a starožitnosti” (antiques).

A VAT invoice must be issued within 15 days following the taxable point.

10.1.2 Time limits

In case Czech VAT is charged, the amount of Czech VAT must be stated in Czech crowns (CZK). All financial information on the invoice can be stated also in any other currency. The invoice can be payable in any currency.

10.1.3 Currency

10.1.4 Conversion and exchange rate

When converting the amount of VAT into CZK, the amount in foreign currency must be converted into CZK using the last official conversion rate of the Czech National Bank or the European Central Bank on the day of the tax point.

<https://tinyurl.com/34f7mdtf>

10.1.5 Self-billing

Under Czech VAT legislation, self-billing is allowed in case there is a written agreement between the two parties. In case an electronic agreement is concluded, it must be electronically signed with a valid electronic signature of the supplier.

10.1.6 Simplified invoice

A simplified invoice must contain the following information:

- date of issue;
- identity of the supplier of the goods and/or services;
- type of goods or services supplied; and
- the VAT amount payable or the information needed to calculate it.

It is possible to issue a simplified invoice if the amount of the invoice is not higher than CZK 10,000.

10.1.7 Storage of invoices

Invoices and other VAT documents must be stored for a period of 10 years. The place of storage must be announced in advance to the tax authorities if this storage is outside the Czech Republic.

Invoices can be stored in any form, i.e., received paper invoices can be stored in electronic form and vice versa.

10.1.8 Electronic invoicing

The taxable person can choose any form for the electronic invoicing if the authenticity of origin, integrity of content and readability are guaranteed. A customer must explicitly agree with the acceptance of an EDI invoice.

10.2 Compliance

10.2.1 VAT return period

The standard VAT period is a calendar month. A small business from its third year of registration may file a quarterly return after notifying this to the tax authority, provided that its turnover did not exceed CZK 15,000,000 (approximately EUR 600,000) in the preceding calendar year. There is no annual return. A VAT registered taxpayer must submit an electronic VAT return for each periodic tax return 25 5401 MF in 5401 – vzor č. 25.

<https://tinyurl.com/mpzxthv>

Non-established taxpayers are not obliged to file VAT returns for periods of no taxable activity.

10.2.2 Filing of VAT return and payment

The VAT in Czech Crowns due must be received on the CZK bank account of the VAT authorities by the 25th day of the month following the reporting period (i.e., the VAT due for October 2025 must be received by the VAT authorities by 25 November 2025). The same applies for the electronic filing of the periodic VAT return. The guidelines 25 5412/A MF in 5412/A – vzor č. 19 for filing of VAT return are available in English at the following link.

<https://tinyurl.com/3xwx792k>

10.2.3 European sales listing

A European sales listing VAT Information Exchange System (VIES return) must be submitted on a monthly basis if an intra-Community supply of goods is performed. The European sales listing for services can be submitted on a quarterly basis, in case in that period no intra-Community supply of goods is performed, and the person has a quarterly tax period. Otherwise, the European sales listing for services must be filed monthly if an intra-Community supply of services is performed.

A taxable person making intra-Community supplies must submit an electronic European sales listing return by the 25th day of the month following the reporting period.

An explanatory note to the European sales listing is attached to the electronic form on the website of the Financial Authority. The guidelines 25 5525 MFin 5525 - vzor č. 5 can be found here:

<https://tinyurl.com/46mknzfw>

Special purchases listing must be filed for the intra-Community acquisition of goods in the Czech Republic (see 10.2.4).

10.2.4 National recapitulative statement and intra-Community acquisition reporting

The VAT listing in the Czech Republic must be submitted in case the domestic VAT is due or VAT recovery is applied. This must be submitted by the 25th day of the month following the reporting period, no exemptions neither later filing are tolerated. Both supplier as well as the customer who claims the input VAT must submit the domestic VAT listing. This means that for one domestic supply two statements are filed, in which the data relating to one invoice should match each other for any invoice higher than CZK 10,000. In case of intra-Community acquisition of goods and services, the customer registered for Czech VAT as a taxpayer must report this acquisition.

Every VAT document for a supply amounting more than CZK 10,000 including VAT must be recorded on the domestic VAT listing in the Czech Republic line by line. Supplies below this threshold are reported in a summary box.

National recapitulative statement in the Czech Republic on the website of the Financial Authority in the Czech language for information purposes only:

<https://tinyurl.com/wwwa3mrv>

and the guidelines:

<https://tinyurl.com/2xapn9cx>

10.2.5 Tax assessment period

The tax assessment period in the Czech Republic is 3 years (36 months). This means that, for example, in June 2025, the last open tax period for assessments is May 2022.

10.3 Penalties

10.3.1 Default penalties for late registration

The tax authorities will issue a penalty of 20% for all tax due as of the day of the breach of the registration obligation, and interest of 8% per year plus (about 3.75%) Repo Rate of the Czech National Bank.

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

If the VAT return is not filed in time, the penalty is not more than CZK 300,000 (approximately EUR 12,000). The penalty is calculated with a maximum of 5% of the VAT liability. Everyday arrears of 0.05% of the VAT liability is accrued. The same applies for the VAT refund.

If the European sales listing is not filed in time, the VAT authorities can issue a fine of up to CZK 50,000 (approximately EUR 2,000).

If the national recapitulative statement is not filed in time, the VAT authorities will issue a fine from CZK 1,000 to CZK 50,000 (approximately EUR 2,000).

10.3.3 Default penalties for not paying VAT on time to the VAT authorities

If the VAT is not paid in time, the VAT authorities must assess an interest on the VAT in arrears calculated as 8% per year plus Repo Rate of the Czech National Bank. Maximum interest is for 5 years of arrears. If the VAT is paid within 5 days after the date it should have been paid, no penalty will be issued.

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

If the VAT is not declared up to the correct amount, the VAT authorities will also impose a penalty. If the VAT is paid based on a voluntarily disclosure, no penalty is imposed. In other cases, the penalty is 20% of the increased VAT liability or decreased VAT refund.

10.3.5 Offence penalties

In case of gross negligence, a penalty up to CZK 500,000 can be levied. This applies for intentional noncompliance with VAT registration obligation or omission to keep the VAT ledger.

10.4 Intra-stat

In the Czech Republic, separate monthly Intra-stat returns must be submitted to the Customs Office.

10.4.1 Intra-stat threshold

The Intra-stat threshold separately for both the arrivals and the dispatches is CZK 15,000,000 (approximately EUR 600,000) in the calendar year.

10.4.2 Intra-stat data to be reported

- EU Member State of dispatch or destination;
- reference period (i.e. the reporting month);
- nature of the movement of the goods (i.e. arrival or dispatch);
- HS code (8-digit harmonised commodity code according to the Combined Nomenclature (CN));
- invoice value of the goods in CZK;
- quantity of the goods (i.e. net weight in kilograms);
- other measure for certain goods (e.g. litres, thousands of pieces, or number of pairs);
- country of origin (e.g. where the goods are produced, made or processed);
- nature of the transaction (e.g. purchase, sale, return of goods, relocation, etc.);
- means of transport, (e.g. by road or by sea);
- delivery conditions based on Incoterms 2020; and
- VAT registration number of the recipient of the goods for delivery to another EU Member State.

Intra-stat data for distance sales

It is obligatory to file an Intra-stat for distance sales in case the distant sales are reported in the Czech VAT return. In case the distant sales are taxable in the EU member state of the consumer, and are not subject to Czech VAT, the value must be reported in a special box 24 of the VAT return, for all distant sales to all above mentioned EU Member States on one amount.

10.5 Additional compliance requirements

10.5.1 Special withholding scheme - split payment

Article 109a of the Czech VAT Act provides a special withholding (split payment) scheme which must be considered for supplies carried out by 'unreliable taxable persons' in the Czech Republic in special cases. Accordingly, the customer is allowed to withhold the VAT on the transaction and to pay it to the Czech tax authorities in the name and in behalf of the supplier.

If the withholding scheme applies, the customer will transfer the net consideration to the supplier whereas the VAT will be paid to the supplier's responsible tax authority on a special account. If the customer does not make a split payment he can be held liable by the tax authority for the VAT unpaid by the supplier.

Information is received from:

The European Union (EU) VAT Directive is implemented in Denmark through the *“Bekendtgørelse af lov om merværdiafgift”/“Momsloven”*. This is supplemented by a number of other legislative acts, primarily the *“Bekendtgørelse om merværdiafgiftsloven”/“Momsbekendtgørelsen”*.

VAT is generally referred to as *“merværdiafgift”* or *“moms”* in Danish.

1. Taxable person

1.1 Registration threshold & SME Scheme for domestic taxable persons

The general threshold for registration for VAT purposes in Denmark for domestic businesses is DKK 50,000 (approximately EUR 6,000).

Applications for registration for VAT should generally be sent to the Danish Business Authority (“Erhvervsstyrelsen”).

Erhvervsstyrelsen
Langelinie Allé 17
DK-2100 Copenhagen Ø

Registration for VAT purposes is carried out online on the website www.virk.dk

1.2 Registration threshold & SME Scheme for foreign taxable persons

Small businesses from other EU Member States who apply the scheme for small businesses in the country of establishment:

- with an annual turnover in the EU of less than Euro 100,000;
- and an annual turnover of less than Euro 6,000 in Denmark;
- who gave advance notice to the country where the small business is established about the application of exemption for small businesses; and
- who can be identified using an individual registration number assigned by the relevant authorities in the country of establishment

may also choose to apply the exemption in Denmark as of 1st of January 2025.

For foreign legal entities liable to register for VAT in Denmark that cannot apply the exemption for small businesses, there is no registration threshold. Usually, non-resident taxable persons are liable to register for VAT purposes as soon as they initiate VAT-taxable activities in Denmark.

Taxable persons must apply for a registration for VAT no later than eight days before the initiation of VAT-taxable activities in Denmark.

Direct registrations must be sent to the Danish Business Authority in Copenhagen.

Erhvervsstyrelsen
Langelinie Allé 17
DK-2100 Copenhagen Ø

Registration for VAT purposes is generally carried out online on the website www.virk.dk. It is, however, possible to use form 40.110 for manual registration. Foreign entities with direct registration need to apply for registration manually.

Registrations through the appointment of a fiscal representative must also be sent to the Danish Business Authority.

Non-EU taxable persons, on the other hand, are liable to appoint a fiscal representative jointly liable for VAT due to the Danish tax authorities when registering for VAT in Denmark. Normally a bank guarantee or other type of security is required by the representative.

However taxable persons established in the Faroe Islands, Greenland, Iceland, Norway, UK and the Isle of Man must appoint a fiscal representative who is jointly liable for import.

For EU taxable persons and taxable persons established in the Faroe Islands, Greenland, Iceland, Norway, UK and the Isle of Man, fiscal representation is optional and these taxable persons are accordingly not obliged to appoint a fiscal representative. The fiscal representative is not jointly liable for VAT in case EU taxable persons or taxable persons from the Faroe Islands, Greenland, Iceland, Norway, UK and the Isle of Man opt to appoint one.

1.4 Fiscal representative

The members of the VAT group are jointly liable for VAT.

When forming a VAT group in Denmark, the members of the VAT group hold one common VAT number for all future purposes. Thus, a single VAT return is filed by the group consolidating the VAT accounts for all group members. The common VAT number is also the relevant VAT number for all group members with respect to EU sales and EU acquisitions. This will create a problem for validation purposes given that only the name of the representative member appears on the EC VIES VAT number validation website. It will thus not be possible to validate through the website the VAT registration number of the other members of the VAT group, given that their names do not appear on the validation confirmation. However, it is possible to show documentation that these companies form part of the VAT group.

VAT grouping is optional.

Foreign companies cannot be included in the VAT group unless they have a fixed establishment in Denmark in the form of a branch.

In order to form a VAT group, the members of the group must all be:

- established in Denmark;
- VAT-taxable persons or; and
- non-taxable persons, fully owned (by direct or indirect ownership of all shares etc.) by a company included in the VAT group.

VAT grouping is possible in Denmark. Generally, supplies of goods and services between the members of the group are outside the scope of VAT. Further, supplies to or from one or more group members towards third parties are treated as being supplied by the group, and not by the individual group member.

1.3 VAT Grouping

It usually takes one to two weeks to register for VAT purposes after all required documents are submitted to the Danish Business Authority. There is no need to apply for a separate VIES registration.

The application form must be signed by the person authorized to sign on behalf of the company and in the case of fiscal representation, the representative.

Furthermore, due to money laundering rules, the Fiscal Representative needs the following from the represented:

- a copy of the Articles of Association;
- information on the real and beneficial owners of the company; and
- copies of two identification papers (i.e., passport, driver's license) of the beneficial owners.

In general, foreign taxable persons must enclose the following with the application form:

- a copy of the company's registration certificate in the country of establishment; and
- a power of attorney in the case of fiscal representation.

The fiscal representative is required to file a VAT return for non-EU taxable persons as well as to keep separate accounts for all non-EU taxable persons which the fiscal representative represents.

2. Taxable transactions

2.1 Transfer of business

In the event of a transfer of a going concern, either wholly or partially, no taxable supply of goods or services is considered to have taken place. In order to apply this rule, the following conditions must be met:

- the transferee is VAT registered or will become so at the time of the transfer;
- all, or an autonomous part, of a business (assets, stocks, goodwill) is transferred;
- the transferee continues, without a substantial discontinuation, to carry out a business of the same nature;
- the transferor ceases the activity; and
- the transferor notifies the Tax Agency of the transfer within eight days.

Although the transfer of a business that meets these legal conditions is not taxed with VAT, there are VAT consequences. The taxable person who takes over the business of the transferring entity takes over all rights and obligations, claims, liabilities and responsibilities for VAT such as the remainder of the adjustment periods for (im)movable tangible property (see also paragraph 9.3).

2.2 Supplies free of charge

The free supply of 'gifts of small value' is not VAT-taxable in Denmark if the purchase price per item is less than DKK 100 (approximately EUR 13,50) excluding VAT.

The free supply of 'product samples' are also not VAT-taxable in Denmark. The 'product samples' must be provided for marketing purposes. 'Product samples' can, for example, be handed out as free product in connection with:

- recruitment of new customers;
- recording of orders;
- introduction of new products; and
- sales campaigns for already marketed products.

'Product samples' can be ordinary copies of the product but will often be a special edition in a smaller format. In contrast to 'gifts of small value', there is no limit of DKK 100 for 'product samples'.

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

The importation of goods which is followed by an intra-Community supply is VAT-exempt, if the supply to the other EU Member State is VAT-exempt. The importer must be VAT registered in Denmark.

To avoid fraud, the importer must have informed the Danish Tax Agency of its VAT identification number - or if not established in Denmark - the VAT identification number of the fiscal representative before the importation. Also, the VAT identification number of the company to which the goods are delivered must be communicated to the Danish Tax Agency.

Furthermore, the authorities might demand documentation verifying that the intra-Community supply to another EU Member State actually has taken place.

2.3.2 Postponed accounting on importation

Postponed accounting on importation is possible in Denmark by choosing the Danish tax authorities warranty scheme or similar (i.e. bank guarantee). The importer is then not required to settle VAT at the time of importation. Instead, reporting and possible payment of any VAT due on the importation will be settled via the importer's general, periodic Danish VAT return.

From 2021, the rules and thresholds for distance sales (both intra-Community distance sales and distance sales of imported goods) have been harmonized across the EU with no leeway for Member States. The distance selling threshold for sales to customers in other EU Member States without a VAT registration number (e.g. private individuals) is now EUR 10,000 for intra-Community distance sales. Turnover generated from the supply of 'electronically supplied services', telecommunications services and broadcasting services are included in the EUR 10,000 threshold. A threshold of EUR 150 per consignment applies for the application of the special scheme for distance sales of imported goods.

3.3 Distance sales threshold

The handing over of certain construction works are treated as a service.

number.
If a foreign supplier installs and/or assembles goods in Denmark, the reverse charge applies if the customer is a taxable person established in Denmark or he is not established in Denmark, but he has a Danish VAT number.
In practice, however, such supplies commonly refer to placing/installing, integration, the laying down of more permanent elements (e.g. pipes), setting up something and, of course, assembling.
The Danish VAT rules refer to the supply of goods with installation or assembly, but do not provide specific, formal definitions of the terms "installation" or "assembly".

3.2 Installation supplies

acquisition.
When the conditions are met, the seller is considered to have made an exempt intra-Community supply at the time the customer removes the goods from the stock. The customer must report an intra-Community acquisition.
• the seller registers the transfer of the goods in a register and indicates the buyer's identity and VAT number.
• the buyer is VAT registered in Denmark, and buyer's identity and VAT number is known by seller at the time of dispatch; and
• the seller is not established in Denmark;
• the seller and the buyer are taxable persons and have entered into a consignment agreement;
VAT at the time of transfer under the following conditions (among others):
Transfer of own goods to a consignment or call off stock in Denmark does not trigger VAT registration or The Danish rules concerning goods on consignment and call-off stock are in line with the EU VAT Directive.

3.1 Consignment and call-off stock

3. Place of supply

coffee, nuts and others.
In many situations, importers are obliged to register for excise duty purposes and pay the duty on a periodical basis instead of at the time of importation. Some examples: alcoholic beverages, batteries, chocolate, tobacco, if the foreign company is VAT registered in Denmark.
Any importer of goods from non-EU companies into Denmark must apply for an import licence. Non-EU companies are required to have a fiscal representative. The deferment of VAT on importation is only possible

to settle on the importation and no loss of liquidity.
Danish VAT deductibility. Thus, in cases of a full VAT deductibility on the importation, there will be no VAT same time and in the same VAT return deduct VAT on the importation according to the importer's general As VAT may be settled this way instead of settling VAT at the time of importation, the importer may at the

If the services mentioned above are provided by a Danish taxable person to a taxable person established outside the EU or a non-taxable person resident outside of Denmark (only the first 8), they are subject to VAT in Denmark, if the foreign buyer primarily used and enjoyed the service in Denmark.

- broadcasting services (only B2B);
- telecommunication (only B2B); and
- transport and transmission of gas, electricity, heat and cold;
- hiring out of movable tangible property, except all means of transport;
- supply of staff;
- banking, financial and insurance transactions, except hire of sales;
- obligations to refrain from pursuing or exercising a business activity or a right;
- services of consultants etc., lawyers, data processing and information;
- advertising services;
- transfer and assignments of copyrights etc.;

VAT, if they are primarily used and enjoyed outside the EU:

The purchase of the following services by a recipient who is established in Denmark, is not subject to Danish

3.6 Effective use and enjoyment

Non-taxable legal persons and taxable persons not registered for VAT (e.g. due to having VAT-exempt activities) who are established in Denmark, are not liable to register for VAT on intra-Community acquisitions as long as the total value of these acquisitions, excluding VAT, does not exceed DKK 80,000 (approximately EUR 10,000) in the current calendar year or in the previous calendar year. Taxable persons not established in Denmark are always liable to register for VAT in Denmark on intra-Community acquisitions.

3.5 Acquisition threshold

The simplified triangulation can also be applied in the case of 4 parties where Denmark is the country of arrival and parties C and D are VAT registered in Denmark. If party A or B arranges the intra-Community transport from A to D, party B may apply the simplification. Of course, also the other conditions must be fulfilled. Party C must charge Danish VAT to party D.

Where Denmark is the EU Member State of arrival of the goods, the wording of the Danish legislation does not preclude the application of the triangulation rules if the middleman (B) is VAT registered in Denmark or in the country of dispatch. It does preclude the application of the triangulation rules if the middleman (B) is established in Denmark.

- the middleman (B) issues an invoice without VAT but referring to a simplified triangulation and the VAT liability of the last acquirer (C);
 - the middleman (B) is not established in Denmark; and
 - Member States;
 - the taxable persons participating in the transaction have been identified for VAT purposes in 3 different
 - Denmark is the country of arrival of the goods;
- The simplified triangulation rules can be applied if (among other conditions):

directly from A in country 1 to C in country 3.

Taxable persons A, B and C in the ABC transaction must be registered for VAT in different EU countries (i.e. in countries 1, 2 and 3). The transport must be organized by either A or B. The goods must be transported

The simplified triangulation rules in Denmark have been implemented in line with the EU VAT Directive.

3.4 Simplified triangulation rules

Once the threshold is exceeded the supplier may either register directly in Denmark or in their country of establishment via One Stop Shop (OSS) to account for Danish VAT for their distance sales to Denmark.

4. Chargeable event & chargeability of VAT

4.1 Principles

The tax liability for most goods arises at the time of delivery or passage of title to the goods. For services the tax liability arises at the time of completion of the service.

In cases where an invoice is issued for a delivery before or soon after the end of the delivery, the invoicing time is considered the delivery time.

In cases where payment takes place in whole or in part before the end of the delivery, or before an invoice is issued, the time of payment is considered the time of delivery.

There is no time limit for issuing invoices. Generally, the invoice should be issued at the time of delivery or soon thereafter, and at any case no later than what is standard for the industry in question.

For VAT-exempt intra-Community supplies, the invoice must be issued no later than by the 15th day of the month following the month of supply.

4.2 Advance payments

If payments are made up front, invoices for such payments must be issued.

4.3 Continuous supplies

In the case of delivery of goods or services that result in several consecutive settlements or payments, the time of delivery is considered to be at the end of each of the periods to which these settlements or payments relate.

For continuous supplies of services within the EU, where the recipient of the services is liable for the VAT,

the time of supply is considered to be every last day of the calendar year, when the supply of the services has extended over a period of more than 1 year without intermediate settlement or payment for the services, and as long as the supply of the services is not completed.

4.4 Cash accounting

Denmark did not implement a cash accounting scheme which is based on Article 66 of the EU VAT Directive.

5. Taxable amount

5.1 Bad debt relief

Relief for payment of sales VAT on supplies made to a debtor unable to pay for the supply (bad debt relief) has been implemented in Denmark.

In general, the loss must be identified/proved, either by being included in a bankruptcy, a forced or voluntary debt agreement, a foreclosure or something similar.

VAT on bad debts of less than DKK 3,000 (approximately EUR 400) may be relieved if the supplier has

effectively sought recovery of the outstanding amount from the debtor and generally provided that the business relationship between the parties has been determined. For bad debts of more than DKK 3,000

(approximately EUR 400), certain conditions to the relief apply if not otherwise identified/proved according to the above (i.e. either by being included in a bankruptcy, a forced or voluntary debt agreement, foreclosure or similar).

The VAT is relieved through filing negative sales VAT on the VAT return once the loss is established or by a reduction of the sales VAT.

In general, accounting records, etc. must clearly demonstrate how the outstanding claims are processed. If the claim is subsequently paid in full or partially, the refunded VAT must be repaid to the Danish tax authorities.

5.2 Cash discounts

Assume that the supplier sends the following invoice:

"Supply of goods	EUR 1,000
25% VAT	EUR 250
Total to be paid	EUR 1,250

If payment is received within the next 14 days, you can subtract 2% of the invoice as a cash discount."

Payment is indeed received within 14 days. In that case the supplier must pay EUR 250 in its VAT return. The customer can deduct EUR 250 in its VAT return. Therefore, the supplier paid too much VAT, and the customer deducted too much. The Danish supplier must issue a credit invoice for the 2%.

5.3 Open Market Value

With regards to the options afforded in Article 80 of the EU VAT Directive, Denmark has implemented the open market value/cost price in transactions between related parties. This allows the Danish Tax Agency to implement the open market value/cost price in the following three situations:

- the consideration for a supply subject to VAT is lower than the cost price, and the recipient of the supply does not have a full right of VAT deduction;
- the consideration for a VAT-exempt supply is lower than the cost price and the supplier has a partial right of VAT deduction;
- the consideration for a or supply subject to VAT is higher than the normal value and the supplier has a partial right of VAT deduction.

There is, as a starting point, no definition of the concept 'transactions between related parties', but there is a presumption that parties are related within the meaning of the Danish VAT Act when:

- one of the parties has a financial interest in the other parties business or property;
- the parties are closely connected through family or other close personal ties; and
- the parties are closely linked through legal, management or membership ties.

5.4 Returnable packaging

Denmark has not implemented any of the options afforded in Article 92 of the EU VAT Directive with regards to the cost of returnable packaging materials. There are thus no relevant special provisions in place. Normally, the packaging is included in the taxable amount. If returned, the supplier issues a credit note or the buyer issues an invoice to the seller for the packaging.

6. VAT rates

6.1 Standard rate

The standard VAT rate in Denmark is 25%.

6.2 Reduced rate

Denmark does not apply reduced rates or differentiated VAT rates for certain products. The VAT rate of 25% is thus fixed.

6.3 Super-reduced and zero rates

7. Exemptions

6.3.1 Zero rate

See paragraph 7) be low.

6.3.2 Super reduced rate

Denmark does not apply reduced rates or differentiated VAT rates for certain products. The VAT rate of 25% is thus fixed.

7.1 Exemptions with right to deduction (zero rate)

In general, the following supplies of goods and services are zero rated:

- exports, intra-Community supplies and transfer of goods, including under certain conditions the supply of goods liable to excise duties and goods supplied to travelers who are residents outside the EU;
- certain sea vessels and aircraft and a number of related goods and services;
- supplies made to customers with (diplomatic) tax immunity;
- supplies made to NATO, international organizations etc.;
- supplies of monetary gold to the National Bank of Denmark;
- supplies of services directly linked to exports or imports under customs duty relief;
- certain intermediate services linked to zero-rated supplies;
- supply of newspapers;
- goods supplied under a customs duty relief or VAT warehousing; and
- new vehicles transported to another EU country.

7.1.1 Intra-Community supplies

The conditions for the exemption are as follows:

When a supplier performs an intra-Community supply from Denmark, the supplier must ensure that the person acquiring the goods or services has a valid EU VAT registration (other than in Denmark). This is a new condition which was implemented as a result of the Quick Fixes. Without the valid VAT identification number, the supplier is not able to apply the exemption. The supplier must also hold proof that the goods have been transported to another EU country.

Validation of the buyer's VAT number is a material requirement in being able to deliver goods and services without applying VAT to customers in other EU countries. All active EU VAT identification numbers can be checked in the EU's VIES database. The inquiry number and customer VAT number must be stored in the debtor directory. The verification in VIES must be done regularly and at least once every quarter during continuous trading – on occasional deliveries the customer's VAT number must be validated in VIES prior to each delivery. This must be an actual VAT number registered in the VIES system.

In addition to the validation of the VAT number itself, the data associated with the VAT number must be compared with the company's own registration information on the customer. If formalities are not in order, the company risks – in addition to a fine – to be charged VAT on the supply unless:

- the seller can prove to have acted in good faith; and
- a correction of the error is made to the relevant authorities.

If a customer claims to be registered for VAT – but this cannot be confirmed in VIES – you can request confirmation from the customer's local tax authority. If you cannot get a VAT number verified and you are also in doubt as to whether a buyer has a valid VAT number, VAT must be charged on the sale.

7.1.2 Export supplies

In the case of exports, the supplier must hold proof that the goods have actually been transported out of the EU territory. The confirmed electronic customs declaration, freight or other commercial documents may be used.

7.1.3 Warehousing

7.1.3.1 VAT warehouse

Denmark has introduced VAT/Excise warehousing with respect to certain goods (Annex V of the EU VAT Directive).

A taxable person not established in Denmark can also place goods in a VAT/Excise warehouse. Where required, a taxable person can register or appoint a VAT representative (see paragraph 1.4) to store goods in, or remove goods from, the warehouse. If certain conditions are met, the supply of goods that are intended to be placed within a VAT warehouse is not subject to VAT and thus no VAT registration is required. The customer must provide the supplier with a certificate that he intends to place the goods in a VAT warehouse. This must be done no later than the time of acquisition or supply, and the certificate should be kept in the records of the taxable person.

The VAT warehouse keeper must record all receipts of goods into the warehouse and maintain a detailed record of all stock kept in the warehouse. There are detailed requirements relating to the movement of the stock. The services of the warehouse keeper relating to safeguarding goods, as well as any maintenance or repackaging services on those goods, are zero rated.

VAT becomes chargeable at the time the goods are released from the VAT warehouse regime. Certain releases are not subject to VAT, such as, exports or intra-Community supplies, or the temporary removal for the purpose of repair, processing or treatment. In such instances, prior authorisation is required.

7.1.3.2 Excise warehouse

See paragraph 7.1.3.1 above.

7.1.3.3 Bonded (customs) warehouse

Goods imported from non-EU countries may be placed in a bonded (customs) warehouse in Denmark. A sale within a bonded (customs) warehouse is VAT exempt. Once the goods are released from such customs duty suspension and released into free circulation in Denmark, they must be declared for VAT purposes. The release of goods from a bonded warehouse regime does not constitute an importation if the goods are subsequently placed under another customs regime.

Denmark also has a customs-free zone, the Copenhagen Freeport. A sale of goods and ancillary services within the territory of the port are not subject to Danish VAT. However, VAT and customs duties must be paid when goods are removed from the Copenhagen Freeport for sale within Denmark. Certain formalities apply if goods are removed from the Copenhagen Freeport for sale and delivery outside of Denmark.

7.2 Exemptions without right to deduction

The list of Danish VAT exemptions includes the following exemptions.

7.2.1 Exemptions in the public interest

- health and welfare;
- education;
- subscriptions to trade unions, professional and other public interest bodies; and
- non-profit sports etc.

7.2.2 Other exemptions

- some cultural activities, such as admission to museums, exhibitions etc.;
- literary, compositional, and other artistic activities;
- rental and leasing of immovable property;
- supply of immovable property, however, with the exception of new buildings and land, plots, separate provision of land and which is to be built;
- insurance;
- certain financial services;

- CO₂ emission rights;

Supplies of the following items are liable to domestic reverse charge rules:

8.1.2 Specific domestic reverse charges (Article 199 EU VAT Directive)

“reverse Charge”. Furthermore, the customer’s VAT identification number must be stated on the invoice.

The supplier must refer on the invoice to the application of the reverse charge mechanism e.g. such as

has to apply the reverse charge.

The use of the reverse charge for Danish VAT is compulsory even if the foreign non-resident supplier holds a Danish VAT number. It is not possible to opt for a Danish VAT registration in a situation where the customer

applies if the customer is a foreign company holding a Danish VAT number.

person, or a VAT registered non-taxable person resident or established in Denmark. The reverse charge even short-term lease of means of transport. The reverse charge applies if the customer of the services is a taxable (except bridge and tunnel tickets), restaurant and catering services on board of ships, airplanes and trains and legal entity, the reverse charge applies only for specific services: services relating to immovable property. If a non-established supplier performs a domestic supply of services to a taxable person or a non-taxable

supply of goods.

Denmark did not implement the reverse charge mechanism of Article 194 EU VAT Directive for the domestic

Denmark but holds a Danish VAT number.

taxable person established in Denmark. The reverse charge also applies if the customer is not established in charge applies if the supplier is not established in Denmark and the customer of the installation supply is a Denmark did implement a reverse charge mechanism on the supply of goods with installation. The reverse charge applies if the supplier is not established in Denmark. The reverse charge also applies if the customer is not established in

8.1.1 General reverse charge mechanism - non-resident suppliers (Article 194 EU VAT Directive)

According to the Danish VAT rules, several other suppliers are liable to reverse charges.

electricity supplied by non-resident suppliers to “taxable dealers” in Denmark.

established in Denmark. This reverse charge applies in all EU Member States and follows from Articles 44 and 196 EU VAT Directive. In addition, there is also the reverse charge for the supply of natural gas and services provided by foreign entities to taxable persons and legal entities with a Danish VAT number.

In Denmark there are several obligatory reverse charge rules besides the reverse charge for general B2B

8.1 Reverse charge

8. Liability

For the lease and sublease of premises for business purposes (not for housing purposes) and for the supply of immovable property it is possible to opt for taxation. Once opted, the option must stay in place for at least two calendar years. It is not possible to opt for financial services.

7.3 Option for taxation

- management of investment funds;
- betting, gaming and lotteries;
- certain postal services;
- certain passenger transport services;
- burial and cremation;
- fund-raising events by charities and other qualifying bodies;
- supplies from second-hand shops under certain conditions;
- services supplied by independent groups to members on certain conditions;
- investment gold; and
- goods and services supplied by charitable or in other ways non-profit associations and organizations on certain conditions.

The input VAT is generally not recoverable in case of:

- free meals for staff and owner of the company if not for business/meeting purposes;
- business gifts of more than DKK 100;
- housing expenses, kindergarten costs, holiday homes etc. for staff and the owner of the company;
- entertainment and representation (except hotel and restaurant costs). It is possible to deduct 25% of the VAT on restaurant costs if strictly for business purposes;
- purchase and running costs for passenger cars. The VAT on long-term leasing (more than 6 months during which the car is used in connection with taxable activities for more than 10% of the time) is however partly recoverable (special rules).

9.1 Non-recoverable input VAT

For purchases that are used both in the VAT-taxable company and privately, companies are entitled to a partial VAT deduction. When private use is also included, the partial VAT deduction cannot be calculated based on a turnover distribution. The VAT deduction must instead be determined on the basis of an estimate of the VAT-taxable use of the purchase in question. The company must be able to provide documentation for the chosen estimate.

With a partial VAT deduction, companies can deduct a proportional share of the input VAT corresponding to the ratio between the company's VAT-taxable turnover and the company's total turnover (the VAT deduction percentage). This partial deduction percentage is always rounded up to the nearest whole number.

For those purchases which relate to both VAT-taxable and VAT-exempt activities, companies are entitled to a partial VAT deduction.

Companies that have both VAT-taxable and VAT-exempt activities may deduct input VAT on purchases that are used exclusively for the VAT-taxable activities. Conversely, companies may not deduct input VAT on purchases that are used exclusively for VAT-exempt activities.

Generally, taxable persons may deduct input VAT on their purchases unless the purchases are related to VAT-exempt supplies not allowing input VAT deduction.

9. Recovery of input VAT

Joint and several liability exists for businesses that form part of a VAT group for the VAT debts of each member of the VAT group for the entire period that the relevant entity was part of that VAT group.

If a company is registered with a fiscal representative, the company and the representative are jointly and severally liable for payment of the VAT. The fiscal representative is not jointly liable for VAT in case EU taxable persons or taxable persons from the Faroe Islands, Greenland, Iceland, Norway, UK and the Isle of Man opt to appoint a fiscal representative.

Joint and several liability also exists in situations where, for example, there is carousel fraud.

8.2 Joint and several liability

The supplier must refer to the reverse charge if applied, e.g. by the text "reverse charge - customer settles the VAT" or the like. In addition, reference to the customer's VAT number must be made.

Besides the supplies mentioned above, the following supplies are also liable to domestic reverse charge:

- supply of electricity- and gas certificates to all VAT registered in Denmark (primarily companies);

- investment gold;
- scrap metal;
- mobile phones;
- integrated circuit devices; and
- game consoles, tablets and laptops.

Skattestyrelsen
Nykøbt ngvej 76
Bygning 45
DK-4990 Sakskøbt ng

Claims must be sent by postal mail to the Danish tax authorities at:

Denmark does not require reciprocity when refunding VAT to non-EU businesses. In principle, VAT is refunded to taxable persons from all non-EU countries.

9.5 VAT refund to non-EU taxable persons

If additional information is requested this time frame may be prolonged.

accepted.

A claimant should, in general, receive the Danish Tax Agency's decision on the refund of VAT within four months after the receipt of the application. Any repayment may be expected immediately if the claim is

The Danish tax authorities may request supporting documents and original invoices to support the claim.

The deadline is the 30th of September in the year following the year in which the cost was incurred.

The minimum period for making a claim for refund of Danish VAT is a calendar quarter, or the rest of the year if the claim is filed after the 1st of October. The maximum period for making a claim for refund of Danish VAT is one calendar year. The annual minimum limit is DKK 400 (approximately EUR 54) and the quarterly minimum limit is DKK 3,000 (approximately EUR 400).

9.1.1. More information about this should be obtained from the taxable person's home country authorities. For further comments regarding non-refundable VAT, please refer to the comments above in paragraph 9.9.1 and

Member State.

Refund applications must be filed electronically to the competent authority in the taxable person's home

9.4 VAT refund to EU taxable persons

- The adjustment periods for capital goods are:
 - Immovable property:
 - 10 years - including extensions and rebuilding of immovable property
 - Movable property:
 - 5 years - such as machines, inventory, other equipment and certain services (e.g. software and rights) with a cost exceeding DKK 100,000 (approximately EUR 13,420) excluding VAT
 - For on-going repair and maintenance services of immovable property
- 5 years - if the annual cost exceeds DKK 100,000 (approximately EUR 13,420) excluding VAT.

9.3 Adjustment periods

authorities within one week of the filing deadline.

Repayment of VAT according to the taxable person's VAT filing is generally made by the Danish tax

9.2 Excess input VAT

Input VAT on services related to restaurant services strictly for business purposes is deductible for 25% of the VAT. Input VAT on hotel (rooms only) strictly for business purposes is deductible for 100%.

9.1.1 Partially recoverable input VAT

Annual and quarterly minimum limits and periods correspond to those applicable for refund to EU businesses. The application must be accompanied by the following documents:

- all relevant invoices;
- a certificate from the local authorities stating the status of the foreign taxable person;
- a unique number assigned by the Danish tax authorities at the time of the taxable person's first VAT refund application. This number must be provided on all its subsequent VAT refund filings in Denmark; and
- power of attorney if filing through a third party.

For further comments regarding time limits, non-refundable VAT etc., please refer to the comments above in paragraph 9.4.

10. Administrative Obligations

10.1 Invoicing

10.1.1 Invoice content

The invoice must generally contain the following information:

- invoice number (sequential);
- date at which the invoice is issued;
- name, address and registration number (equals VAT identification number in Denmark) of the supplier;
- name and address of the customer;
- a clear description of the goods or services supplied including weight and price;
- the VAT amount;
- the date at which the supply took place, if different, from the invoice date;
- the VAT rate;
- the VAT base, price per unit excluding VAT, any discounts etc. that may not otherwise be included in the price per unit;
- name, address and VAT number of the fiscal representative if applicable;
- in the case of:
 - self-billing a corresponding reference "selvklaturering" is required;
 - an intra-Community supply or the reverse charge, the invoice must state the VAT identification number of the customer, and it should refer to the intra-Community supply or reverse charge (i.e. B2B service; "Service not subject to Danish VAT according to Article 44 VAT Directive; VAT due by the recipient of the service according to Article 196 VAT Directive", "omvendt betalingspligt");
- the information necessary to determine whether there is a new means of transport; and
- an indication of the fact that a margin scheme has been applied as well as an indication why the margin scheme has been applied, e.g.:
 - margin scheme - second-hand goods "forjensmarginordning - brugte genstande"
 - margin scheme - works of art "forjensmarginordning - kunstgenstande"
 - margin scheme - collector's items and antiques "forjensmarginordning - samlerobjekter og antik"
 - tour operator margin scheme "forjensmarginordning - turetsudbydere".

Further, all invoices must clearly state all VAT-exempt supplies, if any. In the case of both VAT-taxable and VAT-exempt supplies, the invoice must clearly show which supplies are taxable with VAT. VAT-taxable and VAT-exempt supplies must be stated separately and summed up in either VAT category.

10.1.2 Time limits

Generally, the invoice should be issued at the time of supply or soon thereafter, and at any case no later than what is standard for the industry in question.

All public organisations (such as Ministries, municipalities, regions and non-departmental public bodies) are obliged to be able to receive and process e-Invoicing. E-Invoices can be submitted to the government by using a EAN invoice. An EAN invoice is sent electronically through the NemHandelsregister. It includes an EAN number which identifies the public entity that will receive the invoice.

A PDF file of the invoice sent via e-mail is sufficient.

- the recipient must accept receiving invoices electronically.
- readability of the invoice from the time of issuance throughout the storage period; and
- the company must by any means of its own choice ensure the authenticity of origin, integrity and

Electronic invoicing is allowed under the following conditions:

10.1.8 Electronic invoicing

In general, accounting data (including invoices) may be stored electronically, for as long as it is possible to print hard copies thereof within the retention period without further adjustment.

Invoices must generally be kept available for 5 years. However, when relating to immovable property, the retention period is 10 years. Also, the administration with respect to electronic-, telecom- and broadcasting services must be kept for 10 years.

10.1.7 Storage of invoices

It is possible to issue a simplified invoice if the amount of the invoice is not higher than DKK 3,000 or the invoice issued is a document or message which changes the initial invoice and a specific and unambiguous reference to the initial invoice is made with a specific mention of the details that are amended.

- total amount payable and VAT amount (VAT amount can be indicated as 20% of the total amount VAT incl.)
- a clear description of the goods or services supplied including weight and price; and
- invoice number (sequential);
- name, address, and VAT number of the supplier;
- date of issue;

A simplified invoice must contain the following information:

10.1.6 Simplified invoice

The self-billing invoice must clearly read "self-billing" or "selvfakturerings" and the customer's VAT number must be stated on the invoice.

The self-billing invoice must clearly read "self-billing" or "selvfakturerings" and the customer's VAT number must be stated on the invoice.

- the supplier must be registered for VAT purposes.
- the supplier must accept each invoice according to written procedures; and
- there must be a written agreement in place between the two parties;

Self-billing is allowed if all the following conditions are met:

10.1.5 Self-billing

a two-year period.

Either an ECB latest exchange rate or a customs rate (the average monthly rate) may be used. The chosen exchange rate must be indicated in a memo note in the taxable person's administration and will be binding for

10.1.4 Conversion and exchange rate

The invoice may be issued in any currency. However, the VAT amount must be stated in either DKK or EUR.

10.1.3 Currency

For VAT-exempt intra-Community supplies, the invoice must be issued no later than by the 15th day of the month following the month of supply.

If payments are made up front, invoices for such payments must be issued.

10.2 Compliance

10.2.1 VAT return period

VAT must be filed either monthly, quarterly, or twice a year, depending on the annual turnover of the

taxable person:

- annual turnover, excluding VAT, of less than DKK 5,000,000 (approximately EUR 67,100) - half-yearly VAT returns
- annual turnover between DKK 5,000,000 (approximately EUR 67,100) and DKK 50,000,000 (approximately EUR 6,710,000) - quarterly VAT returns
- annual turnover, excluding VAT, of more than DKK 50,000,000 (approximately EUR 6,710,000) - monthly VAT returns

Notwithstanding this, newly registered companies are generally required to file VAT returns on a quarterly basis at the beginning of their VAT-taxable activities in Denmark. However, if the annual turnover in Denmark, excluding VAT, is expected to exceed DKK 50,000,000 (approximately EUR 6,710,000), the company is immediately required to file monthly.

Electronic filing of VAT returns is mandatory.

10.2.2 Filing of a VAT return and payment

The deadline for filing of VAT returns for both local and non-resident companies depends on the filing period. The deadline for filing a monthly VAT return is, generally, the 25th of the month after the end of the VAT period. The filing deadline has one exception for the June VAT return. The tax authorities announce the June deadline each year and it is usually around 18 August. This is due to the summer vacation period.

The deadline for filing quarterly VAT returns is, generally, the first day of the third month following the end of the VAT period.

The deadline for filing half-yearly VAT returns is, generally, the first day of the third month following the end of the VAT period.

If the VAT returns fall due on a Saturday, Sunday or a holiday, the deadline will be the next business day.

Any VAT due should be paid by the date of the filing deadline for the VAT return.

It is possible to file VAT returns electronically via

<https://tinyurl.com/3b3r53rk>

10.2.3 European sales listing

The European sales listing for both goods and services must be filed monthly. There is no threshold for the filing of the European sales listing, not for goods and not for services.

European sales listings must be submitted electronically with the same deadlines (monthly) and via the same link (see section 10.2.2 above), where the VAT return is submitted.

10.2.4 National recapitulative statement

A national recapitulative statement does not need be filed.

10.2.5 Tax assessment period

The statute of limitations in Denmark is, in general, 3 years but may be extended to 10 years in cases of gross negligence or criminal intent of the business etc.

Further the limitation period is suspended until such time SKAT has sufficient knowledge to make a claim for payment of VAT or repayment of refunded VAT.

10.3 Penalties

10.3.1 Default penalties for late registration

Normally there are no penalties for late registration.

10.3.2 Default penalties for not filing a VAT return or a European sales listing in time

If VAT returns are not filed on time, the Danish tax authorities will issue a preliminary assessment for the company. A fee of DKK 800 (approximately EUR 105) will be charged to the taxable person, who is still liable to file a correct VAT return for the VAT period in question.

If the European sales listing is not filed on time, a reminder fee of DKK 65 (approximately EUR 8,50) might be charged to the company.

Further, in both cases, fines in the amount of DKK 1,000 (approximately EUR 135) and upwards may be imposed depending on the misconduct and repetition thereof.

10.3.3 Default penalties for not paying VAT on time to the VAT authorities

Penalties for late payment of VAT to the Danish tax authorities are:

- late payment interest (in 2024: 0% monthly) calculated and charged daily until the amount has been paid; and
- a fee of DKK 65 (approximately EUR 8,50) per reminder.

Other penalties/fines up to DKK 10,000 (approximately EUR 1,350) may be imposed.

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

If VAT is not reported correctly, i.e. VAT is reported for less than the outstanding amount, the same penalties as outlined in paragraph 10.3.2 may be imposed, as well as criminal penalties in case of fraud.

10.3.5 Offence penalties

In case of gross negligence or intention, the taxable person may be subject to a fine of one to two times of the total evaded amount, detention or imprisonment for up to two years.

Some penalties may be waived if the correction is made on the taxable person's own initiative, provided that the violation had not been committed intentionally.

10.3.5.1 Interest on VAT claims due

From 1 July 2023, the Danish Tax Agency charge interest from companies, that are already correctly VAT registered, in the following situations:

- the company is registered late (registration with retroactive effect) and thus submits its first VAT return late;
- when the company declares and pays VAT late;
- when the company, on its own initiative, makes corrections in previous VAT declarations, where the VAT base is increased (in favor of the Danish Tax Agency); or
- when the Danish Tax Agency makes corrections, where the VAT base is increased (in the Danish Tax Agency's favor).

The interest is 11.35% per year of the VAT claim due and is calculated from the original reporting deadline until the correct amount is paid.

10.4 Intrastat

Separate Intrastat declarations must be submitted monthly to the Statistics Denmark (DanmarksStatistik).

<https://tinyurl.com/jafewzpx>

10.4.1 Intrastat threshold

The Intrastat threshold for arrivals (imports) from other EU-countries and Northern Ireland is in 2025 more than DKK 41,000,000 (approximately EUR 5,466,666).

The Intrastat threshold for dispatches (exports) to other EU-countries and Northern Ireland is in 2025 more than DKK 11,300,000 (approximately EUR 1,506,666).

Please note, these thresholds are changed on a yearly basis.

Companies with annual dispatches (exports) between DKK 11,300,000 and DKK 16,500,000 (approximately EUR 1,506,666 – EUR 2,200,000) and an annual import of less than DKK 41,000,000 (approximately EUR 5,466,666) can report their dispatches simplified. A simplified report means, that it will be voluntary to report the product code, the product's country of origin, the nature of the transaction, weight and any supplementary unit (see paragraph 10.4.2 below).

Businesses, including distance sellers, that must submit Intrastat reports will be notified by the Danish Statistical Office (Statistics Denmark).

10.4.2 Intrastat data to be reported

The following information must be filed for both arrival and dispatches statistics:

- the line number;
- the commodity/tariff code or customs classification code of the goods;
- a code indicating the EU Member State of departure of the goods dispatched to Denmark, when filing a declaration for import;
- a code indicating the EU Member State of destination of the goods dispatched from Denmark, when filing a declaration for export;
- a transaction code;
- the weight of the goods or the number of the specified units;
- the value in DKK;
- the VAT ID of the trading partner; and
- the country of origin for dispatches.

10.5 Additional compliance requirements

There are no additional requirements.

Information received from:

Claus G. Boldt
claus.boldt@momskonsulenten.dk
www.momskonsulenten.dk
+45 2364 87

The European Union (EU) VAT Directive is implemented in Estonia through the Value Added Tax (VAT) Act (In Estonian: Käibemaksuseadus). VAT in Estonian is “käibemaks”.

The non-official translation of the Estonian VAT Act into English (in force on 1 January 2025) can be found at: <https://tinyurl.com/ktxc3aut>

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

If the turnover exceeds EUR 40,000 as calculated from the beginning of a calendar year, an obligation to register as a taxable person for VAT purposes will arise for the person as of the date on which the supply reaches that amount. As of 1 January 2025, the following supplies, for which the place of supply is Estonia, are relevant for registration threshold purposes:

- taxable supply of goods and services, including the taxable supply subject to the zero VAT rate, excluding the transfer of fixed assets;
- transactions with immovable property, excluding the transfer of fixed assets and occasional transactions;
- supply of insurance services and financial services, excluding occasional services.

The registration obligation does not arise if all the supplies are VAT exempt and taxable with the zero VAT rate, except for intra-Community supply of goods.

The application should be presented to the Estonian Tax and Customs Board within 3 working days.

However, a person may submit the application for registration as a taxable person to the tax authority even if the registration obligation has not yet arisen.

The application form for VAT registration can be downloaded at: <https://tinyurl.com/33447m3x>

Application for VAT registration can be submitted at the service bureau of Estonian Tax and Customs Board, sent per e-mail (if it is possible to digitally sign the form) or filed online in the e-services environment of Estonian Tax and Customs Board.

The Estonian Tax and Customs Board may also ask for proof that business activities are performed or will be performed (e.g. business plans, contracts, etc.). The VAT number is provided within 5 working days once all the required documents have been submitted.

A retroactive registration is also possible but only if the date of obligatory registration has been passed, and applies from the date on which the registration should have taken place according to the Estonian VAT Act.

1.2 Registration threshold & SME Scheme for foreign taxable persons

There is no registration threshold for foreign taxable persons. If a foreign taxable person with no fixed establishment in Estonia makes a taxable supply in Estonia and the reverse charge does not apply, the foreign person is obliged to register as a taxable person for VAT purposes as of the date on which the taxable supply was made (unless special SME scheme can be used, see below). The VAT registration application must be submitted within 3 working days of the date on which the VAT registration obligation arises.

A non-established business that has a fixed establishment in Estonia must register for VAT under the same conditions as Estonian resident businesses.

The VAT group members are granted only one VAT number for transactions with non-group members. The VAT group must appoint one member as its representative to communicate with the tax authorities. The personal VAT registration number granted to each member (except the VAT number of the representative of the VAT group) will be suspended until such time as the VAT group is deregistered.

Transactions between the VAT group members are not considered as supplies. Members of the VAT group must submit VAT returns and European sales listings together (i.e. single reporting) and will be jointly and severally liable for payment of VAT by the due date.

A taxable person may belong to only one VAT group at any one time.

VAT grouping is voluntary, which means that a taxable person may choose whether or not to register a VAT group or whether or not to join a VAT group if all the conditions of the VAT grouping are fulfilled. If it has been decided to become a VAT group, one is not bound by a specific time limit to dissolve the VAT group again.

A VAT group may consist of entities which are engaged in business in Estonia and are:

- a parent company and its subsidiaries within the meaning of the Estonian Commercial Code; or
- economically and organisationally related taxable persons, where, at least, 50% of the shares, holding or votes of each entity are owned by one and the same person, or if the persons are bound by a franchise agreement.

1.3 VAT grouping

From the time of exceeding the threshold, application of SME scheme is suspended for a period of 1 calendar year. Re-application can be filed thereafter provided the respective threshold requirements are met.

Application to apply the SME scheme in Estonia is filed in the Member State of establishment. Upon approval, a registration number ('EX number') is issued to the applicant. Applying the SME scheme is voluntary.

- the total annual turnover in all of the Member States (including the Member State of establishment) in the current and previous calendar year does not exceed EUR 100,000 and
- the annual turnover in Estonia in the current and previous calendar year does not exceed EUR 40,000.

From 1 January 2025, small businesses from other Member States can request the application of the SME scheme in Estonia, whereby they are relieved of the registration obligation in Estonia, provided they meet the following criteria:

The Estonian Tax and Customs Board provides the VAT number within 5 working days, once all of the required documents have been submitted. A retroactive VAT registration is also possible but only if the date of obligatory registration has been passed and applies from the date on which the registration should have taken place according to the Estonian VAT Act.

The Estonian Tax and Customs Board may also ask for proof that business activities are performed or will be performed.

The application form for VAT registration can be downloaded at: <https://tinyurl.com/33447m3x>

Non-established businesses must apply for a VAT registration with Estonian Tax and Customs Board in person. However, an authorised person may act on behalf of the taxable person, provided proof of authorisation is submitted. Foreign persons are registered as taxable persons by the Tallinn service bureau (Lõdusa 8a, 151176 Tallinn).

The registration obligation does not arise if all taxable supplies of the foreign taxable person are taxable with the zero VAT rate, except in case of an intra-Community supply of goods and the supply to an online marketplace which is preceded by a transfer of goods.

1.4 Fiscal representative

A taxable person from another EU country may appoint a fiscal representative, but it is not obligatory. A taxable person from a non-EU country (other than from a non-EU country with which a mutual assistance agreement has been concluded with), who has no fixed establishment in Estonia, must appoint a fiscal representative when registering for VAT.

A fiscal representative needs to be licensed by the Estonian Tax and Customs Board. The fiscal representative can be a legal person established in Estonia or a branch of a foreign legal person entered in the Estonian Commercial Register. A fiscal representative must be solvent, have an impeccable reputation and must not have any tax arrears.

All rights and obligations of the foreign taxable person extend to the fiscal representative. The fiscal representative is required to ensure that the principal's monetary and non-monetary obligations concerning taxes are fulfilled within the set term and in full, i.e. is jointly and severally liable for all the tax liabilities of the foreign taxable person it represents. As a general rule, the fiscal representative must post a bank guarantee. The tax authorities determine the amount of the guarantee.

2. Taxable transactions

2.1 Transfer of a business

According to Estonian VAT Act, a transfer of a business or a part thereof within the meaning of the Law of Obligations Act, is not a taxable transaction. This does not apply in case of a transfer of a single asset.

2.2 Supplies free of charge

Estonia generally applies the principles laid down in Articles 16 and 26 of the EU VAT Directive.

Based on the VAT Act, gifts which are provided for advertising purposes and whose value does not exceed EUR 10 (excluding VAT) does not constitute a supply of goods.

According to the VAT Act, the use of a car for purposes other than business, shall not be a deemed self-supply (instead a limitation on the recovery of input VAT is applied), except where the car is mainly used for the carriage of passengers for a charge or for driving lessons.

2.3 Importation

2.3.1 Importation followed by intra-Community supply

It is possible to apply a VAT exemption on the importation of goods into Estonia if it is followed by an intra-Community supply, provided that the following conditions are met:

- the importer of the goods - or a customs agency acting as a representative thereof - is an Estonian taxable person;
- immediately after the goods have been imported, they are transported in the same condition, to a taxable person in another Member State;
- an intra-Community supply is created as a result of the transport of the goods to another EU Member State;
- upon importation of the goods, the importer of the goods - or a customs agency acting as a representative thereof - proves the intention to transport the goods to a taxable person in another Member State and, after the goods have been transported, provides the customs authority with documentation that proves the intra-Community supply of the goods; and
- a security is provided in order to secure the performance of the tax liability which may arise as a result of failure to perform the tax obligation.

2.3.2 Postponed accounting on importation

The VAT Act allows the deferment of VAT on the importation of goods for all registered taxable persons

(foreign taxable persons as well) in Estonia when applied for. When using the import VAT deferment, import VAT will be declared by the taxable person in the regular VAT return.

In order to apply for the deferment license, the taxable person must submit an application to the Estonian Tax and Customs Board. Additionally, the following criteria must all be fulfilled:

- the taxable person must have been VAT registered for at least the preceding 12 consecutive months;
- the taxable person has not failed to submit tax returns on time within the preceding 12 months; and
- the taxable person has not had any tax arrears in the previous 12 months.

The Estonian Tax and Customs Board will verify the compliance with the conditions within 30 days as of the receipt of the written notice. Continued compliance with the respective conditions is subsequently checked by the tax authority on a monthly basis.

3. Place of supply

3.1 Consignment and call-off stock

The transfer of goods by a VAT registered taxable person from one EU Member State to Estonia to create a stock of goods from which their customer can 'call-off' (use and pay for) the goods as and when they require them, can be described as call-off stock. If certain conditions are met, the supplier does not perform a transfer of own goods followed by a local supply, but an intracommunity supply to his customer at the time the goods are called off.

The Estonian VAT legislation is in line with the provisions relating to call off stock in the EU VAT Directive as introduced with the Quick Fixes package as of 1 January 2020.

3.2 Installation supplies

Under the Estonian VAT Act, a supply with installation means that the goods are transferred to a particular EU Member State and installed or assembled by or on behalf of the transferor in that state, and the cost of installation or assembly exceeds 5% of the taxable value of the transaction. If the above conditions are fulfilled, then such goods are treated as supplied in the country where they are assembled or installed.

The domestic reverse charge may be applicable if the goods are installed or assembled in Estonia by a taxable person from another EU Member State for a VAT registered customer.

3.3 Distance sales threshold

Estonia has implemented the changes of the Directive regarding distance sales as of 1 July 2021. The distance selling threshold for sales to non-taxable persons (B2C) in other member States is EUR 10,000 in a calendar year. This threshold covers sales to all Member States and also sales of electronically supplied services, telecommunications services and broadcasting services.

Once the threshold is exceeded, the foreign company can register for VAT in Estonia or in their country of establishment via One Stop Shop (OSS) regime to account for Estonian VAT for their distance sales to Estonia.

3.4 Simplified triangulation rules

Under Estonian VAT legislation, the simplified triangulation rules have been implemented in line with the EU VAT Directive. In addition to this, the simplified triangulation rules can be applied if:

- Estonia is the country of arrival for the goods; and
- the middleman (B) is VAT registered in the Member State of dispatch.

However, the simplified triangulation rules cannot be applied if Estonia is the country of arrival of the goods and the middleman is registered and/or established in Estonia.

Therefore, where Estonia is the country of arrival of the goods, it is not possible to apply the triangulation rules if middleman B is VAT registered in Estonia.

3.5 Acquisition threshold

The threshold for the acquisition of goods by non-taxable legal persons from suppliers established in another Member State is EUR 10,000 calculated from the beginning of a calendar year. The obligation to register as a taxable person with limited liability arises as of the date on which the threshold was exceeded. The threshold does not apply on excise goods and new means of transport. This obligation does not apply to persons who are not engaged in business.

If a foreign person engaged in business without a fixed establishment in Estonia, except a foreign person making use of the tax exemption based on SME scheme, engages in an intra-Community acquisition of goods in Estonia, the obligation to register as a taxable person with limited liability arises as of the date of the intra-Community acquisition of the goods. This provision does not apply to intra-Community acquisition of goods which is exempt from tax.

3.6 Effective use and enjoyment

Estonia has not implemented any effective use and enjoyment rules based on Article 59a of the EU VAT Directive.

4. Chargeable event & chargeability of VAT

4.1 Principles

As a general rule, the time of supply is:

- when the right to dispose of the goods was handed over to the purchaser or when the services have been carried out; or
- when full or partial payment is received for the goods or services.

The time of supply is determined proceeding from either of the conditions above which has been met first.

4.2 Advance payments

VAT can be chargeable before the time the goods are put at the disposal of the purchaser or the service is completed. This is the case when the price has been totally or partially received before the goods are put at the disposal of the purchaser or the services are supplied.

4.3 Continuous supplies

If the provision of services continues for longer than a period of taxation, the services are deemed to have been provided and received during the taxable period in which the provision of the services is completed.

When services are rendered or regular transfers of goods are made to the same purchaser, the time at which the goods are dispatched/made available to the purchaser or the time at which the services are provided / received is deemed to be the taxable period entailing the end of the period for which an invoice is issued or during which payment has been agreed to be made. This however cannot be later than twelve calendar months from commencement. If the provision of services lasts for more than a year and the reverse charge is applied then the service is deemed to have been received on 31 December of each calendar year (from commencing the provision of the service) provided the services have not been paid for or completed earlier in the year.

4.4 Cash accounting

A taxable person whose turnover, the place of supply of which is Estonia, did not exceed EUR 200,000 in the previous calendar year nor as of the beginning of the current calendar year, may apply the special arrangement for cash accounting for VAT.

A person shall notify in writing the Estonian Tax and Customs Board about the taxation period from which the person shall commence using the cash accounting arrangement, either upon registration as a taxable person, or at the latest during the taxation period prior to implementation of the special arrangement. The calculation of the threshold of the taxable supply does not take into account the transfer of fixed assets and the incidental transfer of immovable as good.

5. Taxable amount

5.1 Bad debt relief

A supplier can reclaim the VAT for a bad debt if all of the following conditions are met:

- a VAT invoice has been issued;
- VAT amount has been declared in the VAT return;
- at least 12 months, but not more than 3 years, have passed from the due date of payment of that VAT invoice (except in the case of claim that exceeds EUR 30,000);
- if the claim exceeds EUR 30,000, the court settlement to support the claim must have entered into force; the claim has been written off in accounting despite the efforts of the taxable person to make every effort to collect the claim or the expenses incurred for its recovery exceed the estimated income receivable;
- the debt claim has not been transferred;
- the purchaser of goods or the recipient of services is not a related person within the meaning of the Income Tax Act; and
- the taxable person has informed the recipient of goods and services in writing about the write off in the month of the write off and has specified the VAT amount therein.

The VAT reclaim can be made through the periodical VAT return.

Taxable persons must keep record of bad debts written off.

5.2 Cash discounts

Assume that the supplier sends the following invoice:

"Supply of goods	EUR 1,000
22% VAT	EUR 220
Total to be paid	EUR 1,220

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount".

Payment is indeed received within 14 days. In that case the supplier has to pay EUR 220 in his VAT return. The customer can deduct EUR 220 in his VAT return. Therefore, the supplier paid too much VAT and the customer deducted too much. Explanations on the website of the Estonian Tax and Customs Board state that it is not possible to amend the taxable value of goods or services without annulling the original invoice or issuing a credit invoice in cases the discount is given after the supply.

5.3 Open market value

Based on the Estonian VAT Act, the tax authority has the right to determine the taxable amount according to market value where the supplier and recipient are related persons for the purposes of the Income Tax Act and where the fee payable for the transfer of the goods or provision of the services is:

- lower than the market value and the acquirer of the goods or the recipient of the services has no right for deduction of input value added tax in full;
- lower than the market value and the transferor of the goods or the provider of the services has no right for deduction of input value added tax in full and the transfer of the goods or the provision of the service is exempt from tax; or
- higher than the market value and the transferor of the goods or the provider of the services has no right for deduction of input value added tax in full.

5.4 Returnable packaging

With reference to Article 92 of the EU VAT Directive, the Estonian VAT Act entails that the value of returnable packaging on which a deposit has been established pursuant to the Packaging Act, is not included in the taxable value of goods if the taxable person does not supply the returnable packaging. However, if the returnable packaging is not returned to the taxable person within a calendar year, a supply is deemed to be effected on 31 December of that year. The supply shall be equal to the total sum of the deposits of returnable packages not returned during a calendar year.

6. VAT rates and exemptions

6.1 Standard rate

The standard VAT rate in Estonia is 22% (as of 1 July 2025, it will be 24%).

6.2 Reduced rate

The reduced VAT rate of 9% is applicable to certain goods and services, for example:

- books and educational literature, both on physical medium and electronically (with the exception of certain learning materials);
- press publications, both on a physical medium and electronically; and
- certain qualifying medicinal products and medical devices.

As of 1 January 2025, accommodation services or accommodation services with breakfast (excluding goods or services accompanying such services) are subject to the 13% VAT rate.

6.3 Super-reduced rate and zero rates

Estonia did not introduce super reduced rates. For zero rates, see chapter 7 below.

7. Exemptions

7.1 Exemptions with right to deduction (zero rate)

Based on the Estonian VAT Act, the zero rate is applicable to certain goods and services, for example to:

- export of goods;
- intra-Community supply of goods;
- seagoing vessels navigating in international waters, except pleasure craft used for purposes other than

business;

- aircraft used by an air carrier operating mostly on international routes and equipment, spare parts, fuel and other supplies used on such aircraft and goods to be transferred to passengers for consumption on board, except goods sold on board of such aircraft during intra-Community passenger transport to be

- goods transferred and delivered to another Member State to diplomatic representatives, consular agents (except honorary consuls), representatives or representations of special missions or international

- organisations recognised by the Ministry of Foreign Affairs, headquarters of an international organisation, a diplomatic representation, a consular post, a special mission or a Union institution or an agency or body established under the EU law;

- non-Union goods placed under the customs procedures of customs warehouses, free zone, free zone;

- Union goods transferred and delivered to a free zone for export purposes and Union goods placed in a

- free zone which are exported directly from the free zone within two months as of the transportation to the free zone;

- excise goods under excise duty suspension arrangement placed in an excise warehouse;

- goods listed in Annex V of the Council Directive 2006/112/EC placed in a VAT warehouse; and

- gold sold to Bank of Estonia.

7.1.1 Intra-Community supplies

In order to substantiate the application of the 0% VAT rate to intra-Community supplies, the supply needs to be evidenced by documents confirming the transfer and the transport of goods to another Member State (e.g. delivery notes, transport documents etc). Based on the Estonian VAT Act, the 0% VAT rate cannot be applied to such supplies if there is no valid VAT identification number of the purchaser in another Member State or such an intra-Community supply has not been reported in the recapitulative statement on intra-Community supply of goods.

Article 45a of Council Implementing Regulation (EU) No 282/2011 entails a list of documentation with which a taxable person if necessary must prove the transport of goods to another Member State.

7.1.2 Export supplies

In order to substantiate the application of 0% VAT rate on export of goods, the supply needs to be evidenced by documents confirming that the goods have left the EU (e.g. customs declaration, delivery notes, transport documentation, proof of payment).

7.1.3 Warehousing

7.1.3.1 VAT warehouse

Estonia has implemented a VAT warehouse regime under which VAT is not applicable to the supply of goods placed in a VAT warehouse. The location of the warehouse must be approved by the Estonian Tax and Customs Board.

The VAT warehouse regime can only be applied in case of the supply of certain unfinished products/ bulk goods stipulated in Annex V of the EU VAT Directive 2006/112/EC (e.g. goods that need further processing in order to be sold for final consumption). These goods include for example:

- cocoa beans;
- mineral products;
- certain chemical products;
- raw sugar;
- cereals, etc.

The supply of goods which are brought to or are located in the VAT warehouse are zero rated. VAT becomes due when the goods are released from the warehouse. The owner of the goods who initiates the release is held liable for the VAT. The VAT applicable on the sale of the goods must be paid either by the supplier or by the customer if a domestic reverse charge applies.

Participants in transactions within the VAT warehouse need not be established or registered for VAT purposes in Estonia.

7.1.3.2 Excise warehouse

Excise goods under suspension of excise duties can be stored in an excise warehouse. The supply of excise goods which are located in an excise warehouse is subject to the 0% VAT rate if the transaction does not involve taking the goods out of the excise warehouse, except transporting the excise goods from one excise warehouse to another.

7.1.3.3 Bonded (customs) warehouse

It is possible to store goods coming from outside the EU in a bonded warehouse before import occurs.

If the goods coming from a third country are directly placed under a bonded warehouse regime, no customs duties and VAT become due. When the goods are released from the warehouse for free circulation, duties and VAT become due. The owner of the goods who declares the goods into free circulation becomes responsible for the payment of the VAT.

The release of goods from a bonded warehouse regime does not constitute an importation if the goods are subsequently placed under another customs regime.

The sale of goods, while still in bond, is subject to 0% VAT in Estonia. Evidence that the sales took place in the bonded warehouse should be kept in the recordkeeping (i.e. list of the transactions maintained by the warehouse keeper, customs documents, agreements, invoices, etc.).

7.2 Exemptions without right to deduction

7.2.1 Exemptions in the public interest

Certain goods and services of a social nature are VAT exempted without a right to input VAT deduction, for example (additional conditions may apply):

- health care services;
- services linked to welfare and social security;
- postal services;
- services provided by a non-profit association to its members free of charge or for a membership fee, and services provided by a non-profit association or foundation to natural persons relating to the use of sports facilities or sports equipment; and
- certain educational services (e.g. pre-school, basic, vocational, secondary and higher education, private tuition relating to general education and other training services, except other training services provided for business purposes).

7.2.2 Other exemptions

VAT is also not imposed on the supply of the certain other goods and services, for example (additional conditions may apply):

- certain supplies of immovable property;
- insurance services, including reinsurance and insurance mediation;
- certain financial services, including the granting of credit, certain banking services;
- the leasing or letting of immovables or parts thereof, establishment of a usufruct on immovables or parts thereof (tax exemption is not applied on the provision of accommodation services, the leasing or letting of or establishment of a usufruct on multi-storey car parks and premises for parking vehicles, and the hiring or leasing of or establishment of a usufruct on permanently installed equipment or machinery or safes);
- postage stamps;
- lottery tickets and gambling; and
- supply of investment gold.

7.3 Option for taxation

A taxable person is allowed to add VAT to the taxable amount of the following goods and services if the person has notified the Estonian Tax and Customs Board before the supply is effected:

- the leasing or letting of immovables or parts thereof, except dwellings, and establishment of a usufruct on immovables or parts thereof;
- immovables and parts thereof, except dwellings;
- financial services, except in cases where the service is provided to a taxable person or a taxable person with limited deduction right in another Member State;
- securities transactions, except certain transactions; and
- investment gold under certain conditions.

If a taxable person adds VAT to the taxable value of services under the optional taxation, such supply shall be taxed for at least two years following the start of the first taxable period.

8. Liability

8.1 Reverse Charges

Cross-border services supplied to an Estonian VAT registered person that is engaged in an economic activity will be, as a general rule, subject to a reverse charge. This reverse charge applies in all EU Member States and follows from Articles 44 and 196 EU VAT Directive.

If the VAT liability calculated for a taxable period is less than the amount of input VAT deductible by the taxable person during the same period, the overpaid amount of VAT may be carried forward to the following

9.2 Excess input VAT

- In Estonia, input VAT cannot be recovered if it is:
 - related to goods or services accruing from the reception of guests or the provision of meals or accommodation for employees (with the exception of accommodation provided during business trips); or
 - not related to a taxable person's taxable business.
- Only 50% of VAT is recoverable on the purchase and lease of passenger cars (incl. maintenance, fuel etc.), if not used exclusively for business purposes.

9.1 Non recoverable input VAT

9. Recovery of input VAT

Under Estonian law, a legal representative (a member of the management body of the company) can be held jointly and severally liable for tax arrears of the company when certain conditions are met.

The fiscal representative appointed by a non-resident company, is required to ensure that the principal's monetary and non-monetary obligations concerning taxes are fulfilled within the set term and in full, i.e. is jointly and severally liable for all the tax liabilities of the foreign taxable person it represents.

Members of a VAT group will be jointly and severally liable for payment of VAT by the due date.

8.2 Joint and several liability

The domestic reverse charge on the above items applies only if both the supplier and the customer are registered for VAT in Estonia. On the invoice, reference to the application of the reverse charge is required.

- supply of metal products with CN-codes 7208-7220 (except welding wire and welding rods) 7222, 7225, 7226, 7228 (except welding rods), 73011000, 730300-7306 (certain exceptions apply), 73081000, 73082000, 73121061, 73121069, 731420 and 73143900.
- precious metals (certain exceptions apply); and
- investment gold (where option to tax has been exercised);
- scrap metal;
- supply of immovable property or its parts (where option to tax has been exercised);

Estonia has implemented domestic reverse charge rules that apply to:

8.1.2 Specific domestic reverse charges (Article 199 EU VAT Directive)

On the invoice, reference to the application of the reverse charge is required.

All taxable persons established in Estonia are obliged to calculate VAT under the reverse charge mechanism for the goods and services supplied by a non-resident supplier. The general reverse charge does not apply to all supplies of goods and services which are subject to VAT in Estonia. The reverse charge does not apply if the non-established supplier performs a domestic supply of goods/services to a non-taxable legal person in Estonia. Furthermore, the reverse charge does not apply if the non-resident supplier has a VAT number and/or a fixed establishment in Estonia.

8.1.1 General reverse charge mechanism - non-resident suppliers (Article 194 EU VAT Directive)

In addition, Estonia has implemented a general reverse charge for goods and services supplied by a non-resident supplier (see 8.1.1) as well as a domestic reverse charge applicable to certain items (see 8.1.2).

There is also reverse charge for the supply of natural gas and electricity supplied by non-resident suppliers to "taxable dealers" in Estonia (Article 195 EU VAT Directive).

tax periods or may be recovered. The excess VAT can be recovered by presenting an application to the Estonian Tax and Customs Board. Generally, the excess VAT will be refunded by the tax authorities within 30 days of the receipt of an application. This period may be extended for up to 90 days if the tax authorities have justified reasons to further check the circumstances of the VAT refund application.

9.3 Adjustment periods

The period for adjustment of input VAT (adjustment period) is:

- 10 calendar years for immovable property and goods and services relating thereto; and
- 5 calendar years for other fixed assets and goods and services relating thereto.

The period of time between the date of registration in the accounting documents of fixed assets or goods acquired or services received for the fixed assets as fixed assets in use and the last day of the current calendar year is deemed to be the first calendar year.

9.4 VAT refunds to EU taxable persons

The application for VAT refund must be submitted electronically to the Estonian tax authority through the tax authority of the country of establishment of the taxable person. The annual minimum limit is EUR 50. The interim minimum limit is EUR 400. The minimum period for making a claim is 3 months. The maximum period for making a claim is one calendar year. The deadline for submitting the application is no later than 30 September of the calendar year following the period of refund. It is not possible to submit the application after the deadline.

The application must contain general data (applicant's name, address, e-mail, bank account, VAT number) and the description of the applicant's field of operation for which goods or services were bought in Estonia. The applicant must also confirm that it did not have any taxable supplies in Estonia (except zero rated supplies and supplies subject to a reverse charge). Original invoices or copies of invoices are not required. Electronic copies must be submitted of more substantial invoices (in the case of fuel if the net amount is at least EUR 250 and in other cases if the net amount is at least EUR 1,000).

The time limit for the Estonian Tax and Customs Board to decide is 4 months or, in the event of the authority's requesting additional information, 6 to 8 months after the receipt of the application. If the application is approved, the VAT must be refunded no later than 10 working days after notifying the taxable person of the decision. An appeal can be filed within 30 days starting from the date of notification or of delivery of the administrative act.

General rules apply to the non-refundability of VAT (please see paragraph 9.1).

9.5 VAT refunds to non-EU taxable persons

Estonia requires reciprocity when refunding the VAT to non-EU established taxable persons. Currently the list of qualifying jurisdictions is comprised of the UK, Norway, Iceland, Israel and Switzerland.

However, there is an exception for a non-EU person engaged in business who applies the One Stop Shop regime for the supply of B2C services and distance sales. Such a person is entitled to a refund of the input VAT relating to such supply, irrespective of whether or not an Estonian person is entitled to a refund of VAT in the person's country of residence. Furthermore, this is applicable regardless of whether the person is a taxable person for VAT purposes in the country in which the person is located.

The application must be submitted by the non-EU taxable person directly to the Estonian Tax and Customs Board.

The application form can be downloaded at: <https://tinyurl.com/3nd54zrw>

The application must be submitted on paper and must be signed by a natural person, a head of a legal entity or by an authorized representative, and it must contain the number of the bank account and a note as to where and in whose name the VAT should be refunded.

- The annual minimum limit is EUR 320. Non-EU taxable persons may submit the application only once per calendar year. The minimum and maximum period for submitting an application is one calendar year. The deadline for submitting the application is no later than 30 September of the calendar year following the period of the refund. It is not possible to submit the application after the deadline.
 - The application must contain original invoices or documents confirming the VAT payment on importation (these will be marked and sent back to applicant). In addition, a certificate from the tax authorities that the applicant is liable to pay VAT in the country of habitual residence must be attached to the application.
 - If the application and supporting documents are fulfilling the requirements, VAT will be refunded within 6 months from the date of submission of the application and required documents. An appeal can be filed within 30 days starting from the date of notification of or delivery of the administrative act.
 - General rules apply to the non-recoverability of VAT (see paragraph 9.1).
- ## 10. Administrative obligations
- ### 10.1 Invoices
- #### 10.1.1 Invoice content
- A VAT invoice should contain the following data:
- the sequential number;
 - the date the invoice is issued;
 - full name and address of the supplier and its VAT identification number;
 - full name and address of the customer of the goods or services;
 - the VAT identification number of the customer of the goods or services in the case of an intra-Community supply or the customer is liable to pay the VAT due;
 - name or description of the goods or services;
 - quantity of the goods or extent of the services;
 - date of dispatch of the goods or provision of the services and/or an earlier date of receipt of full or partial payment for the goods or services if this date can be determined and differs from the date of issue of the invoice;
 - price of the goods or services exclusive of VAT and any discounts, if these are not included in the price; taxable amount broken down by different VAT rates together with the applicable VAT rates or the amount of supply exempt from tax;
 - amount of VAT payable in EUR;
 - details of a tax representative, if any;
 - in case of self-billing, a corresponding reference "endale arve koostamine" is required;
 - the indication for the application, zero rate or reverse charge. For instance:
 - intra-Community supply: "Zero rated intra-Community supply" "ühendusesisene käive"; export supply: "Zero rated export supply" "ekspordikäive"; and
 - B2B service: "Service not subject to Estonian VAT according to Article 44 VAT Directive; VAT due by the recipient of the service according to Article 196 VAT Directive", "pöördmaksustamine".
 - the information necessary to determine whether there is a new means of transport and also a reference to clause 15 (3) 2 of VAT Act; and
 - an indication of the fact that a margin scheme has been applied as well as an indication why the margin scheme applied:
 - margin scheme - second-hand goods "kasuminiormi maksustamise kord - kasutatud kaubad";
 - margin scheme - works of art "kasuminiormi maksustamise kord - kunstiteosed";
 - margin scheme - collector's items and antiques "kasuminiormi maksustamise kord - kollektsiooni- ja antikviteesed"; and
 - tour operator margin scheme – "kasuminiormi maksustamise kord – reisibürood".

10.1.2 Time limits
An invoice should generally be issued within seven calendar days from the date on which the goods have been dispatched or made available to the customer or the services have been provided. Electricity, heating and water suppliers invoice their clients in general on a monthly basis.

For an intra-Community supply of goods or upon the provision of services to a taxable person or taxable person with limited liability in another Member State, a taxable person shall issue an invoice by the fifteenth day of the month following the month in which the goods are dispatched or made available, or the service is provided.

10.1.3 Currency

Invoices are accepted in all currencies but the amount of VAT must be stated in EUR.

10.1.4 Conversion and exchange rate

Where information required for the calculation of the amount of VAT on the importation of goods is expressed in a foreign currency, the exchange rate must be determined in accordance with the provisions of the Community Customs Code governing the calculation of value for customs purposes. When information is required for the calculation of the amount of VAT on a transaction other than an import transaction is expressed in a foreign currency, the exchange rate to EUR applies as determined by the European Central Bank on the day when the supply of the goods or services or intra-Community acquisition takes place.

10.1.5 Self-billing

The Estonian VAT Act allows invoices to be issued by the customer on the condition that, before the supply is effected, there is a written agreement between the two parties stating that an invoice is issued by the customer and the supplier accepts it. An agreement must contain the procedure for the acceptance of invoices by a supplier. A self-billing invoice must make a reference to self-billing.

10.1.6 Simplified invoice

A simplified invoice may be issued, provided that the amount indicated in the invoice does not exceed EUR 160 (exclusive of VAT), in the following cases:

- the provision of transport services for passengers;
- in the case of invoices printed by parking meters, automated petrol stations and other similar machines.

The following information must be included on a simplified invoice:

- the date of issue of the invoice;
- the name of the supplier and its VAT registration number;
- the name or a description of the goods or services;
- the taxable amount; and
- the amount of VAT to be paid.

A simplified invoice issued to a taxable person must include the name of the taxable person and its VAT registration number.

10.1.7 Storage of invoices

The minimum term for the storage of invoices is 7 years (except for goods and services provided through online marketplace in which case 10 years applies).

Invoices can be stored in electronic form or on paper.

A taxable person may choose the place at which invoices are preserved and the manner thereof on the condition that the person makes the invoices or information preserved therein immediately available at the request of the tax authority. Therefore, invoices can be stored anywhere, but immediate availability must be guaranteed.

10.1.8 Electronic invoicing

Invoices can be issued in an electronic form and must contain the same information as a paper invoice. The receiver of the invoice must agree that the invoice is issued electronically. Usually, a written agreement

between the parties provides for this. Information on whether the company accepts electronic invoices or not is made publicly available in the Estonian Commercial Register.

Electronic invoicing is mandatory in Estonia for business-to-government (B2G) supplies, in line with EU Directive 2014/55/EU.

10.2 VAT compliance

10.2.1 VAT return period

In general, VAT returns must be filed monthly. The first period for a taxable person or taxable person with limited liability is the period from the date of VAT registration until the end of the same calendar month. If the number of calendar days in the first taxable period is less than 15, it is allowed to declare the supplies over the first period together with the supplies over the following period and submit one return for both periods.

On the basis of a reasoned request made by a taxable person, the tax authority may establish, at their discretion, a taxable period longer than one calendar month (e.g. quarter).

10.2.2 Filing of the VAT return and payment

VAT returns should be submitted to the tax authority and VAT must be paid by the 20th day of the month following the period of taxation. If the due date falls on a weekend or on a public holiday, it is extended until the next working day.

VAT returns are submitted electronically if the person has been a taxable person for at least 12 months or more than five invoices are included in the appendix to the VAT return. On the basis of a reasoned request made by a taxable person the Estonian Tax and Customs Board may allow the submission of a VAT return on paper.

The form of the VAT return (Vorm KMD) and its annex (KMD NPF) can be downloaded at:

<https://tinyurl.com/mrxuap43>

10.2.3 European sales listing

The deadline for the submission of the monthly European sales listing is the 20th day of the month following the month of supply.

The form of the EU sales list (Vorm VD) can be downloaded at:

<https://tinyurl.com/mrxuap43>

10.2.4 National recapitulative statement

There are no national recapitulative statements in Estonia.

10.2.5 Tax assessment period

The limitation period for making an assessment of tax is three years. In the event of intentional failure to pay or withhold a tax, the limitation period for making an assessment of tax is five years.

A limitation period begins to run on the due date for the submission of the tax return which was not submitted or which contained information which caused the amount of tax to be calculated incorrectly.

10.3 Penalties

Estonian VAT Act does not contain specific provisions on penalties which means that the general rules on penalties in tax matters apply to VAT.

10.3.1 Default penalties for late registration

The tax authorities may issue a penalty of up to EUR 3,200 for failure to register in time.

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

Penalty for not submitting a tax return or any other declaration is punishable by a fine of up to EUR 3,200.

10.3.3 Default penalties for not paying VAT on time to the tax authorities

If a taxable person fails to pay VAT by the due date, he is required to pay interest on the amount of tax outstanding computed from the due date. The interest rate is 0.06% per day charged on amounts of VAT underpaid or paid late.

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

If a taxable person fails to pay VAT by the due date, he is required to pay interest on the amount of tax outstanding computed from the due date. The interest rate is 0.06% per day charged on amounts of VAT underpaid or paid late.

Failure to submit information to a tax authority intentionally or submission of false information to decrease VAT obligation or increase a VAT refund is punishable by a fine of up to EUR 32,000 for a legal person.

10.3.5 Offence penalties

The violation of the tax liability may be punishable as a misdemeanour, as well as a criminal offense.

Criminal offences are defined in the Estonian Penal Code. It is possible to punish both legal persons (with a fine) and natural persons (with a fine or imprisonment for up to 7 years).

10.4 Intrastat

Intrastat reports must be submitted on a monthly basis to the Statistics Estonia.

10.4.1 Intrastat threshold

For 2025, the annual threshold for Intrastat reporting for arrivals and was abandoned in 2025. The threshold for dispatches is EUR 350,000.

10.4.2 Intrastat data to be reported

The information to be reported is:

- commodity code of the goods;
- the EU Member State of origin/destination;
- country of origin;
- nature of the transaction;
- quantity and supplementary unit;
- net weight in kilograms;
- the invoice value of the goods; and
- VAT identification number of the counterparty with the Member State code.

10.5 Additional compliance requirements

There is an obligation for Estonian VAT registered persons to complete Annex KMD INF to the monthly VAT return if transactions with any domestic counterparty exceed EUR 1,000 in one month. The details of all the relevant sales and purchase invoices related to that counterparty shall be declared in the Annex KMD INF A and B to the VAT return.

Further instructions on the Annex KMD INF can be found at: <https://tinyurl.com/mrxnap43>

Information received from:

Trin Lim
Damerland OÜ
trin@damerland.com

